

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax. See "TAX MATTERS" herein with respect to tax consequences relating to the Bonds.

\$87,735,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$3,400,000
2016 General Obligation Refunding Bonds, Series A

\$84,335,000
2016 General Obligation Refunding Bonds, Series B
(2019 Crossover)

Dated: Date of Delivery

Due: August 1, as shown on the inside cover

This cover page contains certain information for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used on this cover page not otherwise defined shall have the meanings set forth herein.

The Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series A (the "Series A Bonds"), are being issued by the Southwestern Community College District (the "District") to (i) advance refund all or a portion of the District's outstanding Election of 2008 General Obligation Bonds, Series A, and (ii) pay the costs of issuing the Series A Bonds.

The Series A Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of San Diego County (the "County") is empowered and obligated to levy *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Series A Bonds when due.

The Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) (the "Series B Bonds," and, together with the Series A Bonds, the "Bonds"), are being issued by the District to (i) advance refund, on a crossover basis, the District's outstanding Election of 2008 Taxable General Obligation Bonds (Build America Bonds – Direct Payment to District), Series B and (ii) pay the costs of issuing the Series B Bonds.

Prior to August 1, 2019 (the "Crossover Date"), the Series B Bonds shall be secured by and payable solely from proceeds of the Series B Bonds deposited into an escrow fund established therefor. From and after the Crossover Date, the Series B Bonds shall, without any further action on the part of the District or the Owners or Beneficial Owners of the Series B Bonds, constitute general obligations of the District payable solely from *ad valorem* property taxes. From and after the Crossover Date, the Board of Supervisors of the County shall be empowered and obligated to levy *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Series B Bonds when due.

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York ("DTC"). Purchasers of the Bonds (the "Beneficial Owners") will not receive certificates representing their interests in the Bonds. See "THE BONDS – Book-Entry Only System" herein.

The Bonds will be issued as current interest bonds, such that interest thereon shall accrue from the date of delivery and be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof.

Payments of principal of and interest on the Bonds will be made by the Treasurer-Tax Collector of the County as the designated paying agent, bond registrar and transfer agent (collectively, the "Paying Agent") to DTC for subsequent disbursement to DTC Participants (as defined herein) who will remit such payments to the Beneficial Owners of the Bonds. See "THE BONDS – Book-Entry Only System" herein.

The Bonds are subject to optional and mandatory sinking fund redemption prior to maturity, as stated herein.

MATURITY SCHEDULES
(See inside front cover)

The Bonds are offered when, as and if issued, and received by the Underwriters, subject to the approval as to their legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel to the District. Certain matters will be passed upon for the Underwriters by Norton Rose Fulbright US LLP, Los Angeles, California. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of The Depository Trust Company, in New York, New York, on or about September 7, 2016.

Morgan Stanley

PiperJaffray

Dated: August 17, 2016

MATURITY SCHEDULES

\$3,400,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
2016 General Obligation Refunding Bonds, Series A
Base CUSIP⁽¹⁾: 845389

<u>Maturity</u> <u>(August 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u>
2020	\$1,600,000	3.000%	0.650%	GL3
2021	1,800,000	3.000	0.790	GM1

\$84,335,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)
2016 General Obligation Refunding Bonds, Series B (2019 Crossover)
Base CUSIP⁽¹⁾: 845389

\$61,015,000 Serial Bonds

<u>Maturity</u> <u>(August 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>CUSIP⁽¹⁾</u>
2022	\$1,905,000	4.000%	0.920%	GN9
2023	2,150,000	4.000	1.050	GP4
2024	2,390,000	4.000	1.150	GQ2
2025	2,655,000	4.000	1.250	GR0
2026	2,940,000	4.000	1.380	GS8
2027	3,235,000	5.000	1.540 ⁽²⁾	GT6
2028	3,575,000	5.000	1.680 ⁽²⁾	GU3
2029	3,940,000	5.000	1.800 ⁽²⁾	GV1
2030	4,325,000	3.000	2.420 ⁽²⁾	GW9
2031	4,655,000	3.000	2.530 ⁽²⁾	GX7
2032	4,995,000	4.000	2.260 ⁽²⁾	GY5
2033	5,400,000	4.000	2.320 ⁽²⁾	GZ2
2034	5,825,000	4.000	2.370 ⁽²⁾	HA6
2035	6,275,000	4.000	2.420 ⁽²⁾	HB4
2036	6,750,000	4.000	2.460 ⁽²⁾	HC2

\$23,320,000 – 4.000% Term Bond due August 1, 2039; Yield – 2.490%⁽²⁾; CUSIP⁽¹⁾: HD0

⁽¹⁾ CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. Neither the Underwriters nor the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District or the Underwriters and are included solely for the convenience of the registered owners of the applicable Bonds. Neither the District nor the Underwriters are responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

⁽²⁾ Yield to call at par on August 1, 2026.

This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Section 3(a)2 and 3(a)12, respectively, for the issuance and sale of municipal securities. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

Certain information set forth herein has been obtained from sources outside the District which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

“The Underwriters have reviewed the information in this Official Statement pursuant to their responsibilities to investors under the federal securities laws, but the Underwriters do not guarantee the accuracy or completeness of such information.”

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT LEVELS ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN SECURITIES DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE COVER PAGE AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

The District maintains a website. However, the information presented there is not part of this Official Statement, is not incorporated herein by any reference, and should not be relied upon in making an investment decision with respect to the Bonds.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

Governing Board

Nora E. Vargas, *President*
Tim Nader, *Vice President*
Griselda Delgado, *Member*
Norma L. Hernandez, *Member*
Humberto Peraza Jr., *Member*

District Administration

Robert P. Deegan, *Interim Superintendent/President*
Timothy Flood, *Vice President for Business and Financial Affairs*

PROFESSIONAL SERVICES

Bond Counsel and Disclosure Counsel

Stradling Yocca Carlson & Rauth,
a Professional Corporation
San Francisco, California

Financial Advisor

KNN Public Finance, LLC
Oakland, California

Paying Agent

San Diego County Treasurer-Tax Collector
San Diego, California

Escrow Agent

U.S. Bank National Association
Seattle, Washington

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\$87,735,000
SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
(San Diego County, California)

\$3,400,000
2016 General Obligation Refunding Bonds,
Series A

\$84,335,000
2016 General Obligation Refunding Bonds,
Series B
(2019 Crossover)

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale of the (i) Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series A (the “Series A Bonds”) and (ii) Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) (the “Series B Bonds,” and, together with the Series A Bonds, the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

The District

The Southwestern Community College District (the “District”) was established in 1960 and provides higher education in southern San Diego County (the “County”). The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa. The District’s area equals approximately 162 square miles. Southwestern College is fully accredited by the Accrediting Commission for Community and Junior Colleges (“ACCJC”). See “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – Accreditation” herein. For fiscal year 2016-17, the District has projected its full-time equivalent student (“FTES”) count at 15,410 students. Taxable property within the District has a fiscal year 2016-17 assessed valuation of \$49,241,850,367.

The District is governed by a five-member Governing Board (the “Board”), each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The Superintendent/President is responsible for management of the District’s day-to-day operations and supervises the work of other key administrators. For more information about the District generally, see “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT” herein. For more information regarding the District’s assessed valuation, see “TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE” herein.

Purpose of the Bonds

Series A Bonds. The Series A Bonds are being issued to (i) advance refund certain of the District’s outstanding Election of 2008 General Obligation Bonds, Series A (the “2008 Series A Bonds”), and (ii) pay the costs of issuing the Series A Bonds. The 2008 Series A Bonds to be refunded with the proceeds of the Series A Bonds are referred to herein as the “Refunded 2008 Series A Bonds.”

Concurrently with the issuance of the Series A Bonds, the District will enter into an escrow agreement (the “Series A Bonds Escrow Agreement”) with U.S. Bank National Association (the “Escrow Agent”), pursuant to which the District will deposit the net proceeds of the Series A Bonds into the Series A Bonds Escrow Fund (as defined herein) held pursuant thereto, such proceeds to be used to purchase certain non-callable Federal Securities (as defined herein), the maturing principal of which, together with interest and earnings thereon, and any other proceeds of the Series A Bonds held as cash, will be sufficient to pay interest due on the Refunded 2008 Series A Bonds on and prior to August 1, 2019 and to pay the redemption price of the Refunded 2008 Series A Bonds on such date. See “THE BONDS – Application and Investment of Bond Proceeds – Series A Bonds” herein.

Series B Bonds. The Series B Bonds are being issued to (i) advance refund, on a crossover basis, the District’s outstanding Election of 2008 Taxable General Obligation Bonds (Build America Bonds – Direct Payment to District) Series B (the “2008 Series B Bonds”) and (ii) pay the costs of issuing the Series B Bonds. The 2008 Series B Bonds to be refunded with the proceeds of the Series B Bonds are referred to herein as the “Refunded 2008 Series B Bonds,” and, together with the Refunded 2008 Series A Bonds, the “Refunded Bonds.”

Concurrently with the issuance of the Series B Bonds, the District will enter into an escrow agreement (the “Series B Bonds Escrow Agreement,” and together with the Series A Bonds Escrow Agreement, the “Escrow Agreements”) with the Escrow Agent, pursuant to which the District will deposit the net proceeds of the Series B Bonds into the Series B Bonds Escrow Fund (as defined herein) held pursuant thereto, such proceeds to be used to purchase certain non-callable Federal Securities (as defined herein), the maturing principal of which, together with interest and earnings thereon, and any other proceeds of the Series B Bonds held as cash, will be sufficient to pay (i) the debt service due on the Series B Bonds prior to August 1, 2019 (the “Crossover Date”), and (ii) the principal of the Refunded 2008 Series B Bonds on the Crossover Date, such date being the first optional redemption date therefor. See “THE BONDS – Application and Investment of Bond Proceeds – Series B Bonds” herein.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the California Government Code and other applicable law, and pursuant to resolutions adopted by the Board. See “THE BONDS – Authority for Issuance” herein.

Security and Sources of Payment for the Bonds

Series A Bonds. The Series A Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The Board of Supervisors of the County (the “County Board”) is empowered and obligated to annually levy *ad valorem* taxes upon all property within the District subject to taxation thereby, without limitation as to rate or amount (except as certain personal property which is taxable at limited rates), for the payment of the principal of and interest on the Series A Bonds.

Series B Bonds. **Prior to the Crossover Date, the Series B Bonds will be secured by and payable solely from amounts on deposit in the Series B Bonds Escrow Fund.** From and after the Crossover Date, the Series B Bonds shall, without further action on the part of the District or the Owners or Beneficial Owners thereof, constitute general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. From and after the Crossover Date, the County Board shall be empowered and obligated to annually levy *ad valorem* taxes upon all property within the District subject to taxation thereby without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates) for the payment of the principal of and interest on the Series B Bonds.

See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE” herein.

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, without coupons. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased. The Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”). DTC will act as securities depository of the Bonds. See “THE BONDS” and “– Book-Entry Only System” herein. In the event that the book-entry only system described below is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolutions described herein. See “THE BONDS – Discontinuation of Book-Entry Only System; Payment to Beneficial Owners” herein.

So long as Cede & Co. is the registered Owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bond Owners” or “Holders” of the Bonds (other than under the captions “INTRODUCTION – Tax Matters” and “TAX MATTERS” herein and in “APPENDIX A” attached hereto) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available in the denominations of \$5,000 principal amount or any integral multiple thereof.

Redemption. The Series A Bonds are not subject to redemption prior to their stated maturity dates. The Series B Bonds are subject to redemption prior to their stated maturity dates as further described herein. See also “THE BONDS – Redemption” herein.

Payments. The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the initial date of delivery thereof (the “Date of Delivery”), such interest to be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017 (each, a “Bond Payment Date”). Principal of the Bonds is payable on August 1 in the amounts and years set forth on the inside cover page hereof.

Payments of the principal of and interest on the Bonds will be made by the Treasurer-Tax Collector of the County as the designated paying agent, bond registrar and transfer agent (collectively, the “Paying Agent”), to DTC for subsequent disbursement through DTC Participants (as defined herein) to the Beneficial Owners.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“Bond Counsel”), based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and the compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California (the “State”) personal income tax. In addition, the difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to the Bonds constitutes original issue discount, and the amount of original issue discount that accrues to the owner of the Bonds is excluded from gross income of such owner for federal income tax purposes, is not an item of

tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of DTC in New York, New York on or about September 7, 2016.

Bond Owner’s Risks

The Series A Bonds are general obligations of the District payable from *ad valorem* property taxes which may be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). **Prior to the Crossover Date, the Series B Bonds will be secured by and payable solely from amounts on deposit in the Series B Bonds Escrow Fund.** From and after the Crossover Date, the Series B Bonds shall constitute general obligations of the District payable solely from *ad valorem* property taxes which may be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding the taxation of property within the District, see “TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE” herein.

Continuing Disclosure

The District will covenant for the benefit of Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events, in order to assist the Underwriters (as defined herein) in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the “Rule”). See “LEGAL MATTERS – Continuing Disclosure” herein. The specific nature of the information to be made available and of the notices of listed events required to be provided are summarized in “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS” attached hereto.

Forward Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “intend,” “estimate,” “project,” “budget” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE DISTRICT DOES NOT PLAN TO ISSUE ANY UPDATES OR REVISIONS TO THE FORWARD-LOOKING STATEMENTS SET FORTH IN THIS OFFICIAL STATEMENT.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, acting as Bond Counsel and Disclosure Counsel to the District and KNN Public Finance, LLC, Oakland, California, acting as financial advisor to the District with respect to the Bonds, will each receive compensation from the District contingent upon the sale and delivery of the Bonds. The Treasurer-Tax Collector of San Diego County has been appointed as the Paying Agent with respect to the Bonds (the "Paying Agent"). Certain matters will be passed on for the Underwriters by Norton Rose Fulbright US LLP, Los Angeles, California. Causey Demgen & Moore P.C., Denver, Colorado, is acting as verification agent for the Bonds and the Refunded Bonds.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of documents referred to herein and information concerning the Bonds are available from Southwestern Community College District, 900 Otay Lakes Road, Chula Vista, CA 91910, telephone: (619) 421-6700. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each such documents, statutes and constitutional provisions.

Certain of the information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

Capitalized terms used but not otherwise defined herein shall have the meanings assigned to such terms in the Resolutions.

THE BONDS

Authority for Issuance

The Bonds are issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code, commencing with Section 53550 *et seq.*, and other applicable law, and pursuant to resolutions adopted by the Board on June 14, 2016 and July 12, 2016 (together, the “Resolutions”).

Security and Sources of Payment

The Series A Bonds are general obligations of the District payable solely from the proceeds of *ad valorem* property taxes. The County Board will be empowered and obligated to annually levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Series A Bonds when due.

Series B Bonds. Prior to the Crossover Date, the Series B Bonds will be secured by and payable solely from monies on deposit in the Series B Bonds Escrow Fund. From and after the Crossover Date, the Series B Bonds shall, without further action on the part of the District or the Owners or Beneficial Owners of the Series B Bonds, constitute general obligations of the District, payable solely from the proceeds of *ad valorem* property taxes. From and after the Crossover Date, with respect to the Series B Bonds, the County Board will be empowered and obligated to annually levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Series B Bonds when due.

General. *Ad valorem* property taxes levied to pay the Bonds will be levied annually in addition to all other taxes in an amount sufficient to pay the principal of and interest thereon when due, as described above. The levy of *ad valorem* property taxes for payment of the Bonds may include an allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. The County, however, is not obligated to establish or maintain such a reserve for any of the Bonds, and the District can make no representations that the County will do so. Such taxes, when collected, will be placed by the County in the respective Debt Service Funds (defined herein), each of which is required to be segregated and maintained by the County and which is designated for the payment of the respective series of Bonds to which such Debt Service Fund relates, and interest thereon when due, and for no other purpose. Pursuant to the Resolutions, the District has pledged funds on deposit in each Debt Service Fund to the payment of the respective series of Bonds to which such fund relates. Although the County is obligated to levy *ad valorem* property taxes for the payment of the Bonds as described above, and the County will maintain the Debt Service Funds, none of the Bonds are a debt of the County.

Pursuant to Section 53515 of the California Government Code, each series of the Bonds will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The liens automatically attach, without further action or authorization by the Board, and are valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the liens, and such liens will be enforceable against the District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

Moneys in each Debt Service Fund, to the extent necessary to pay the principal of and interest on the Series A Bonds as the same become due and payable, and, from and after the Crossover Date, the Series B Bonds, as the same become due and payable, will be transferred to the Paying Agent. Prior to the Crossover Date, funds for the payment of the Series B Bonds will be remitted to the Paying Agent from the Series B Bonds Escrow Fund established for the Series B Bonds. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants (as defined herein) for subsequent disbursement to the respective Beneficial Owners of such Bonds.

The amount of the annual *ad valorem* property taxes levied by the County to repay the Series A Bonds, and, from and after the Crossover Date, the Series B Bonds, as described above, will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service on the Bonds and the assessed value of taxable property in the District may cause the annual tax rates to fluctuate. Economic and other factors beyond the District's control, such as general market decline in land values, disruption in financial markets that may reduce the availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, fire, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the respective annual tax rates. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" and "TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE" herein.

General Provisions

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. See "— Book-Entry Only System" herein. Beneficial Owners will not receive certificates representing their interest in the Bonds. The Bonds will be dated as of the Date of Delivery.

Interest on the Bonds accrues from the Date of Delivery, and is payable semiannually on each Bond Payment Date, commencing February 1, 2017. Interest on the Bonds will be computed on the basis of a 360-day year of twelve, 30-day months. Each Bond will bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month next preceding any Bond Payment Date to that Bond Payment Date, inclusive, in which event it will bear interest from such Bond Payment Date, or unless it is authenticated on or before January 15, 2017, in which event it will bear interest from the Date of Delivery. The Bonds are issuable in denominations of \$5,000 principal amount or any integral multiple thereof, and mature on August 1, in the years and amounts set forth on the inside cover pages hereof.

Payment. Payment of interest on any Bond on any Bond Payment Date will be made to the person appearing on the registration books of the Paying Agent as the registered Owner thereof as of the 15th day of the month immediately preceding such Bond Payment Date (the "Record Date"), such interest to be paid by check mailed to such Bond Owner on the Bond Payment Date at his or her address as it appears on such registration books or at such other address as he or she may have filed with the Paying Agent for that purpose on or before the Record Date. The Bond Owner in an aggregate principal amount of \$1,000,000 or more may request in writing to the Paying Agent that such Bond Owner be paid interest

by wire transfer to the bank and account number on file with the Paying Agent as of the Record Date. The principal of and redemption premiums, if any, payable on the Bonds shall be payable upon maturity upon surrender at the principal office of the Paying Agent. The principal of, and interest, and redemption premiums, if any, on the Bonds shall be payable in lawful money of the United States of America. The Paying Agent is authorized to pay the Bonds when duly presented for payment at maturity, and to cancel all Bonds upon payment thereof. So long as the Bonds are held in the book-entry system of DTC, all payments of principal of and interest on the Bonds will be made by the Paying Agent to Cede & Co. (as a nominee of DTC), as the registered owner of the Bonds.

Annual Debt Service

The following table summarizes the annual debt service requirements of the District for the Bonds, assuming no optional redemptions are made:

<u>Year Ending August 1</u>	<u>Series A Bonds</u>		<u>Series B Bonds</u>		<u>Total Annual Debt Service</u>
	<u>Annual Principal Payment</u>	<u>Annual Interest Payment⁽¹⁾</u>	<u>Annual Principal Payment</u>	<u>Annual Interest Payment⁽¹⁾⁽²⁾</u>	
2017	--	\$91,800.00	--	\$3,051,990.00	\$3,143,790.00
2018	--	102,000.00	--	3,391,100.00	3,493,100.00
2019	--	102,000.00	--	3,391,100.00	3,493,100.00
2020	\$1,600,000.00	102,000.00	--	3,391,100.00	5,093,100.00
2021	1,800,000.00	54,000.00	--	3,391,100.00	5,245,100.00
2022	--	--	\$1,905,000.00	3,391,100.00	5,296,100.00
2023	--	--	2,150,000.00	3,314,900.00	5,464,900.00
2024	--	--	2,390,000.00	3,228,900.00	5,618,900.00
2025	--	--	2,655,000.00	3,133,300.00	5,788,300.00
2026	--	--	2,940,000.00	3,027,100.00	5,967,100.00
2027	--	--	3,235,000.00	2,909,500.00	6,144,500.00
2028	--	--	3,575,000.00	2,747,750.00	6,322,750.00
2029	--	--	3,940,000.00	2,569,000.00	6,509,000.00
2030	--	--	4,325,000.00	2,372,000.00	6,697,000.00
2031	--	--	4,655,000.00	2,242,250.00	6,897,250.00
2032	--	--	4,995,000.00	2,102,600.00	7,097,600.00
2033	--	--	5,400,000.00	1,902,800.00	7,302,800.00
2034	--	--	5,825,000.00	1,686,800.00	7,511,800.00
2035	--	--	6,275,000.00	1,453,800.00	7,728,800.00
2036	--	--	6,750,000.00	1,202,800.00	7,952,800.00
2037	--	--	7,240,000.00	932,800.00	8,172,800.00
2038	--	--	7,770,000.00	643,200.00	8,413,200.00
2039	--	--	<u>8,310,000.00</u>	<u>332,400.00</u>	<u>8,642,400.00</u>
Total	<u>\$3,400,000.00</u>	<u>\$451,800.00</u>	<u>\$84,335,000.00</u>	<u>\$55,809,390.00</u>	<u>\$143,996,190.00</u>

⁽¹⁾ Interest payments on the Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

⁽²⁾ Interest on the Series B Bonds, prior to the Crossover Date, is payable from amounts on deposit in the Series B Bonds Escrow Fund. From and after the Crossover Date, such interest shall be payable from *ad valorem* property taxes levied and collected by the County on taxable property within the boundaries of the District. See “THE BONDS – Security and Sources of Payment – Series B Bonds” herein.

See “SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – District Debt Structure” herein for a full debt service schedule of all of the District’s outstanding general obligation bond debt.

Application and Investment of Bond Proceeds

Series A Bonds. The Series A Bonds are being issued by the District to (i) advance refund the Refunded 2008 Series A Bonds, and (ii) pay the costs of issuance of the Series A Bonds.

The specific maturities of the 2008 Series A Bonds to be refunded are listed in the following table.

REFUNDED 2008 SERIES A BONDS Southwestern Community College District

<u>Maturity Date (August 1)</u>	<u>CUSIP[†]</u>	<u>Principal Amount</u>	<u>Redemption Date</u>	<u>Redemption Price (% of Principal Amount)</u>
2020	845389DU6	\$1,510,000	8/1/2019	100%
2021	845389DV4	1,750,000	8/1/2019	100

Series A Bonds Escrow Fund. The net proceeds from the sale of the Series A Bonds will be deposited with the Escrow Agent, to the credit of the “Southwestern Community College District 2016 General Obligation Refunding Bonds, Series A Escrow Fund” (the “Series A Bonds Escrow Fund”). Pursuant to the Series A Bonds Escrow Agreement, the amounts deposited in the Series A Bonds Escrow Fund will be used to purchase certain non-callable direct and general obligations of the United States of America, or non-callable obligations the payment of which is unconditionally guaranteed by the United States of America (collectively, the “Series A Bonds Federal Securities”), the principal of and interest on which will be sufficient, together with any monies deposited in the Series A Bonds Escrow Fund and held as cash, to enable the Escrow Agent to pay the redemption price of the Refunded 2008 Series A Bonds on August 1, 2019, such date being the first optional redemption date therefor, as well as interest on the Refunded 2008 Series A Bonds due on and before such date.

The sufficiency of the amounts on deposit in the Series A Bonds Escrow Fund, together with realizable interest and earnings thereon, to refund the Refunded 2008 Series A Bonds will be verified by the Verification Agent. See “LEGAL MATTERS – Escrow Verification” herein.

Series A Bonds Debt Service Fund. Any accrued interest and surplus moneys in the Series A Bonds Escrow Fund following the redemption of the Refunded 2008 Series A Bonds shall be transferred to and accounted for in the fund held by the County and designated as the “Southwestern Community College District 2016 General Obligation Refunding Bonds, Series A Debt Service Fund” (the “Series A Bonds Debt Service Fund”) and used by the District only for payment of principal of and interest on the Series A Bonds. Any excess proceeds of the Series A Bonds not needed for the authorized purposes for which the Series A Bonds are being issued shall be transferred to the Series A Bonds Debt Service Fund and applied to the payment of principal of and interest on the Series A Bonds. Pursuant to the Resolutions, the District has pledged monies on deposit in the Series A Bonds Debt Service Fund to the

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. Neither the Underwriter nor the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds. Neither the District nor the Underwriter are responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

payment of the Series A Bonds. If, after payment in full of the Series A Bonds, there remain excess proceeds, any such excess amounts will be transferred to the general fund of the District.

Series B Bonds. The Series B Bonds are being issued by the District to (i) advance refund, on a crossover basis, the Refunded 2008 Series B Bonds and (ii) pay the costs of issuance of the Series B Bonds.

The specific maturity of the 2008 Series B Bonds to be refunded are listed in the following table.

REFUNDED 2008 SERIES B BONDS
Southwestern Community College District

<u>Maturity Date</u> <u>(August 1)</u>	<u>CUSIP</u> [†]	<u>Principal</u> <u>Amount</u>	<u>Redemption</u> <u>Date</u>	<u>Redemption Price</u> <u>(% of Principal Amount)</u>
2024	845389DW2	\$6,735,000	8/1/2019	100%
2031	845389DX0	26,370,000	8/1/2019	100
2039	845389DY8	56,670,000	8/1/2019	100

Series B Bonds Escrow Fund. The net proceeds from the sale of the Series B Bonds will be deposited with the Escrow Agent, to the credit of the “Southwestern Community College District 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) Escrow Fund” (the “Series B Bonds Escrow Fund,” and together with the Series A Bonds Escrow Fund, the “Escrow Funds”). Pursuant to the Series B Bonds Escrow Agreement, the amounts deposited in the Series B Bonds Escrow Fund will be used to purchase certain non-callable direct and general obligations of the United States of America, or non-callable obligations the payment of which is unconditionally guaranteed by the United States of America (collectively, the “Series B Bonds Federal Securities,” and together with the Series A Bonds Federal Securities, the “Federal Securities”), the principal of and interest on which will be sufficient, together with any monies deposited in the Series B Bonds Escrow Fund and held as cash, to enable the Escrow Agent to pay (i) the debt service due on the Series B Bonds prior to the Crossover Date and (ii) the principal of the Refunded 2008 Series B Bonds to be redeemed on the Crossover Date (such date being the first optional redemption date therefor). **Prior to the Crossover Date, the Refunded 2008 Series B Bonds will remain general obligations of the District payable solely from *ad valorem* property taxes.** Amounts deposited under the Series B Bonds Escrow Agreement are not available to pay any other obligations of the District.

The sufficiency of the amounts on deposit in the Series B Bonds Escrow Fund, together with realizable interest and earnings thereon, to pay the principal of the Refunded 2008 Series B Bonds on the Crossover Date, and the debt service due on the Series B Bonds prior to such date, will be verified by the Verification Agent. See “LEGAL MATTERS – Escrow Verification” herein.

[†] CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. Neither the Underwriter nor the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds. Neither the District nor the Underwriter are responsible for the selection or uses of these CUSIP numbers, and no representation is made as to their correctness on the applicable Bonds or as included herein. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

Series B Bonds Debt Service Fund. Any accrued interest and surplus moneys in the Series B Bonds Escrow Fund following the redemption of the Refunded 2008 Series B Bonds shall be transferred to and accounted for in the fund designated as the “Southwestern Community College District 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) Debt Service Fund” (the “Series B Bonds Debt Service Fund,” and together with the Series A Bonds Debt Service Fund, the “Debt Service Funds”) and used by the District only for payment of principal of and interest on the Series B Bonds. Any excess proceeds of the Series B Bonds not needed for the authorized purposes for which the Series B Bonds are being issued shall be transferred to the Series B Bonds Debt Service Fund and applied to the payment of the principal of and interest on the Series B Bonds. Pursuant to the Resolutions, the District has pledged monies on deposit in the Series B Bonds Debt Service Fund to the payment of the Series B Bonds. If, after payment in full of the Series B Bonds, there remain excess proceeds, any such excess amounts will be transferred to the general fund of the District.

Investment of Proceeds. Moneys in the Debt Service Funds are expected to be invested through the County’s pooled investment fund (the “Investment Pool”). Funds on deposit in the Escrow Funds will be invested as described above. See “APPENDIX E – SAN DIEGO COUNTY INVESTMENT POOL” attached hereto.

Redemption

Optional Redemption. The Series A Bonds are not subject to optional redemption prior to their stated maturity dates.

The Series B Bonds maturing on or before August 1, 2026 are not subject to redemption prior to their fixed maturity dates. The Series B Bonds maturing on or after August 1, 2027 may be redeemed prior to their respective stated maturity dates at the option of the District, from any source of funds, in whole or in part, on August 1, 2026 or on any date thereafter, at a redemption price equal to the principal amount of the Series B Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption, without premium.

Mandatory Redemption. The Series B Term Bonds maturing on August 1, 2039 are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2037, at a redemption price equal to the principal amount thereof, plus interest accrued to the date fixed for redemption, without premium. The principal amount represented by such Series B Term Bonds to be so redeemed, the redemption dates therefor, and the final principal payment date are as indicated in the following table:

<u>Redemption Date</u> <u>(August 1)</u>	<u>Principal Amount</u>
2037	\$7,240,000
2038	7,770,000
2039 ⁽¹⁾	8,310,000

⁽¹⁾ Maturity.

In the event that a portion of the Series B Term Bonds maturing on August 1, 2039 are optionally redeemed prior to maturity, the remaining mandatory sinking fund payments with respect thereto shall be reduced proportionately, or as otherwise directed by the District, in integral multiples of \$5,000 principal amount, in respect of the portion of such Series B Term Bonds optionally redeemed.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all outstanding Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, will select the Bonds for redemption as so directed by the District, and if not directed, in inverse order of maturity. Within a maturity, the Paying Agent will select Bonds for redemption as directed by the District, and if not so directed, by lot. Redemption by lot will be in such manner as the Paying Agent will determine; *provided, however*, that the portion of any Bond to be redeemed in part shall be in the principal amount of \$5,000 or any integral multiple thereof.

Notice of Redemption. When redemption is authorized or required pursuant to the Resolutions, the Paying Agent, upon written instruction from the District, will give notice (a “Redemption Notice”) of the redemption of the Bonds. Each Redemption Notice will specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the portion of the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Such Redemption Notice will further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed at the redemption price thereof, together with the interest accrued to the redemption date, and that from and after such date, interest thereon shall cease to accrue.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, (ii) telephonically confirmed facsimile transmission, or (iii) overnight delivery service, to the Securities Depository; (c) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by (i) registered or certified mail, postage prepaid, or (ii) overnight delivery service, to one of the Information Services; and (d) provide such Redemption Notice to such other persons as may be required pursuant to the Continuing Disclosure Certificate.

“Information Services” means Financial Information, Inc.’s “Daily Called Bond Service,” 1 Cragwood Road, 2nd Floor, South Plainfield, New Jersey 07080, Attention: Editor; Mergent Inc., 585 Kingsley Park Drive, Fort Mill, South Carolina 29715, Attention: Called Bond Department; and Standard and Poor’s J.J. Kenny Information Services’ “Called Bond Record,” 55 Water Street, 45th Floor, New York, New York 10041.

“Securities Depository” shall mean The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided in the Resolutions will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds shall bear or include the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Conditional Notice of Redemption. With respect to any notice of optional redemption of Bonds as described above, unless upon the giving of such notice such Bonds (or portions thereof) shall be deemed to have been defeased as described in “—Defeasance” herein, such notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District on or prior to the date fixed for such redemption of the moneys necessary and sufficient to pay the principal of, and premium, if any, and interest on such Bonds (or portions thereof) to be redeemed, and that, if such moneys shall not have been so received, said notice shall be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice, to the persons to whom and in the manner in which the Redemption Notice was given, that such moneys were not so received.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amount to the unredeemed portion of the Bond surrendered. Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Redemption Notice. Notice having been given as described above, and the moneys for the redemption (including the interest accrued to the applicable date of redemption) having been set aside as described in “—Defeasance” herein, the Bonds to be redeemed shall become due and payable on such date of redemption.

If on such redemption date, money for the redemption of all the Bonds to be redeemed, together with interest accrued to such redemption date, shall be held in trust so as to be available therefor on such redemption date, and if a Redemption Notice thereof shall have been given as described above, then from and after such redemption date, interest with respect to the Bonds to be redeemed will cease to accrue and become payable. All money held for the redemption of Bonds will be held in trust for the account of the Owners of the Bonds so to be redeemed.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity, or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof, and accrued interest thereon to the date fixed for redemption, then such Bonds will no longer be deemed Outstanding and will be surrendered to the Paying Agent for cancellation.

Book-Entry Only System

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants (as defined herein) will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "MMI Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

The DTC, New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each maturity of the Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation, and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants" and together with the Direct Participants, the "Participants"). DTC has an S&P (as defined herein) rating of "AA+." The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. The information set forth on such website is not incorporated by reference herein.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchases. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will

not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, defaults, and proposed amendments to the Resolutions. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds and distributions on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds or distributions to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event that a successor depository is not obtained, Bond certificates are required to be printed and delivered.

The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry Only System; Payment to Beneficial Owners

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain at its designated office all books and records necessary for the registration, exchange and transfer of such Bonds, which shall at all times be open to inspection by the District, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register, exchange or transfer or cause to be registered, exchanged or transferred, on said books, Bonds as provided in the Resolutions.

In the event that the book-entry system described above is no longer used with respect to the Bonds, the following provisions will govern the payment, transfer and exchange of the Bonds.

The principal of the Bonds and any premium and interest upon the redemption thereof prior to the maturity will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the designated office of the Paying Agent. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered owner of at least \$1,000,000 in aggregate principal amount, payments shall be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for a Bond of like series, tenor, maturity and principal amount upon presentation and surrender at the designated office of the Paying Agent, together with a request for exchange signed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred only on the Bond registration books upon presentation and surrender of the Bond at such designated office of the Paying Agent together with an assignment executed by the registered owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. Upon exchange or transfer, the Paying Agent shall complete, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations requested by the owner equal to the principal amount of the Bond surrendered and bearing or accruing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required to (a) issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding either any Bond Payment Date or any date of selection of Bonds to be redeemed and ending with the close of business on the Bond Payment Date or any day on which the applicable notice of redemption is given or (b) transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased at any time prior to maturity in the following ways:

- (a) Cash. By irrevocably depositing with an independent escrow agent selected by the District an amount of cash which, together with any amounts transferred from the applicable Debt Service Fund, is sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon and premium, if any) at or before their maturity date; or
- (b) Government Obligations. By irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations (as defined herein) together with any amounts transferred from the applicable Debt Service Fund, and any other cash, if required, in such amount as will, together with interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, accrued interest thereon, and premium, if any), at or before their maturity date;

then, notwithstanding that any such maturities of Bonds shall not have been surrendered for payment, all obligations of the District and the Paying Agent with respect to all outstanding Bonds shall cease and terminate, except only the obligation of the Paying Agent or an independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) above, to the Owners of the Bonds not so surrendered and paid all sums due with respect thereto.

“Government Obligations” means direct and general obligations of the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips), or obligations that are unconditionally guaranteed as to principal and interest by the United States of America. In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that all such obligations are rated or assessed at least as high as direct and general obligations of the United States of America by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“S&P”) or by Moody’s Investors Service (“Moody’s”).

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds of the Bonds are expected to be applied as follows:

	<u>Series A Bonds</u>	<u>Series B Bonds</u>
Sources of Funds		
Principal Amount of Bonds	\$3,400,000.00	\$84,335,000.00
Original Issue Premium	<u>335,362.00</u>	<u>13,491,676.80</u>
Total Sources	<u>\$3,735,362.00</u>	<u>\$97,826,676.80</u>
Uses of Funds		
Costs of Issuance ⁽¹⁾	\$24,210.34	\$550,194.47
Deposit to Escrow Fund	<u>3,711,151.66</u>	<u>97,276,482.33</u>
Total Uses	<u>\$3,735,362.00</u>	<u>\$97,826,676.80</u>

⁽¹⁾ Reflects all costs of issuance of the Bonds, including, but not limited to, demographics fees, legal and financial advisory fees, ratings fees, Underwriters' discount, and the costs and fees of the Verification Agent, Paying Agent and Escrow Agent. See "MISCELLANEOUS – Underwriting" herein.

TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. Prior to the Crossover Date, the Series B Bonds shall be secured by and payable solely from monies on deposit in the Series B Bonds Escrow Fund. The Series A Bonds, and, from and after the Crossover Date, the Series B Bonds, will be payable solely from ad valorem property taxes levied and collected by the County on taxable property in the District. The District's general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as county, city and special district taxes. Assessed valuations are the same for both District and County taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Other property is assessed on the "unsecured roll." A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within that county's taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently equalized in August. Property taxes on the secured roll are due in two installments, on November 1 and February 1, respectively. If unpaid, such taxes become delinquent after December 10 and April 10, respectively. A 10% penalty attaches to any delinquent installment, plus a minimum \$10 cost on the second installment, plus any additional amount to be determined by the County tax collector. Property on the secured roll with respect to which taxes are delinquent is declared tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus a minimum \$15 redemption fee and a redemption penalty of 1.5% per month to the time of redemption. If taxes are unpaid for a period of five years or more, the property is subject to sale by the tax-collecting authority of the relevant county.

Property taxes on the unsecured roll are due as of the January 1 lien date and become delinquent if they are not paid by August 31. In the case of unsecured property taxes, a 10% penalty attaches to delinquent taxes on property on the unsecured roll, and an additional penalty of 1.5% per month begins to accrue beginning November 1 of the fiscal year, and a lien may be recorded against the assessee. The applicable taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the applicable county clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the applicable county recorder's office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. See also "– Tax Levies, Collections and Delinquencies" herein.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property such as churches, colleges, non-profit hospitals, and charitable institutions.

Assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) is allocated on the basis of "situs" among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies, including school districts and community college districts (collectively, "K-14 school districts") will share the growth of "base" revenues from the tax rate area. Each year's growth allocation becomes part of each agency's allocation in the following year.

Assessed Valuations

The assessed valuation of property in the District is established by the tax assessing authority for the applicable county in which such property is located, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100% of the "full value" of the property, as defined in Article XIII A of the State Constitution. For a discussion of how properties currently are assessed and re-assessed, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS" herein. Certain classes of property, such as churches, colleges, not-for-profit hospitals, and charitable institutions, are exempt from property taxation and do not appear on the tax rolls.

Property within the District has a total assessed valuation for fiscal year 2016-17 of \$49,241,850,367. Shown in the following table are the assessed valuations for the District for fiscal years 2000-01 through 2016-17.

ASSESSED VALUATIONS
Fiscal Years 2000-01 through 2016-17
Southwestern Community College District

	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>
2000-01	\$17,906,251,294	\$12,358,258	\$649,824,344	\$18,568,433,896
2001-02	19,996,974,547	13,000,681	781,501,424	20,791,476,652
2002-03	22,199,445,187	12,156,364	839,020,572	23,050,622,123
2003-04	24,849,275,487	274,819,306 ⁽¹⁾	803,159,809	25,927,254,602
2004-05	28,265,837,083	276,530,868	807,606,588	29,349,974,539
2005-06	33,253,693,398	159,673,592	883,515,177	34,296,882,167
2006-07	37,856,335,222	168,396,042	1,158,851,470	39,183,582,734
2007-08	42,404,608,423	164,471,818	1,132,031,986	43,701,112,227
2008-09	44,178,161,739	245,294,818	1,108,233,556	45,531,690,113
2009-10	40,785,236,492	398,564,818	1,223,753,369	42,407,554,679
2010-11	39,736,841,347	509,107,818	1,201,102,721	41,447,051,886
2011-12	39,648,105,275	474,035,562	1,272,070,224	41,394,211,061
2012-13	39,801,598,579	413,594,818	1,194,140,333	41,409,333,730
2013-14	40,974,327,733	387,523,100	1,224,643,351	42,586,494,184
2014-15	43,435,579,006	330,083,100	1,209,974,897	44,975,637,003
2015-16	45,820,510,403	399,962,367	1,223,606,574	47,444,079,344
2016-17	48,030,365,997	--	1,211,484,370	49,241,850,367

⁽¹⁾ Assessed according to Assembly Bill 81 and amended Property Tax Rule 905, beginning in fiscal year 2003-04.
Source: California Municipal Statistics, Inc. (fiscal years 2000-01 through 2015-16); the County (fiscal year 2016-17).

Economic and other factors beyond the District's control, such as general market decline in property values, disruption in financial markets that may reduce availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, flood, fire, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District. Any such reduction would result in a corresponding increase in the annual tax rates levied by the County to pay the debt service with respect to the Series B Bonds from and after the Crossover Date and with respect to the Series A Bonds at all times that the Series A Bonds are outstanding. See "THE BONDS – Security and Sources of Payment" herein.

Drought. On January 17, 2014, the State Governor (the "Governor") declared a state-wide Drought State of Emergency. As of such date, the State faced water shortfalls due to the driest year in recorded State history; the State's rivers and reservoirs were below their record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (chiefly in the Sierra Nevada mountain range) at about 20% of normal average for the winter season. As part of his State of Emergency declaration, the Governor directed State officials to assist agricultural producers and communities that may be economically impacted by dry conditions. Following the Governor's declaration, the California State Water Resources Control Board (the "Water Board") issued a statewide notice of water shortages and potential future curtailment of water right diversions. On April 1, 2015, the Governor issued an executive order mandating certain temporary conservation measures, which were implemented by means of an emergency regulation adopted by the Water Board on May 5, 2015.

The temporary conservation measures have been extended and amended by subsequent executive orders of the Governor and Water Board regulations. Most recently, on May 9, 2016, the Governor issued an executive order ordering the Department of Water Resources, the Water Board and the California Public Utilities Commission to update and extend temporary water restrictions through end of January 2017, and to take actions to transition to permanent, long-term improvements in water use. Following the Governor's executive order, on May 18, 2016, the Water Board adopted a localized "stress test" approach of water conservation, under which local urban water agencies are required to ensure a three-year supply of water assuming three years of drought conditions. Agencies that project a water shortage at the end of the three-year period under the stress test are required to implement conservation measures through January 2017 equal to the percentage of water shortage projected.

The District cannot make any representation regarding the effects that the current drought has had, or, if it should continue, may have on the value of taxable property within the District, or to what extent the drought could cause disruptions to economic activity within the boundaries of the District.

Appeals and Adjustments of Assessed Valuations

Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization, with the appropriate county board of equalization or assessment appeals board. County assessors may independently reduce assessed values as well based upon the above factors or reductions in the fair market value of the taxable property. In most cases, an appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. Such reductions are subject to yearly reappraisals and may be adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" herein.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution.

Whether resulting from taxpayer appeals or county assessor reductions, adjustments to assessed value are subject to yearly reappraisals by the county assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS — Article XIII A of the California Constitution" herein.

The District does not have information regarding pending appeals of assessed valuation of property within the District. No assurance can be given that property tax appeals currently pending or in the future will not significantly reduce the assessed valuation of property within the District.

Assessed Valuation and Parcels by Land Use

The following table presents a breakdown of the District's fiscal year 2015-16 secured assessed valuation and parcels by land use.

ASSESSED VALUATION AND PARCELS BY LAND USE Fiscal Year 2015-16 Southwestern Community College District

	2015-16 <u>Assessed Valuation</u> ⁽¹⁾	% of <u>Total</u>	No. of <u>Parcels</u>	% of <u>Total</u>
<u>Non-Residential:</u>				
Rural/Undeveloped	\$228,401,829	0.50%	509	0.45%
Commercial	5,474,889,721	11.95	2,783	2.46
Vacant Commercial	189,317,104	0.41	454	0.40
Industrial	2,713,056,100	5.92	1,349	1.19
Vacant Industrial	436,058,923	0.95	607	0.54
Recreational	99,612,672	0.22	89	0.08
Government/Social/Institutional	30,175,030	0.07	206	0.18
Subtotal Non-Residential	\$9,171,511,379	20.02%	5,997	5.31%
<u>Residential:</u>				
Single Family Residence	\$24,966,665,451	54.49%	71,362	63.14%
Condominium/Townhouse	6,474,377,512	14.13	22,767	20.14
Mobile Home	122,193,749	0.27	1,970	1.74
Mobile Home Park	197,732,776	0.43	95	0.08
Timeshares	22,251,432	0.05	3,296	2.92
2-4 Residential Units	1,384,685,628	3.02	4,705	4.16
5+ Residential Units/Apartments	3,275,154,979	7.15	1,283	1.14
Miscellaneous Residential	6,768,363	0.01	65	0.06
Vacant Residential	199,169,134	0.43	1,482	1.31
Subtotal Residential	\$36,648,999,024	79.98%	107,025	94.69%
Total	\$45,820,510,403	100.00%	113,022	100.00%

(1) Local secured assessed valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation and Parcels by Jurisdiction

The following table presents a breakdown of the District's fiscal year 2015-16 secured assessed valuation and parcels by jurisdiction.

ASSESSED VALUATION AND PARCELS BY JURISDICTION⁽¹⁾

Fiscal Year 2015-16

Southwestern Community College District

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction ⁽¹⁾</u>	<u>% of Jurisdiction in District</u>
City of Chula Vista	\$24,455,998,641	51.55%	\$24,455,998,641	100.00%
City of Coronado	7,747,787,828	16.33	\$7,747,787,828	100.00%
City of Imperial Beach	1,675,407,878	3.53	\$1,675,407,878	100.00%
City of National City	3,438,578,562	7.25	\$3,442,331,058	99.89%
City of San Diego	7,763,489,073	16.36	\$208,955,746,525	3.72%
Unincorporated San Diego County	<u>2,362,817,362</u>	<u>4.98</u>	\$63,866,673,739	3.70%
Total District	\$47,444,079,344	100.00%		
San Diego County	\$47,444,079,344	100.00%	\$442,550,458,349	10.72%

(1) Before deduction of redevelopment incremental valuation.

Source: California Municipal Statistics, Inc.

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Assessed Valuation of Single Family Homes

The following table displays the fiscal year 2015-16 assessed valuation of single family residential parcels within the District.

ASSESSED VALUATION OF SINGLE FAMILY HOMES Fiscal Year 2015-16 Southwestern Community College District

	<u>No. of Parcels</u>	<u>2015-16 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single Family Residential	71,362	\$24,966,665,451	\$349,859	\$312,883

<u>2015-16 Assessed Valuation</u>	<u>No. of Parcels ⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$49,999	1,473	2.064%	2.064%	\$61,728,478	0.247%	0.247%
50,000 - 99,999	7,449	10.438	12.502	529,519,217	2.121	2.368
100,000 - 149,999	4,994	6.998	19.501	629,912,511	2.523	4.891
150,000 - 199,999	6,115	8.569	28.070	1,078,709,067	4.321	9.212
200,000 - 249,999	6,669	9.345	37.415	1,502,524,180	6.018	15.230
250,000 - 299,999	6,942	9.728	47.143	1,906,238,171	7.635	22.865
300,000 - 349,999	7,824	10.964	58.107	2,540,558,657	10.176	33.041
350,000 - 399,999	7,532	10.555	68.661	2,817,006,178	11.283	44.324
400,000 - 449,999	6,525	9.144	77.805	2,765,766,362	11.078	55.402
450,000 - 499,999	4,721	6.616	84.420	2,230,295,296	8.933	64.335
500,000 - 549,999	3,048	4.271	88.691	1,591,919,198	6.376	70.711
550,000 - 599,999	2,147	3.009	91.700	1,224,120,463	4.903	75.614
600,000 - 649,999	1,530	2.144	93.844	950,364,705	3.807	79.421
650,000 - 699,999	843	1.181	95.025	567,435,847	2.273	81.693
700,000 - 749,999	601	0.842	95.868	433,003,018	1.734	83.428
750,000 - 799,999	418	0.586	96.453	322,625,780	1.292	84.720
800,000 - 849,999	321	0.450	96.903	263,271,885	1.054	85.774
850,000 - 899,999	263	0.369	97.272	229,108,386	0.918	86.692
900,000 - 949,999	179	0.251	97.522	165,103,714	0.661	87.353
950,000 - 999,999	160	0.224	97.747	155,589,051	0.623	87.977
1,000,000 and greater	<u>1,608</u>	<u>2.253</u>	100.000	<u>3,001,865,287</u>	<u>12.023</u>	100.000
Total	71,362	100.000%		\$24,966,665,451	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment - Teeter Plan

The Board of Supervisors of the County has approved the implementation of the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 *et seq.* of the California Revenue and Taxation Code. Under the Teeter Plan, the County apportions secured property taxes on an accrual basis when due (irrespective of actual collections) to its local political subdivisions, including the District, for which the County acts as the tax-levying or tax-collecting agency.

The Teeter Plan is applicable to all tax levies for which the County acts as the tax-levying or tax-collecting agency, or for which the County treasury is the legal depository of the tax collections. As adopted by the County, the Teeter Plan excludes Mello-Roos Community Facilities Districts and special assessment districts which provide for accelerated judicial foreclosure of property for which assessments are delinquent.

The *ad valorem* property tax to be levied to pay the principal and Accreted Value of and interest on the Bonds will be subject to the Teeter Plan, beginning in the first year of such levy. The District will receive 100% of the *ad valorem* property tax levied to pay the Bonds irrespective of actual delinquencies in the collection of the tax by the County. In connection with its adoption of the Teeter Plan, the County advanced to the participating taxing agencies an amount equal to 95% of the total prior year's delinquent secured property taxes and assessments (not including penalties and interest) and 100% of the current year's delinquent secured property taxes and assessments outstanding.

The Teeter Plan is to remain in effect unless the Board of Supervisors of the County orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance joined in by a resolution adopted by at least two-thirds of the participating revenue districts in the County. In the event the Board of Supervisors is to order discontinuance of the Teeter Plan subsequent to its implementation, only those secured property taxes actually collected would be allocated to political subdivisions (including the District) for which the County acts as the tax-levying or tax-collecting agency.

Tax delinquency data for the prior fiscal years are not available.

Tax Rates

A representative tax rate area ("TRA") located within the District is Tax Rate Area 1-000. The table below demonstrates the total *ad valorem* property tax rates, as a percentage of assessed value, levied by all taxing entities in the TRA during the six-year period from 2010-11 through 2015-16.

TYPICAL TAX RATE (TRA 1-000)⁽¹⁾
Fiscal Years 2010-11 through 2015-16
Southwestern Community College District

	<u>2010-11</u>	<u>2011-12</u>	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>
General	1.00000%	1.00000%	1.00000%	1.00000%	1.00000%	1.00000%
Chula Vista School District	.02611	.02594	.02526	.02259	.02006	.01898
Chula Vista School District SFID 2012-1	--	--	--	.02372	.02747	.02403
Sweetwater Union High School District	.05517	.06079	.05862	.05823	.05407	.05169
Southwestern Community College District	.03635	.03308	.03753	.03675	.03582	.03961
Metropolitan Water District	<u>.00370</u>	<u>.00370</u>	<u>.00350</u>	<u>.00350</u>	<u>.00350</u>	<u>.00350</u>
Total	1.12133%	1.12351%	1.12491%	1.14479%	1.14092%	1.13781%

⁽¹⁾ 2015-16 assessed valuation of TRA 1-000 is \$2,286,097,401.

Source: California Municipal Statistics, Inc.

Largest Property Owners

The following table lists the 20 largest local secured taxpayers in the District in terms of their fiscal year 2015-16 secured assessed valuations.

LARGEST LOCAL SECURED TAXPAYERS Fiscal Year 2015-16 Southwestern Community College District

	<u>Property Owner</u>	<u>Primary Land Use</u>	2015-16 <u>Assessed Valuation</u>	% of <u>Total</u> ⁽¹⁾
1.	BSK Del Partners LLC	Hotel	\$603,828,160	1.32%
2.	Rohr Inc.	Industrial	232,806,153	0.51
3.	Chelsea San Diego Finance LLC	Shopping Center	211,305,740	0.46
4.	PR III/Broadstone Coronado LLC	Apartments	164,726,770	0.36
5.	One Park Apartments LP	Apartments	151,889,993	0.33
6.	Centermark Properties Inc.	Shopping Center	137,355,705	0.30
7.	Kreutzkamp Revocable 2000 Trust	Apartments	128,289,096	0.28
8.	GGP-Otay Ranch LP	Shopping Center	119,330,990	0.26
9.	Brisa Acquisitions LLC	Industrial	118,281,029	0.26
10.	Plaza Bonita LLC	Shopping Center	114,719,164	0.25
11.	Regulo Place Apartments Investors LLC	Apartments	100,283,129	0.22
12.	Vista Pacific Villas LP	Apartments	91,951,717	0.20
13.	51 st St. & 8 th Avenue Corporation	Hotel	91,438,183	0.20
14.	Host Hotels & Resorts LP	Hotel	88,895,222	0.19
15.	Wal-Mart Real Estate Business Trust	Commercial	88,484,655	0.19
16.	Olympic Pointe East Communities LLC	Apartments	88,422,185	0.19
17.	BRE-FMCA LLC	Apartments	76,216,169	0.17
18.	Chula Vista Center LP	Shopping Center	72,709,304	0.16
19.	Casoleil LP	Apartments	68,773,365	0.15
20.	Costco Wholesale Corporation	Commercial	<u>67,880,316</u>	<u>0.15</u>
			\$2,817,587,045	6.15%

⁽¹⁾ The fiscal year 2015-16 total District secured assessed valuation is \$45,820,510,403.

Source: California Municipal Statistics, Inc.

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the “Debt Report”), prepared by California Municipal Statistics, Inc. and effective as of July 1, 2016. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The following table shows the percentage of each overlapping entity’s assessed value located within the boundaries of the District. The table also shows the corresponding portion of the overlapping entity’s existing debt payable from property taxes levied within the District. The total amount of debt for each overlapping entity is not given in the table.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the District in whole or in part. The second column shows the percentage of each overlapping agency’s assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the apportionment of each overlapping agency’s outstanding debt to taxable property in the District.

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STATEMENT OF DIRECT AND OVERLAPPING BONDED DEBT
Southwestern Community College District

2015-16 Assessed Valuation: \$47,541,444,079,344

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 7/1/16</u>
Metropolitan Water District	1.546%	\$1,435,693
Southwestern Community College District	100.000	336,243,676⁽¹⁾
Coronado Unified School District	100.000	9,855,000
Sweetwater Union High School District	99.991	398,775,744
Chula Vista School District	100.000	52,855,000
Chula Vista School District School Facilities Improvement District No. 2012-1	100.000	40,650,000
National School District	99.884	17,979,120
San Ysidro School District	100.000	131,872,132
South Bay Union School District	100.000	33,487,633
City of National City	99.891	4,150,471
Otay Municipal Water District, I.D. No 27	100.000	4,580,000
City of Chula Vista Community Facilities Districts	100.000	137,605,000
School District Community Facilities Districts	100.000	131,415,000
City 1915 Act Bonds	100.000	11,490,000
California Statewide Communities Development Authority 1915 Act Bonds	100.000	5,903,033
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$1,318,297,502

<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
San Diego County General Fund Obligations	10.721%	\$33,002,454
San Diego County Pension Obligation Bonds	10.721	69,671,491
San Diego County Superintendent of Schools Obligations	10.721	1,425,357
Southwestern Community College District General Fund Obligations	100.000	980,000
Sweetwater Union High School District Certificates of Participation	99.991	41,846,234
Coronado Unified School District Certificates of Participation	100.000	8,140,000
Chula Vista City School District Certificates of Participation	100.000	165,785,000
San Ysidro School District Certificates of Participation	100.000	42,434,715
City of Chula Vista General Fund Obligations	100.000	102,440,000
City of National City General Fund Obligations	99.891	963,948
City of San Diego General Fund Obligations	3.715	22,068,772
San Miguel Consolidated Fire Protection District Certificates of Participation	0.274	8,713
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$488,766,684

OVERLAPPING TAX INCREMENT DEBT (Successor Agency): \$272,419,283

COMBINED TOTAL DEBT \$2,079,483,469⁽²⁾

(1) Excludes Refunding Bonds to be sold.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Ratios to 2015-16 Assessed Valuation:

Direct Debt (\$336,243,676)	0.71%
Total Direct and Overlapping Tax and Assessment Debt.....	2.78%
Combined Direct Debt (\$337,223,676)	0.71%
Combined Total Debt.....	4.38%

Ratio to Redevelopment Incremental Valuation (\$4,416,184,492):

Total Overlapping Tax Increment Debt.....	6.17%
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Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

The principal of and interest on the Series A Bonds, and from and after the Crossover Date, the principal of and interest on the Series B Bonds, are payable from the proceeds of an ad valorem property tax levied by the County for the payment thereof. See “THE BONDS – Security and Sources of Payment” herein. Articles XIII A, XIII B, XIII C and XIII D of the Constitution, Propositions 98 and 111, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the County on behalf of the District to levy taxes for payment of the Bonds. The tax levied by the County for payment of the principal of and interest on the Series A Bonds, and from and after the Crossover Date, the principal of and interest on the Series B Bonds, was approved by the voters of the District in compliance with Article XIII A, Article XIII C, and all applicable laws.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* property taxes on real property to 1% of “full cash value” as determined by the county assessor. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the 1975-76 bill under ‘full cash value,’ or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The full cash value is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by the voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value, adjusted for inflation. Reductions in assessed value could result in a corresponding increase in the annual tax rate levied by the County to pay debt service on the Bonds. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF THE SERIES A BONDS AND THE SERIES B BONDS FOLLOWING THE CROSSOVER DATE – Assessed Valuations” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem* property, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (a) on any indebtedness approved by the voters prior to July 1, 1978, or (b) as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds or more of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (c) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% or more of the votes cast on the proposition, but only if certain

accountability measures are included in the proposition. In addition, Article XIII A requires the approval of two-thirds or more of all members of the State Legislature (the “State Legislature”) to change any State taxes for the purpose of increasing tax revenues.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the relevant county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the California State Supreme Court have upheld the general validity of Article XIII A.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions (“unitary property”). Under the State Constitution, such property is assessed by the State Board of Equalization (“SBE”) as part of a “going concern” rather than as individual pieces of real or personal property. Such State-assessed unitary and certain other property is allocated to the counties by the SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s education financing formulas. See “FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA – Major Revenues” herein.

Article XIII B of the California Constitution

Article XIII B (“Article XIII B”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, community college district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines

- (a) “change in the cost of living” with respect to K-14 districts to mean the percentage change in California per capita income from the preceding year, and

- (b) “change in population” with respect to a K-14 school district means the percentage change in the average daily attendance of such K-14 district from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain State subventions to that entity. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the State Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See “– Propositions 98 and 111” below.

Article XIII C and Article XIII D of the California Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, “Article XIII C” and “Article XIII D”), which contain a number of provisions affecting the ability of local agencies, including school districts and community college districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIII C establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts and community college districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4.

Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the California Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Propositions 98 and 111

On November 8, 1988, voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changes State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-14 school districts at a level equal to the greater of (a) the same percentage of the State General Fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, and (b) the amount actually appropriated to such districts from the General Fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the State Legislature to suspend this formula for a one-year period.

The Accountability Act also changes how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 school districts. Any such transfer to K-14 school districts would be

excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the State Legislature or a court might not interpret the Accountability Act to require a different percentage of General Fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's budget.

On June 5, 1990, the voters of the State approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limitation Act of 1990" ("Proposition 111") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in California per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of such district's minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into such districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.
- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the State Legislature. Second, there are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the State Legislature and the Governor, which expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

- d. Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.
- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues (“Test 1”) or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment (“Test 2”). Under Proposition 111, K-14 school districts will receive the greater of (1) Test 1, (2) Test 2, or (3) a third test (“Test 3”), which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in California per capita personal income. Under Test 3, K-14 school districts will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a “credit” (also referred to as a “maintenance factor”) to K-14 school districts which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as Proposition 39) to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the State Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, community college districts, and county offices of education. As noted above, the California Constitution previously limited property taxes to 1% of the value of property. Property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the governing board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the governing board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate levied as the result of any single election be no more than \$60 (for a unified school district), \$30 (for an elementary or high school district), or \$25 (for a community college district), per \$100,000 of taxable property value, when assessed valuation is projected to increase in accordance with Article XIII A of the Constitution. These requirements are not part of this proposition and can be changed with a majority vote of both houses of the State Legislature and approval by the Governor.

Jarvis v. Connell

On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the California Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District's budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the California Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amends the State constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to K-14 school districts, (iii) change how property tax revenues are shared among local governments without two-third approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Proposition 1A allows the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by the voters of the State on November 2, 2010, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to K-14 school districts or other agencies and eliminates the State's authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State's authority to use State fuel tax revenues to pay debt service on state transportation bonds, to borrow or change the distribution of state fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for state mandated costs. Proposition 22 impacts resources in the State's general fund and transportation funds, the State's main funding source for school districts and community college districts, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst's Office (the "LAO") on July 15, 2010, the expected reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was projected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1% of the State's total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, was expected to be an increase in the State's general fund costs by approximately \$1 billion annually for several decades. See also "FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA – State Dissolution of Redevelopment Agencies" herein.

Proposition 30

On November 6, 2012, voters of the State approved the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as “Proposition 30”), which temporarily increases the State Sales and Use Tax and personal income tax rates on higher incomes. Proposition 30 temporarily imposes an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposes an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017, for storage, use, or other consumption in the State. This excise tax will be levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing on January 1, 2012 and ending in the taxable year commencing on December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the temporary tax increases will be included in the calculation of the Proposition 98 Minimum Funding Guarantee (defined herein) for school districts and community college districts. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Propositions 98 and 111” herein. From an accounting perspective, the revenues generated from the temporary tax increases are being deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “EPA”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to schools districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing Board are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

Proposition 2

On November 4, 2014, voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State’s Budget Stabilization Account (the “BSA”) established by the California Balanced Budget Act of 2004 (also known as Proposition 58).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the “Annual BSA Transfer”). Supplemental transfers to the BSA (a “Supplemental BSA Transfer”) are also required in any fiscal year in which the estimated State general fund revenues that are allocable to capital gains taxes exceed 8% of total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts

pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15 year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the State Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the State Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the State Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a “budget emergency,” defined as a an emergency within the meaning of Article XIII B of the Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the “PSSSA”) into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would be otherwise paid to K-14 school districts as part of the Minimum Funding Guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the Minimum Funding Guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the Minimum Funding Guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for ADA growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated Minimum Funding Guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated Minimum Funding Guarantee is less than the prior year’s funding level, as adjusted for ADA growth and cost of living.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 98, 39, 22, 26 and 30 were each adopted as measures that qualified for the ballot pursuant to the State’s initiative process. From time to time other initiative measures could be adopted further

affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA

The information in this section concerning State funding of community college districts is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from State revenues. Prior to the Crossover Date, the Series B Bonds will be secured by and payable solely from monies on deposit in the Series B Bonds Escrow Fund. The Series A Bonds, and, from and after the Crossover Date, the Series B Bonds, will be payable solely from the proceeds of an ad valorem property tax which is required to be levied by the County in an amount sufficient for the payment thereof.

Major Revenues

General. California community college districts (other than Basic Aid Districts, as described below) receive a majority of their funding from the State, and the balance from local and federal sources. State funds include general apportionment, categorical funds, capital construction, the lottery (which generally is less than 3 percent), and other minor sources. Local funds include property taxes, student fees, and miscellaneous sources.

A bill passed the State's Legislature ("SB 361"), and signed by the Governor on September 29, 2006, established the present system of funding for community college districts. This system includes allocation of state general apportionment revenues to community college districts based on criteria developed by the Board of Governors of the California Community Colleges (the "Board of Governors") in accordance with prescribed statewide minimum requirements. In establishing these minimum requirements, the Board of Governors was required to acknowledge community college districts' need to receive an annual allocation based on the number of colleges and comprehensive centers in each respective district, plus funding received based on the number of credit and noncredit FTES in each district.

SB 361 also specified that, commencing with the 2006-07 fiscal year, the minimum funding per FTES would be: (a) not less than \$4,367 per credit FTES; (b) at a uniform rate of \$2,626 per noncredit FTES; and (c) set at \$3,092 per FTES for a new instructional category of "career development and college preparation" ("CDCP") enhanced non-credit rate. Each such minimum funding rate is subject to cost of living adjustments (each, a "COLA"), if any, funded through the State budgeting legislation in each fiscal year. Pursuant to SB 361, the State Chancellor (the "Chancellor") developed criteria for one-time grants for districts that would have received more funding under the prior system or a then-proposed rural college access grant, than under the current system.

The following table shows the District's FTES counts for fiscal years 2010-11 through 2015-16, and the projected FTES count for fiscal year 2016-17.

FULL TIME EQUIVALENT STUDENTS⁽¹⁾
Fiscal Years 2010-11 through 2016-17
Southwestern Community College District

<u>Fiscal Year</u>	<u>Funded FTES⁽²⁾</u>	<u>Unfunded FTES⁽²⁾</u>	<u>Total FTES</u>
2010-11	15,876	57	15,934
2011-12	14,621	148	14,770
2012-13	14,745	--	14,745
2013-14	15,072	--	15,072
2014-15	15,427	--	15,427
2015-16	15,427 ⁽³⁾	--	14,914
2016-17 ⁽⁴⁾	15,410	--	15,410

⁽¹⁾ One FTES is equivalent to 525 student contact hours, which is determined based on a State formula of one student multiplied by 15 weekly contact hours multiplied by 35 weeks. Accordingly, the number of FTES in the District may not equal the number of students enrolled in the District. Reflects resident FTES counts only. Non-resident FTES are generally excluded from State funding formula calculations.

⁽²⁾ In each fiscal year, the State budget will establish an enrollment cap on the maximum number of FTES, known as the "funded" FTES, for which a community college district will receive a revenue allocation, as determined by the program-based model. A district's enrollment cap is based on the previous fiscal year's reported FTES, plus the growth allowance provide for by the State budget, if any. All student hours in excess of the enrollment cap are considered "unfunded" FTES.

⁽³⁾ Reflects FTES in excess of the District's actual FTES count, and for which it received stability funding. See "—Stability Funding" herein.

⁽⁴⁾ Budgeted.

Source: Southwestern Community College District.

Local revenues are first used to satisfy District expenditures. The major local revenue source is local property taxes that are collected from within District boundaries. Student enrollment fees from the District generally account for the remainder of the District's local revenues. Property taxes and student enrollment fees are applied towards fulfilling the District's financial need. Once these sources are exhausted, State funds are used. State aid is subject to the appropriation of funds in the State's annual budget. Decreases in State revenues may affect appropriations made by the State Legislature to the District. The sum of the property taxes, student enrollment fees, and State aid generally comprise the District's total funding allocation.

"Basic Aid" community college districts are those districts whose local property taxes, student enrollment fee collections, and Education Protection Account ("EPA") funds exceed the revenue allocation determined by the program-based model. Basic Aid districts do not receive any general apportionment funding from the State (though they are currently entitled to the minimum amount of funding derived from taxes levied pursuant to Proposition 30, in an amount equal to \$100 per unit of FTES). See also "CONSTITUTIONAL AND STATUTORY LIMITATIONS ON TAXES AND APPROPRIATIONS – Proposition 30" herein. The current law in the State allows these districts to keep the excess funds without penalty. The implication for Basic Aid districts is that the legislatively determined annual COLA and other politically determined factors are less significant in determining such districts' primary funding sources. Rather, property tax growth and the local economy become the determining factors. The District is not a Basic Aid district.

A small part of a community college district's budget is from local sources other than property taxes and student enrollment fees, such as interest income, donations and sales of property. Every community college district receives the same amount of lottery funds per pupil from the State, however, these are not categorical funds as they are not for particular programs or students. The initiative

authorizing the lottery requires these funds to be used for instructional purposes, and prohibits their use for capital purposes.

Stability Funding. Under California Code Regulations Section 58776, during the initial year of a decline in FTES, community college districts are eligible to receive “stability” funding, in an amount equal to the revenue loss associated with a decline in FTES for that year. If the decline in FTES continues into a second and third year, community college districts are eligible to receive 75% and 50%, respectively, of the revenue loss associated with such a decline. If FTES are not restored to the pre-decline level within a period of two years following the initial decline, a community college district that has received stability funding is subject to a permanent reduction of its funded FTES and an attendant decline in operating revenue. For fiscal year 2015-16, the District received stability funding. The Board is currently studying the enrollment forecast of the District and steps to maintain and grow enrollment that will minimize any reduction in operating revenues.

Tax Shifts and Triple Flip

Assembly Bill No. 1755 (“AB 1755”), introduced March 10, 2003 and substantially amended June 23, 2003, requires the shifting of property taxes between redevelopment agencies and K-14 school districts. See also “- State Dissolution or Redevelopment Agencies” herein. On July 29, 2003, the Assembly amended Senate Bill No. 1045 to incorporate all of the provisions of AB 1755, except that the Assembly reduced the amount of the required Education Revenue Augmentation Fund (“ERAF”) shift to \$135 million. Legislation commonly referred to as the “Triple Flip” was approved by the voters on March 2, 2004, as part of a bond initiative formally known as the “California Economic Recovery Act.” This act authorized the issuance of \$15 billion in bonds to finance the 2002-03 and 2003-04 State budget deficits, which are payable from a fund established by the redirection of tax revenues through the “Triple Flip.” Under the “Triple Flip,” one-quarter of local governments’ 1% share of the sales tax imposed on taxable transactions within their jurisdiction is redirected to the State. In an effort to eliminate the adverse impact of the sales tax revenue redirection on local government, the legislation redirects property taxes in the ERAF to local government. Because the ERAF monies were previously earmarked for K-14 school districts, the legislation provides for K-14 school districts to receive other state general fund revenues.

Budget Procedures

On or before September 15, the Board of the District is required under California Code of Regulations Section 58305, to adopt a balanced budget. Each September, every State agency, including the State Chancellor’s Office of the California Community Colleges (the “Chancellor’s Office”) submits to the Department of Finance (“DOF”) proposals for changes in the State budget. These proposals are submitted in the form of Budget Change Proposals (“BCPs”), involving analyses of needs, proposed solutions and expected outcomes. Thereafter, the DOF makes recommendations to the Governor, and by January 10 a proposed State budget is presented by the Governor to the State Legislature. The Governor’s Budget is then analyzed and discussed in committees and hearings begin in the State Assembly and Senate. In May of each year, based on the debate, analysis and changes in the economic forecasts, the Governor issues a revised budget with changes he or she can support. The law requires the State Legislature to submit its approved budget by June 15, and by June 30 the Governor should announce his or her line item reductions and sign the State budget. In response to growing concern for accountability and with enabling legislation (AB 2910, Chapter 1486, Statutes of 1986), the Board of Governors and the Chancellor’s Office have established expectations for sound district fiscal management and a process for monitoring and evaluating the financial condition to ensure the financial health of California’s community college districts. In accordance with statutory and regulatory provisions, the State Chancellor has been given the responsibility to identify community college districts at risk and, when necessary, the authority to intervene in the management of a community college district to bring

about improvement in such district's financial condition. To stabilize such a district's financial condition, the State Chancellor may, as a last resort, seek an appropriation from the State for an emergency apportionment.

The monitoring and evaluation process is designed to provide early detection and amelioration that will stabilize the financial condition of a district before an emergency apportionment is necessary. This is accomplished by (1) assessing the financial condition of districts through the use of various information sources and (2) taking appropriate and timely follow-up action to bring about improvement in a district's financial condition, as needed. A variety of instruments and sources of information are used to provide a composite of each district's financial condition, including quarterly financial status reports, annual financial and budget reports, attendance reports, annual district audit reports, district input and other financial records. In assessing each district's financial condition, the State Chancellor will pay special attention to each district's general fund balance, spending pattern, and FTES patterns. Those districts with greater financial difficulty will receive follow-up visits from the State Chancellor's Office where financial solutions to the district's problems will be addressed and implemented.

See "SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – General Fund Budgeting" herein for more information regarding the District's recent budgets.

Minimum Funding Guarantees for California Community College Districts Under Propositions 98 and 111

General. In 1988, California voters approved Proposition 98, an initiative that amended Article XVI of the State Constitution and provided specific procedures to determine a minimum guarantee for annual K-14 funding. The constitutional provision links the K-14 funding formulas to growth factors that are also used to compute the State appropriations limit. Proposition 111 (Senate Constitutional Amendment 1), adopted in June 1990, among other things, changed some earlier school funding provisions of Proposition 98 relating to the treatment of revenues in excess of the State spending limit and added Test 3 to calculate the annual funding guarantee. This third calculation is operative in years in which general fund tax revenue growth is weak. The amendment also specified that under Test 2 (see below), the annual COLA for the minimum guarantee for annual K-14 funding would be the change in California's per-capita personal income, which is the same COLA used to make annual adjustments to the State appropriations limit (Article XIII B).

Calculating Minimum Funding Guarantee. There are currently three tests which determine the minimum level of K-14 funding. Under implementing legislation for Proposition 98 (AB 198 and SB 98 of 1989), each segment of public education (K-12 districts, community college districts, and direct elementary and secondary level instructional services provided by the State) has separately calculated amounts under the Proposition 98 tests. The base year for the separate calculations is the 1989-90 fiscal year. Each year, each segment is entitled to the greater of the amounts separately computed for each under Test 1 or 2. Should the calculated amount under Proposition 98 guarantee (K-14 aggregated) be less than the sum of the separate calculations, then the Proposition 98 guarantee amount shall be prorated to the three segments in proportion to the amount calculated for each. This statutory split has been suspended in every year beginning with 1992-93. In those years, community colleges received less than was required from the statutory split.

Test 1 guarantees that K-14 education will receive at least the same funding share of the State general fund budget it received in 1986-87. Initially, that share was just over 40%. Because of the major shifts of property tax from local government to community colleges and K-12 which began in 1992-93 and increased in 1993-94, the percentage dropped to 33.0%.

Test 2 provides that K-14 education will receive as a minimum, its prior-year total funding (including State general fund and local revenues) adjusted for enrollment growth (i.e. FTES) and per-capita personal income COLA.

Test 3, established pursuant to Proposition 111, provides an alternative calculation of the funding base in years in which State per-capita General Fund revenues grow more slowly than per-capita personal income. When this condition exists, K-14 minimum funding is determined based on the prior-year funding level, adjusted for changes in enrollment and COLA where the COLA is measured by the annual increase in per-capita general fund revenues, instead of the higher per-capita personal income factor. The total allocation, however, is increased by an amount equal to one-half of 1% of the prior-year funding level as a funding supplement.

In order to make up for the lower funding level under Test 3, in subsequent years K-14 education receives a maintenance allowance equal to the difference between what should have been provided if the revenue conditions had not been weak and what was actually received under the Test 3 formula. This maintenance allowance is paid in subsequent years when the growth in per-capita State tax revenue outpaces the growth in per-capita personal income.

The enabling legislation to Proposition 111, Chapter 60, Statutes of 1990 (SB 98, Garamendi), further provides that K-14 education shall receive a supplemental appropriation in a Test 3 year if the annual growth rate in non-Proposition 98 per-capita appropriations exceeds the annual growth rate in per-pupil total spending.

Redevelopment Revenues

The District previously received tax offset revenue from the County as a part of certain redevelopment projects within the County (the “Tax Offset Revenues”). The Tax Offset Revenues received are deposited directly into the general fund of the District and offset the State apportionment received by the District. The District also receives pass-through tax increment revenue (the “Pass-Through Revenues”) from the redevelopment agencies within the District’s boundaries. The Pass-Through Revenues received by the District are deposited into the District’s Redevelopment Fund, and used for facilities improvements. The Pass-Through Revenues do not offset the State apportionment received by the District. The amount of Tax Offset Revenues and Pass-Through Revenues received by the District from fiscal years 2012-13 through 2016-17 are shown in the following table.

TAX OFFSET AND PASS-THROUGH REVENUES Fiscal Years 2012-13 through 2016-17 Southwestern Community College District

Fiscal Year	Tax Offset Revenues⁽¹⁾	Pass-Through Revenues⁽²⁾
2012-13	\$1,192,432	\$435,689
2013-14	870,982	480,591
2014-15	736,552	424,832
2015-16	840,000	450,000
2016-17 ⁽³⁾	600,000	450,000

⁽¹⁾ Tax Offset Revenues received offset State apportionments received by the District.

⁽²⁾ Pass-Through Revenues received do not offset State apportionments received by the District.

⁽³⁾ Budgeted.

Source: Southwestern Community College District.

State Dissolution of Redevelopment Agencies

On December 30, 2011, the California Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all Redevelopment Agencies in California ceased to exist as a matter of law on February 1, 2012. The Court in *Matosantos* also found that ABx1 27, a companion bill to ABx1 26, violated the California Constitution, as amended by Proposition 22. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 1A and Proposition 22” herein. ABx1 27 would have permitted redevelopment agencies to continue operations provided their establishing cities or counties agreed to make specified payments to K-14 school districts and county offices of education, totaling \$1.7 billion statewide.

ABx1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of the Successor Agency, as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, equal to at least \$250,000 in any year, unless the oversight board reduces such amount for any fiscal year or a lesser amount is agreed to by the Successor Agency; then, fourth tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the Controller and the Department of Finance that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the Controller. If the Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities. Per statute, 100% of contractual and statutory two percent pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993) (“AB 1290”), are restricted to educational facilities without offset against revenue limit apportionments by the State. Only 43.3% of AB 1290 pass-throughs are offset against State aid so long as the affected local taxing entity uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABx1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received . . . had the redevelopment agency existed at that time,” and that the county auditor-controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of ABx1 26 using current assessed values . . . and pursuant to statutory pass-through formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

State Assistance

State community college districts’ principal funding formulas and revenue sources are derived from the State budget. The following information concerning the State’s budgets has been obtained from publicly available information which the District believes to be reliable; however, neither the District nor the Underwriters has independently verified such information. Furthermore, it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. The Series A Bonds and, from and after the Crossover Date, the Series B Bonds, are payable from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof.

2016-17 Budget. On June 28, 2016, the Governor signed into the law the State budget for fiscal year 2016-17 (the “2016-17 Budget”). The following information is drawn from the Department of Finance’s summary of the 2016-17 Budget.

The 2016-17 Budget projects, for fiscal year 2015-16, total general fund revenues and transfers of \$117 billion and total expenditures of \$115.6 billion. The State is projected to end the 2015-16 fiscal year with total available reserves of \$7.3 billion, including \$3.9 billion in the traditional general fund reserve and \$3.4 billion in the BSA. For fiscal year 2016-17, the 2016-17 Budget assumes total general fund revenues of \$120.3 billion and authorizes expenditures of \$122.5 billion. The State is projected to end the 2016-17 fiscal year with total available reserves of \$8.5 billion, including \$1.8 billion in the traditional general fund reserve and \$6.7 billion in the BSA.

For fiscal year 2016-17, the 2016-17 Budget sets the minimum funding guarantee at \$71.9 billion, an increase of \$3.5 billion over the revised level from the prior fiscal year. Significant features with respect to community college district funding include the following:

- *Base Allocations* – An increase of \$114.7 million to base allocations to support 2% growth in student enrollment. The 2016-17 Budget also provides \$75 million to increase base

allocations in recognition of increased operating expenses including in the areas of facilities, employee and retirement benefits and professional development.

- *Local Property Tax Adjustments* – Funding levels reflect decreases of \$198.4 million in Proposition 98 funding in fiscal year 2016-17 for community college districts, as a result of higher offsetting property tax receipts. The 2016-17 Budget's funding levels also reflect an increase of \$31.7 million in Proposition 98 funding, allocable to fiscal year 2015-16, to address an anticipated shortfall in redevelopment agency property taxes for community college apportionments.
- *Career Technical Education (CTE)* – \$200 million in Proposition 98 funding to expand access to workforce-aligned CTE through existing regional adult education consortia composed of school districts, community college districts and other stakeholders. The 2016-17 Budget also provides \$48 million to support the Career Pathways Trust Program, which provides grant awards to community college districts to develop, enhance and expand career technical education programs that build upon existing regional capacity to meet labor demands.
- *Student Success* – \$30 million in one-time funding for grants that support basic skills instruction aimed at improving students' transition to college-level courses. The 2016-17 Budget also provides \$15 million in one-time Proposition 98 grant funding to support coordinated student outreach by local educational agencies and community college districts aimed at increasing college preparation, access, and success.
- *Innovation Awards* - \$25 million in Proposition 98 funding for awards to community college districts that develop innovations in curriculum and instruction, prior learning assessments and access to financial aid.
- *On-line Education* – \$20 million in one-time Proposition 98 funding to support the development of online courses available through the Online Course Exchange, a program which allows students to enroll in online courses across participating community colleges without requiring students to complete separate application and matriculation processes.
- *Telecommunications and Technology* – An increase of \$15 million in Proposition 98 funding, including \$5 million in ongoing funding, to expand broadband capacity across community college campuses.
- *Zero-Textbook-Cost-Degrees* – An increase of \$5 million in Proposition 98 funding to support the creation of degree, certificate and credentialing programs that use only freely accessible, openly licensed educational resources.
- *Deferred Maintenance and Instructional Equipment* – \$184.6 million in one-time Proposition 98 funding for deferred facility maintenance, instructional equipment, or specified water conservation projects.
- *Mandates* - \$105.5 million in one-time Proposition 98 funding to reduce the existing backlog of unpaid reimbursement claims to community college districts for the cost of State-mandated programs. The funding would be provided to local educational agencies on a per-student basis, and would be available to be used at local discretion.
- *Proposition 39* - Passed by voters in November 2012, Proposition 39 increases State corporate tax revenues and requires that, for a five-year period starting in fiscal year 2013-14, and requires that a portion of these additional revenues be used allocated to local education agencies to improve energy efficiency and expand the use of alternative energy in public buildings. The 2016-17 Budget allocates \$49.2 million to support community college energy

efficiency projects and clean energy job development programs, an increase of \$10.5 million from the prior-year level.

Future Actions. The District cannot predict what actions will be taken in the future by the State legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State's ability to fund schools. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy ad valorem property taxes upon all taxable property within the District for the payment of principal of and interest on the Bonds would not be impaired.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

The information in this section concerning the operations of the District and the District's finances are provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. Prior to the Crossover Date, the Series B Bonds will be secured by and payable solely from monies on deposit in the Series B Bonds Escrow Fund. The Series A Bonds, and, from and after the Crossover Date, the Series B Bonds, will be payable solely from the proceeds of an ad valorem property tax which is required to be levied by the County in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

Introduction

The District was established in 1960 and provides higher education in southern San Diego County. The District operates one campus, Southwestern College in Chula Vista, and three higher education centers in San Ysidro, National City and Otay Mesa. The District's area equals approximately 162 square miles. Southwestern College (the "College") is fully accredited by the Accrediting Commission for Community and Junior Colleges ("ACCJC"). For fiscal year 2016-17, the District has projected its full-time equivalent student ("FTES") count at 15,410 students. Taxable property within the District has a fiscal year 2016-17 assessed valuation of \$49,241,850,367.

Administration

The District is governed by the five-member Board, each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their office and the date their term expires, are listed below:

<u>Board Member</u>	<u>Office</u>	<u>Term Expires</u>
Nora E. Vargas	President	December 2018
Tim Nader	Vice President	December 2018
Griselda Delgado	Member	December 2016
Norma L. Hernandez	Member	December 2018
Humberto Peraza Jr.	Member	December 2016

Source: Southwestern Community College District.

The Superintendent/President of the District is appointed by the Board and reports to the Board. The Superintendent/President is responsible for management of the District's day-to-day operations and supervises the work of other key administrators. Robert P. Deegan is serving as Interim Superintendent/President. The Board is conducting a search for a permanent Superintendent/President, which search is anticipated to conclude in January 2017. Brief biographies of the Interim President/Superintendent and Vice President for Business and Financial Affairs are included below:

Robert P. Deegan, Interim Superintendent/President. Mr. Robert Deegan was appointed Interim Superintendent/President of the District on August 9, 2016 and began serving on August 15, 2016. Prior to this appointment, Mr. Deegan was the Superintendent/President of the Palomar Community College District from 2005 through 2015 and before that, served as the Vice President of Student Services at Santiago Canyon College. Prior to his position at Santiago Canyon College, Mr. Deegan was a faculty member at Irvine Valley College, where he taught and counseled for 19 years, held many leadership offices, and was selected twice to fill one-year terms as Interim Vice President of Student Services. He also worked as a counselor at California State University, Dominguez Hills. Mr. Deegan earned both his bachelor's degree in psychology and master's degree in counseling at San Francisco State University.

Timothy Flood, Vice President for Business and Financial Affairs. Mr. Timothy Flood has served as the Vice President of Business and Financial Affairs at Southwestern Community College District since January 19, 2016 and served as Acting Superintendent/President from June 30 through August 14, 2016. Prior to joining Southwestern CCD, he served the Grossmont-Cuyamaca Community College district in various administrative roles including: Interim President for six months, Vice President Administrative Services for seven years, and Director of Campus Facilities, Operations, and Maintenance for seven years. Mr. Flood earned a B.S. in Accountancy and a Master's in Public Administration with an emphasis in Finance from National University.

Accreditation

General. The ACCJC is authorized by the federal Department of Education as one of the seven regional associations that accredit public and private schools, colleges and universities in the United States. The ACCJC is the recognized accrediting association for the western region, which includes the States of California and Hawaii, as well as the territories of Guam, American Samoa and Northern Marianas Islands. The ACCJC reviews community colleges on rolling, six year cycles.

Accreditation by the ACCJC is voluntary and designed to evaluate and enforce standards of educational quality and institutional effectiveness. Accreditation is also a form of peer review. ACCJC standards and criteria are developed and implemented by representatives from the member institutions. Although the ACCJC is not a governmental agency, and has no direct authority over the operations of the District, it is responsible for determining whether the College receives or retains accreditation. For public colleges, the loss of accreditation would result in the loss of federal funding and most state funding, including student financial aid.

To obtain accreditation, institutions must first satisfy minimum ACCJC eligibility requirements (the “Eligibility Requirements”), of which there are 21 covering a wide range of areas. Accredited institutions must continually meet these Eligibility Requirements. As part of the institutional self-study prepared during each accreditation cycle, compliance with certain of the Eligibility Requirements must be specifically demonstrated, while the balance may be addressed as part of the institution’s response to related Accreditation Standards (defined herein).

As part of each accrediting cycle, the ACCJC requires member institutions to demonstrate compliance with its accreditation standards (the “Accreditation Standards”). There are four main standards: (i) Mission, Academic Quality and Institutional Effectiveness, and Integrity, (ii) Student Learning Programs and Support Services, (iii) Institutional Resources, and (iv) Leadership and Governance. Each Accreditation Standard is subdivided in several components, for a total of 127 separate standards.

In addition, to maintain accreditation, institutions must also be in compliance with the ACCJC’s policies at all times during the six-year review cycle. In support of its Policy on Monitoring Institutional Performance, the ACCJC applies a set of annual monitoring and evaluation approaches that assess an institution’s continued compliance with the ACCJC Standards, and that take into account institutional strength and stability. Such annual monitoring includes, but is not limited to headcount enrollment data and the collection and analysis of key data and indicators of fiscal stewardship and stability. In furtherance of this policy, institutions are required to submit an Annual Financial Report (“AFR”) including their annual audited financial statements to the ACCJC. The purpose of the AFR is to monitor the fiscal condition of the institutions in accordance with federal requirements and to enable the ACCJC to identify institutions that are at potential financial risk. The ACCJC has developed a Composite Financial Index (“CFI”) to assess institutional finances. Based on their analysis, institutions are assigned one of three levels of financial risk. Institutions in Category N (Normal Monitoring) are not subject to additional monitoring. Institutions in Category M (Enhanced Monitoring) will have enhanced monitoring of their financial condition in the current and subsequent reporting years to assess whether financial conditions improve or deteriorate. Institutions assigned as Category R (Referred) undergo a more comprehensive analysis of their financial condition by the ACCJC’s financial reviewers.

If the ACCJC determines that a community college is out of compliance with Accreditation Standards, Eligibility Requirements or Policies, it may issue several levels of sanctions, including a warning, indicating the ACCJC’s concern regarding identified deficiencies. If a college significantly deviates from Accreditation Standards, Eligibility Requirements or Policies, it may also be placed on “probation” status. Finally, if a college continues to be significantly out of compliance with Accreditation Standards, Eligibility Requirements or Policies, or fails to properly respond to ACCJC recommendations with respect to identified deficiencies, the ACCJC may place the affected college on a “show cause” status, requiring the affected institution to show cause why its accreditation should not be withdrawn at the end of the stated period. For a community college district issued such show cause status, ACCJC policies require the development of a closure plan for the affected college, to become operative in the event such district is unable to remedy the identified deficiencies. The requirement to develop a closure plan ensures that all those affected by the potential loss of accreditation are informed as early as possible,

and that the affected district has a contingency plan for the completion of programs by students, the securing of confidential student and employee records, and the disposition of assets of the affected college. The ACCJC’s policy, however, does not address State or federal laws that could bear on the ability of a community college district to close a college. Therefore, the development of a closure plan, as required by the ACCJC, should not be seen as an affirmative election to close an affected college.

Recent Accreditation History of the District. At its meeting of January 6-8, 2016, the ACCJC took action to impose “Warning” status, finding that the College was deficient in meeting certain portions of the following accreditation standards: (i) Standard I.A. (Mission, Academic Quality and Institutional Effectiveness, and Integrity – Mission); (ii) Standard II.A. (Student Learning Programs and Support Services – Instructional Programs); (iii) Standard III.A (Resources – Human Resources); (iv) Standard III.D. (Resources – Financial Resources); (v) Standard IV.A. (Leadership and Governance – Decision-Making Roles and Processes); and (vi) Standard IV.B. (Chief Executive Officer). The ACCJC advanced 15 recommendations for the College to address in the areas detailed above. The District expects to fully address all recommendations and will provide the required follow-up report to the ACCJC by March 15, 2017. The accredited status of the College will continue through the warning period.

Additional information regarding the College’s accreditation is available at <https://www.swccd.edu/index.aspx?page=3413>. However, the information presented on such website is not incorporated herein by any reference.

Labor Relations

The District currently employs 252 full-time certificated professionals, 343 full-time classified employees (includes classified bargaining unit-CSEA and 26 Classified Confidential Employees) and managers, 24 educational administrators and 38 classified administrators. In addition, the District employs 712 part-time faculty and 950 part time staff. These employees, except management and some part-time employees, are represented by three bargaining units as noted below:

BARGAINING UNITS Southwestern Community College District

<u>Labor Organization</u>	<u>Number of Employees In Organization</u>	<u>Contract Expiration Date</u>
Southwestern College Education Association (SCEA)	964	June 30, 2017
California School Employees’ Association (CSEA)	343	April 30, 2018
Southwestern Community College District Administrators Association (SCCDAA)	62	Inaugural Contract ⁽¹⁾

⁽¹⁾ The SCCDAA is currently negotiating the terms of its inaugural contract.
Source: Southwestern Community College District.

Retirement Programs

The information set forth below regarding the STRS and PERS programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the District, the Financial Advisor or the Underwriters.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the State Teachers' Retirement System ("STRS"). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, none of the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State recently passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 ("AB 1469") into law as a part of the State's fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the "2014 Liability"), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate will increase over a three-year phase-in period in accordance with the following schedule:

MEMBER CONTRIBUTION RATES STRS (Defined Benefit Program)

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.150%	8.150%
July 1, 2015	9.200	8.560
July 1, 2016	10.250	9.205

Source: AB 1469.

Pursuant to AB 1469, K-14 school districts' contribution rate will increase over a seven-year phase-in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 school districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter the STRS Teachers' Retirement Board (the "STRS Board"), is required to increase or decrease the K-14 school districts' contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members' contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the State Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The District's contribution to STRS was \$2,954,187 for fiscal year 2012-13, \$2,953,388 for fiscal year 2013-14, \$3,552,000 for fiscal year 2014-15 and \$4,485,630 (estimated) for fiscal year 2015-16. The District has budgeted \$5,218,841 as its contribution for fiscal year 2016-17.

The State also contributes to STRS, currently in an amount equal to 4.891% of teacher payroll for fiscal year 2015-16. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Pursuant to AB 1469, the State contribution rate will increase over a three year period to a total of 6.328% in fiscal year 2016-17. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants at June 30, 2014 included 1,580 public agencies and 1,513 K-14 school districts. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the PERS Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. The District is currently required to contribute to PERS at an actuarially determined rate, which is 11.847% of eligible salary expenditures for fiscal year 2015-16 and 13.888% in fiscal year 2016-17. Participants enrolled in PERS prior to January 1, 2013 contribute 7% of their respective salaries, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 6% of their respective salaries for fiscal years 2015-16 and 2016-17. See "—California Public Employees' Pension Reform Act of 2013" herein.

The District's contribution to PERS was \$2,386,468 for fiscal year 2012-13, \$2,462,346 for fiscal year 2013-14, \$2,726,442 for fiscal year 2014-15 and \$2,634,947 (estimated) for fiscal year 2015-16. The District has budgeted \$2,896,681 as its contribution for fiscal year 2016-17.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The following table summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are “forward-looking” information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

FUNDED STATUS
STRS (Defined Benefit Program) and PERS
(Dollar Amounts in Millions)⁽¹⁾
Fiscal Years 2010-11 through 2014-15

<u>STRS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of Trust Assets <u>(MVA)⁽²⁾</u>	Unfunded Liability <u>(MVA)⁽²⁾⁽³⁾</u>	Value of Trust Assets <u>(AVA)⁽⁴⁾</u>	Unfunded Liability <u>(AVA)⁽⁴⁾</u>
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718
2014-15	241,753	180,633	72,626	165,553	76,200

<u>PERS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	Value of Trust Assets <u>(MVA)⁽²⁾</u>	Unfunded Liability <u>(MVA)⁽²⁾</u>	Value of Trust Assets <u>(AVA)⁽⁴⁾</u>	Unfunded Liability <u>(AVA)⁽⁴⁾</u>
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁵⁾	-- ⁽⁵⁾
2014-15 ⁽⁶⁾	73,325	56,814	16,511	-- ⁽⁵⁾	-- ⁽⁵⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets.

⁽³⁾ Excludes assets allocated to the SBPA reserve.

⁽⁴⁾ Reflects actuarial value of assets.

⁽⁵⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

⁽⁶⁾ On April 19, 2016, the PERS Finance & Administration Committee approved the K-14 school district contribution rate for fiscal year 2016-17 and released certain actuarial information to be incorporated into the June 30, 2015 actuarial valuation to be released in summer 2016.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

The STRS Board has sole authority to determine the actuarial assumptions and methods used for the valuation of the STRS Defined Benefit Program. The following are certain of the actuarial assumptions adopted by the STRS Board with respect to the STRS Defined Benefit Program Actuarial Valuation for fiscal year 2014-15: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” 7.50% investment rate of return (net of investment and administrative expenses), 4.50% interest on member accounts, 3.75% projected wage growth, and 3.00% projected inflation. According to the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2015, the future revenue from contributions and appropriations for the STRS Defined Benefit Program was projected to be sufficient to finance its obligations. This finding reflects the scheduled contribution increases specified in AB 1469 and is based on the valuation assumptions and the valuation policy adopted by the STRS Board.

In recent years, the PERS Board of Administration (the “PERS Board”) has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS’ rate of expected price inflation and its investment rate of return (net of administrative expenses) (the “PERS Discount Rate”) from 7.75% to 7.5%. As one consequence of such decrease, the annual contribution amounts paid by PERS member public agencies, including the District, have been increased by 1 to 2% for miscellaneous plans and by 2 to 3% for safety plans beginning in fiscal year 2013-14. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board voted to reduce the PERS Discount Rate to 6.5% over a period of 20 years. This change could result in increased contributions over time from both employers and employees.

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect to the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions will first be reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District’s required contributions to PERS will not increase in the future.

California Public Employees’ Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees’ Pension Reform Act of 2013 (the “Reform Act”), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the “Implementation Date”). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25

years of service), and (iii) caps “pensionable compensation” for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, GASB approved Statements Nos. 67 and 68 (the “Statements”) with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government’s balance sheet (currently, such unfunded liabilities are typically included as notes to the government’s financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

For more information about the Statements, see “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 8” attached hereto.

Supplemental Early Retirement Plans

On April 15, 2015, the Board approved a supplemental early retirement plan for classified employees for fiscal year 2015-16 (the “Classified Plan”), which will be administered by the San Diego County Schools Fringe Benefit Consortium (the “FBC”). Eligibility for the Classified Plan is restricted to classified employees who retired from the District on or before December 30, 2015 and who have rendered at least 10 years of regular, permanent service to the District and are age 50 or older on the date of retirement. The Classified Plan is a fixed annuity product designed to qualify under Section 403(b) of the Code, which will provide enrollees in the Classified Plan 75% of their annual base salary as of their date of separation, paid out over a three-year period in equal annual installments. The District will make two more installment payments to the FBC on behalf of each eligible retiree on or about January 15, 2017 and January 15, 2018.

On April 15, 2015, the Board also approved a supplemental early retirement plan for permanent academic employees and academic administrators for fiscal year 2015-16 (the “Academic Plan”). Eligibility for the Academic Plan is restricted to permanent academic employees and academic administrators who retired from the District on or before December 30, 2015 and who have rendered at least 10 years of service credit in STRS and are age 55 or older on the date of retirement. Eligible employees and administrators elected to either receive (i) two years of STRS service credit or (ii) a fixed

annuity product designed to qualify under Section 403(b) of the Code, which will provide enrollees in the Academic Plan 75% of their annual base salary as of their date of separation, paid out over a three-year period in equal annual installments. With respect to the annuity plan, the District will make two more installment payments to the FBC on behalf of each eligible retiree on or about January 15, 2017 and January 15, 2018.

Post-Employment Health Care Benefits

Benefit Plan. The District provides post employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic).

The following is a summary description of the current retiree benefit plan:

<u>Benefit Types Provider</u>	<u>Faculty</u>	<u>Classified</u>	<u>Management⁽¹⁾</u>
	<u>Medical and Dental</u>	<u>Medical Only</u>	<u>Medical, Dental and Medicare Part B</u>
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	50
Dependent Coverage	No	No	No
	50% (not less than	100%	100%
College Contribution %	\$1,000 per year)		
College Cap	None	after age 65 \$1,000 per year	after age 65 \$1,000 per year ⁽²⁾

⁽¹⁾ Educational administrators hired after 12/31/2003 are not entitled to any District-paid benefits.

⁽²⁾ Employees hired prior to 01/01/2004 are not subject to this cap.

As of the date of the District's latest actuarial study (discussed below), the District had 597 active employees who are eligible for post-retirement health benefits, and 271 retirees who receive post-retirement health benefits.

Funding Policy. The District recognizes expenditures for Post-Employment Benefits on a pay-as-you-go-basis to cover the cost of benefits for current retirees, together with an additional amount to prefund the District's outstanding accrued liability for Post-Employment Benefits (as discussed herein). During fiscal year 2012-13, the District realized total expenditures of \$489,037 for Post-Employment Benefits for retired employees, net of a deposit of \$705,631 into the OPEB Trust (defined below). During fiscal year 2013-14, the District realized total expenditures of \$575,899 for Post-Employment Benefits for retired employees. During fiscal year 2014-15, the District realized total expenditures of \$558,056 for Post-Employment Benefits for retired employees. During fiscal year 2015-16, the District realized total expenditures of \$550,000 (estimated) for Post-Employment Benefits for retired employees. The District has budgeted expenditures of \$550,000 in fiscal year 2016-17 for current premiums with respect to Post-Employment Benefits.

The District has also established an irrevocable, GASB-qualifying trust to fund its accrued liability for the Benefits (the "OPEB Trust"). As of May 31, 2016, the value of assets in the OPEB Trust was \$3,508,696.

Accrued Liability. The District has implemented *Governmental Accounting Standards Board Statement #45, Accounting and Financial Reporting by Employers for Postemployment Benefit Plans Other Than Pension Plans* (“GASB 45”), pursuant to which the District has commissioned and received several actuarial studies of its accrued liability with respect to the Benefits. The most recent of these studies, dated as of May 18, 2016, concluded that the District’s actuarial accrued liability (“AAL”) in respect of the Benefits, as of a February 1, 2016 valuation date, was \$19,539,240, and that the annual required contribution (the “ARC”) was \$1,708,492, taking into account the actuarial value of Plan assets of \$3,299,929 at January 31, 2016. The ARC is the amount that would be necessary to fund the value of future benefits earned by current employees during each fiscal year (the “Normal Cost”) and the amount necessary to amortize the unfunded actuarial accrued liability, in accordance with the Governmental Accounting Standards Board Statements Nos. 43 and 45.

As of June 30, 2015, the District recognized a long-term obligation (the “Net OPEB Obligation”) of \$3,717,552 with respect to its accrued liability for the Benefits. The Net OPEB Obligation is based on the District’s contributions towards the ARC during fiscal year 2014-15, plus interest on the prior year’s Net OPEB Obligation and minus any adjustments to reflect the amortization thereof. See “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT — Note 7” attached hereto.

Risk Management

The District’s risk management activities include employee dental, property and liability, and worker’s compensation insurance programs. The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years. See “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT — Note 9” attached hereto.

Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (“JPA”) entity called the Statewide Association of Community Colleges (“SWACC”). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately nineteen community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC. This entity has budgeting and financial reporting requirements independent of member units. See “APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT — Note 10” attached hereto.

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California Community College Budget and Accounting Manual. This manual, according to Section 84030 of the California Education Code, is to be followed by all California community college districts. GASB has released Statement No. 34, which makes changes in the annual financial statements for all governmental agencies in the United States, especially in recording of fixed assets and their depreciation, and in the way the report itself is formatted. These requirements became effective on May 15, 2002 for the District, as well as for any other governmental

agency with annual revenues of between \$10 million and \$100 million. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

General Fund Budgeting

The table on the following page shows the District's general fund budgets for fiscal years 2012-13 through 2016-17 and unaudited actual results for fiscal years 2012-13 through 2015-16. For further information, see also "APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT" attached hereto.

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GENERAL FUND BUDGETING
Fiscal Years 2012-13 through 2016-17
Southwestern Community College District

	Fiscal Year 2012-13		Fiscal Year 2013-14		Fiscal Year 2014-15		Fiscal Year 2015-16		Fiscal Year 2016-17
	<u>Budgeted⁽¹⁾</u>	<u>Unaudited⁽¹⁾</u>	<u>Budgeted⁽¹⁾</u>	<u>Unaudited⁽¹⁾</u>	<u>Budgeted⁽¹⁾</u>	<u>Unaudited⁽¹⁾</u>	<u>Budgeted⁽¹⁾</u>	<u>Projected⁽²⁾</u>	<u>Budgeted⁽²⁾</u>
REVENUES:									
Federal	\$4,165,674	\$4,098,987	\$3,370,309	\$3,626,908	\$3,095,004	\$3,324,433	\$3,211,262	\$3,211,262	\$3,037,096
State	55,718,985	54,432,377	60,854,077	63,785,589	65,881,568	69,615,572	77,748,805	79,335,839	79,088,992
Local	<u>28,062,156</u>	<u>27,746,358</u>	<u>30,206,987</u>	<u>27,683,417</u>	<u>30,282,273</u>	<u>29,607,848</u>	<u>34,015,738</u>	<u>33,510,622</u>	<u>32,779,795</u>
TOTAL REVENUES	87,946,815	86,277,722	94,431,373	95,095,914	99,258,845	102,547,853	114,975,805	116,057,723	114,905,883
EXPENDITURES:									
Academic Salaries	36,244,669	36,720,897	40,029,656	40,075,554	41,731,566	44,674,453	46,251,743	45,467,504	46,151,367
Classified Salaries	23,178,695	23,071,128	24,649,909	24,482,932	26,543,723	26,549,118	28,845,936	28,437,686	29,581,100
Employee Benefits	16,550,628	15,996,501	16,246,006	16,075,391	15,712,440	16,450,485	19,820,582	18,836,813	22,916,264
Books and Supplies	2,411,352	2,654,701	2,931,244	3,202,150	3,551,093	4,302,793	4,755,977	4,044,702	5,232,355
Services and Other Operating Expenditures	10,485,872	8,374,420	9,754,072	8,086,688	10,466,098	9,811,669	11,401,134	10,908,436	12,861,924
Capital Outlay	<u>148,033</u>	<u>238,395</u>	<u>263,815</u>	<u>177,682</u>	<u>450,012</u>	<u>727,231</u>	<u>577,473</u>	<u>577,504</u>	<u>865,874</u>
TOTAL EXPENDITURES	89,019,249	87,056,042	93,874,702	92,100,397	98,454,932	102,515,749	111,652,845	108,272,645	117,608,884
EXCESS (DEFICIENCY) OF REVENUE OVER EXPENDITURES	(1,072,434)	(778,320)	556,671	2,995,517	803,913	32,104	3,322,960	7,785,078	(2,703,001)
OTHER FINANCING SOURCES (USES)	--	1,000,000	--	677,681	--	664,907	--	--	--
OTHER OUTGO	(1,164,680)	(706,339)	(1,158,477)	(1,412,003)	(977,211)	(1,752,998)	(4,121,327)	(1,894,186)	(1,215,963)
NET INCREASE (DECREASE) IN FUND BALANCES	(2,237,114)	(484,659)	(601,806)	2,261,195	(173,298)	(1,055,987)	(798,367)	5,890,892	(3,918,964)
BEGINNING FUND BALANCE	9,456,661	9,456,661	8,972,002	8,972,002	11,233,197	11,233,197	10,177,210	10,177,210	16,068,102
Prior Year Adjustments	--	--	--	--	--	--	--	--	--
ENDING FUND BALANCE	<u>\$7,219,547</u>	<u>\$8,972,002</u>	<u>\$8,370,196</u>	<u>\$11,233,197</u>	<u>\$11,059,899</u>	<u>\$10,177,210</u>	<u>\$9,378,843</u>	<u>\$16,068,102</u>	<u>\$12,149,138</u>

⁽¹⁾ From the District's CCFS-311 Reports filed with the California Community Colleges Chancellor's Office. Unaudited results for fiscal years 2012-13 through 2014-15 in object-oriented format provided for comparison. For audited results of those fiscal years in revised reporting format, see "SOUTHWESTERN COMMUNITY COLLEGE DISTRICT – Comparative Financial Statements" herein.

⁽²⁾ As of June 30, 2016.

⁽³⁾ As of the District's Tentative Adopted Budget for fiscal year 2016-17 approved by the Governing Board on June 14, 2016.

Source: Southwestern Community College District.

Comparative Financial Statements

The following table reflects the District's audited revenues, expenditures and changes in net assets from fiscal years 2010-11 through 2014-15:

SUMMARY OF AUDITED REVENUES, EXPENDITURES AND CHANGES IN NET ASSETS

Fiscal Years 2010-11 through 2014-15 Southwestern Community College District

	Fiscal Year <u>2010-11</u>	Fiscal Year <u>2011-12</u>	Fiscal Year <u>2012-13</u>	Fiscal Year <u>2013-14</u>	Fiscal Year <u>2014-15</u>
OPERATING REVENUES					
Tuition and Fees	\$6,858,614	\$7,624,847	\$7,038,293	\$6,618,464	\$7,002,811
Grants and Contracts, non-capital:					
Federal	6,854,128	6,655,089	6,413,443	5,477,683	5,178,466
State	1,863,158	1,234,889	1,548,395	1,590,596	2,368,259
Local	<u>1,580,300</u>	<u>1,938,114</u>	<u>1,868,027</u>	<u>1,322,455</u>	<u>1,219,850</u>
Total grants and contracts, non-capital	10,297,586	9,828,092	9,829,865	8,390,734	8,766,575
Auxiliary enterprise sales and charges, net	4,811,194	4,508,827	4,646,247	4,871,365	4,885,882
Other operating revenues	--	--	--	--	--
Total operating revenues	21,967,394	21,961,766	21,514,405	19,880,563	20,655,882
OPERATING EXPENSES					
Salaries	65,987,451	64,423,603	60,986,809	65,822,478	72,370,608
Employee benefits	15,815,906	16,783,146	16,662,004	17,481,599	17,860,999
Payments to students	26,043,496	25,476,716	25,190,977	28,823,764	30,755,665
Supplies, materials and other expenses	13,431,390	15,992,170	12,089,890	13,018,149	17,043,277
Utilities	2,312,509	2,151,381	2,214,721	2,331,653	2,368,010
Depreciation	<u>3,945,609</u>	<u>4,139,837</u>	<u>4,212,102</u>	<u>4,242,032</u>	<u>6,292,024</u>
Total operating expenses	127,536,361	128,966,853	121,356,503	131,719,675	146,690,583
Operating income (loss)	(105,568,967)	(107,005,087)	(99,842,098)	(111,839,112)	(126,035,315)
NON-OPERATING REVENUES (EXPENSES)					
Federal grants, non-capital	21,367,467	21,088,526	20,890,331	24,551,794	25,627,461
State apportionments, non-capital	60,960,781	53,085,435	51,586,884	63,785,588	69,615,570
Local property taxes	32,356,895	31,294,205	34,280,422	34,838,406	37,240,019
State taxes and other revenues	2,685,813	2,588,412	2,858,098	--	--
Investment income, non-capital	789,954	852,372	570,061	558,205	489,794
Interest expense	(15,257,794)	(11,975,146)	(11,927,357)	(11,668,870)	(11,561,005)
Impairment loss	--	--	(3,749,922)	--	--
Other non-operating revenue (expenses)	<u>2,377,958</u>	<u>4,716,573</u>	<u>3,823,402</u>	<u>4,990,408</u>	<u>5,405,380</u>
Total non-operating revenues (expenses)	105,281,074	101,650,377	98,331,919	117,055,531	126,817,219
Net change in net assets	(287,893)	(5,354,710)	(1,510,179)	5,216,419	781,904
NET ASSETS					
Beginning of Year, as restated	<u>70,014,109</u>	<u>69,726,216</u>	<u>64,371,506</u>	<u>60,513,900</u>	<u>(18,344,151)⁽¹⁾</u>
End Of Year	<u>\$69,726,216</u>	<u>\$64,371,506</u>	<u>\$62,861,327</u>	<u>\$65,730,319</u>	<u>(17,562,247)</u>

⁽¹⁾ Pursuant to GASB Statement No. 68, the net position was restated in order to recognize the District's net pension liability, deferred outflows of resources and deferred inflows of resources. See "-- Retirement Programs - GASB Statement Nos. 67 and 68" herein.

Source: Southwestern Community College District.

Educational Foundation

The Southwestern College Foundation (the “Foundation”) is a not-for-profit public benefit corporation organized under Section 501(c)(3) of the Code. The Foundation was established in 1982 to support the District and its students, specifically by providing scholarships to students and contributing directly to the District. Under GASB rules, the Foundation is a component unit of the District for financial reporting purposes. As of June 30, 2015, the Foundation had net assets valued at \$985,400.

District Debt Structure

Long-Term Debt. General long-term debt as of June 30, 2015 consisted of the following:

	Balance July 1, 2014	Additions	Reductions	Balance June 30, 2015
Bonds payable:				
Lease Revenue Bonds	\$1,160,000	--	\$(90,000)	\$1,070,000
GO Bond 2004	12,993,974	--	--	12,993,974
GO Bond 2005	32,670,000	--	(32,670,000)	--
GO Bond 2005, Refunding Series B	20,555,001	--	(4,165,000)	16,390,001
GO Bond 2008, Series A	8,195,000	--	(400,000)	7,795,000
GO Bond 2008, Series B	89,775,000	--	--	89,775,000
GO Bond 2008, Series C	66,400,371	--	(30,000)	66,370,371
GO Bond 2015, Refunding	--	\$27,045,000	--	27,045,000
Unamortized premium	<u>5,652,436</u>	<u>4,030,391</u>	<u>(2,238,373)</u>	<u>7,444,454</u>
Total bonds payable	237,401,782	31,075,391	(39,593,373)	228,883,800
Compensated absences:	<u>3,078,078</u>	<u>\$2,618,621</u>	<u>(2,513,908)</u>	<u>3,182,791</u>
Total	<u>\$240,479,860</u>	<u>\$33,694,012</u>	<u>\$(42,107,281)</u>	<u>\$232,066,591</u>

Source: Southwestern Community College District.

Lease Revenue Bonds. On October 1, 2010, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to refund the District’s then-outstanding 1999 Lease Revenue Bonds (the “2010 Lease Revenue Bonds”). The District’s portion of the issuance was in the initial principal amount of \$1,410,000.

The annual requirement of the 2010 Lease Revenue Bonds outstanding is as follows:

Year Ending (October 1)	Principal Component	Interest Component	Total
2016	\$90,000.00	\$33,693.76	\$123,693.76
2017	95,000.00	30,993.76	125,993.76
2018	100,000.00	28,143.76	128,143.76
2019	100,000.00	25,143.76	125,143.76
2020	105,000.00	22,143.76	127,143.76
2021	115,000.00	17,943.76	132,943.76
2022	115,000.00	13,918.76	128,918.76
2023	<u>260,000.00</u>	<u>9,750.00</u>	<u>269,750.00</u>
Total	<u>\$980,000.00</u>	<u>\$181,731.32</u>	<u>\$1,161,731.32</u>

Source: Southwestern Community College District.

General Obligation Bonds. The District received authorization at an election held on November 7, 2000 by the requisite two-thirds of the votes cast by eligible voters within the District to issue

\$89,354,000 aggregate principal amount of general obligation bonds (the “2000 Authorization”). On May 22, 2001, the District issued its General Obligation Bonds Election of 2000, Series 2001 in the aggregate principal amount of \$40,000,000 (the “Series 2001 Bonds”). On October 13, 2004 the District issued its General Obligation Bonds Election of 2000 Series 2004 Bonds in the aggregate principal amount of \$49,353,974.05 (the “Series 2004 Bonds”). On February 17, 2005 the District issued its 2005 General Obligation Refunding Bonds in the aggregate principal amount of \$40,575,000 (the “2005 Refunding Bonds”) in order to refund all of the then-outstanding Series 2001 Bonds. On August 4, 2005, the District issued its 2005 General Obligation Refunding Bonds, Series B in the aggregate principal amount of \$37,456,116.40 (the “2005 Refunding Bonds, Series B”) in order to refund a portion of the District’s then-outstanding Series 2004 Bonds. On May 15, 2015, the District issued its 2015 General Obligation Refunding Bonds in the aggregate principal amount of \$27,045,000 (the “2015 Refunding Bonds”) in order to refund portions of the then-outstanding 2005 Refunding Bonds. There is no remaining useable 2000 Authorization.

The District received authorization at an election held on November 4, 2008 by the requisite fifty-five percent of the votes cast by eligible voters within the District to issue \$389,000,000 aggregate principal amount of general obligation bonds (the “2008 Authorization”). On November 5, 2009, the District issued its first series of bonds under the 2008 Authorization in the aggregate principal amount of \$10,225,000 (the “2008 Series A Bonds”). Concurrently with the issuance of the District’s 2008 Series A Bonds, the District issued its second series of bonds under the 2008 Authorization in the aggregate principal amount of \$89,775,000 (the “2008 Series B Bonds”) as federally taxable Build America Bonds. On June 16, 2011, the District issued its third series of bonds under the 2008 Authorization in the aggregate principal amount of \$68,730,371.35 (the “2008 Series C Bonds”). On July 7, 2015, the District issued its fourth series of bonds under the 2008 Authorization in the aggregate principal amount of \$121,649,331 (the “2008 Series D Bonds”). \$98,620,297.65 of the 2008 Authorization remains unissued.

The District has placed a measure on the November 8, 2016 ballot to authorize the issuance of not-to-exceed \$400,000,000 aggregate principal amount of general obligation bonds, subject to approval by at least fifty-five percent of the voters voting on the measure. If approved, the proceeds of such bonds would be used by the District to finance the acquisition, construction and modernization of District sites and facilities.

The following table shows the annual debt service requirements for all of the District's outstanding general obligation bonded debt.

SOUTHWESTERN COMMUNITY COLLEGE DISTRICT
General Obligation Bonds – Consolidated Debt Service Schedule

Year Ending (August 1)	Series 2004 Bonds	2005 Refunding Bonds, Series B	2008 Series A Bonds⁽¹⁾	2008 Series B Bonds⁽²⁾⁽³⁾	2008 Series C Bonds	2015 Refunding Bonds	2008 Series D Bonds	The Series A Bonds	The Series B Bonds⁽⁴⁾	Total Debt Service
2017	--	\$6,265,737.50	\$1,074,850.00	\$6,401,727.00	\$3,083,062.50	\$3,057,600.00	\$6,931,450.00	\$91,800.00	\$3,051,990.00	\$29,958,217.00
2018	--	489,412.50	1,215,625.00	6,401,727.00	3,157,662.50	3,173,600.00	3,832,050.00	102,000.00	3,391,100.00	21,763,177.00
2019	--	--	1,360,950.00	6,401,727.00	3,238,862.50	3,282,000.00	3,693,000.00	102,000.00	3,391,100.00	21,469,639.50
2020	--	--	--	6,401,727.00	3,321,862.50	3,400,500.00	4,003,000.00	1,702,000.00	3,391,100.00	22,220,189.50
2021	--	--	--	6,401,727.00	3,404,612.50	3,527,500.00	4,333,000.00	1,854,000.00	3,391,100.00	22,911,939.50
2022	--	--	--	8,396,727.00	3,491,862.50	3,652,000.00	4,688,000.00	--	5,296,100.00	25,524,689.50
2023	--	--	--	8,521,042.00	3,578,112.50	3,783,500.00	5,058,000.00	--	5,464,900.00	26,405,554.50
2024	\$3,910,000.00	--	--	8,629,607.00	3,668,112.50	3,921,000.00	5,458,000.00	--	5,618,900.00	31,205,619.50
2025	4,175,000.00	--	--	8,742,422.00	3,761,362.50	4,063,500.00	5,873,000.00	--	5,788,300.00	32,403,584.50
2026	9,050,000.00	--	--	8,850,277.50	3,847,362.50	--	6,313,000.00	--	5,967,100.00	34,027,740.00
2027	9,510,000.00	--	--	8,951,386.50	3,946,112.50	--	6,773,000.00	--	6,144,500.00	35,324,999.00
2028	9,985,000.00	--	--	9,044,679.50	4,046,612.50	--	7,263,000.00	--	6,322,750.00	36,662,042.00
2029	5,805,000.00	--	--	9,139,087.00	4,148,362.50	--	7,773,000.00	--	6,509,000.00	33,374,449.50
2030	--	--	--	9,227,826.50	4,250,862.50	--	8,318,000.00	--	6,697,000.00	28,493,689.00
2031	--	--	--	9,314,472.00	4,358,612.50	--	8,883,000.00	--	6,897,250.00	29,453,334.50
2032	--	--	--	9,392,241.00	4,470,225.00	--	9,483,000.00	--	7,097,600.00	30,443,066.00
2033	--	--	--	9,464,412.50	4,579,762.50	--	10,113,000.00	--	7,302,800.00	31,459,975.00
2034	--	--	--	9,528,687.50	4,691,700.00	--	10,783,000.00	--	7,511,800.00	32,515,187.50
2035	--	--	--	9,588,258.50	4,810,250.00	--	11,478,000.00	--	7,728,800.00	33,605,308.50
2036	--	--	--	9,640,956.50	4,929,362.50	--	12,213,000.00	--	7,952,800.00	34,736,119.00
2037	--	--	--	9,679,612.50	5,053,250.00	--	12,988,000.00	--	8,172,800.00	35,893,662.50
2038	--	--	--	9,717,419.00	5,225,500.00	--	13,748,000.00	--	8,413,200.00	37,104,119.00
2039	--	--	--	9,736,484.00	5,484,500.00	--	14,478,000.00	--	8,642,400.00	38,341,384.00
2040	--	--	--	--	15,507,277.10	--	15,233,000.00	--	--	30,740,277.10
2041	--	--	--	--	15,895,000.00	--	16,151,000.00	--	--	32,046,000.00
2042	--	--	--	--	16,289,283.60	--	17,119,250.00	--	--	33,408,533.60
2043	--	--	--	--	16,697,710.33	--	18,131,500.00	--	--	34,829,210.33
2044	--	--	--	--	17,115,837.69	--	19,141,500.00	--	--	36,257,337.69
2045	--	--	--	--	17,541,095.15	--	--	--	--	17,541,095.15
2046	--	--	--	--	17,980,000.00	--	--	--	--	17,980,000.00
Total	\$42,435,000.00	\$6,755,150.00	\$3,651,425.00	\$197,574,233.50	\$211,574,191.37	\$31,861,200.00	\$270,252,750.00	\$3,851,800.00	\$140,144,390.00	\$908,100,139.87

⁽¹⁾ Excludes debt service on the 2008 Series A Refunded Bonds expected to be refunded by the Series A Bonds.

⁽²⁾ Includes debt service on the 2008 Series B Refunded Bonds expected to be refunded by the Series B Bonds. Prior to the Crossover Date, the 2008 Series B Refunded Bonds will continue to be an obligation of the District payable solely from *ad valorem* property taxes.

⁽³⁾ The 2008 Series B Bonds are designated as "Build America Bonds" pursuant to an irrevocable election by the District to have Section 54AA and Section 54AA(g) of Internal Revenue Code of 1986, as amended apply thereto. The District expects to receive a cash subsidy payment from the United States Department of the Treasury equal to 35% of the interest payable on such bonds on or about each semi-annual interest payment date (each a "BAB Subsidy Payment"). This table reflects gross debt service payments with respect to the 2008 Series B Bonds and does not reflect the anticipated receipt of the BAB Subsidy Payment. The BAB Subsidy Payments are subject to reduction (the "Sequestration Reduction") pursuant to the federal Balanced Budget and Emergency Deficit Control Act of 1985, as amended, which currently includes provisions reducing the BAB Subsidy Payments by 6.8% through the end of the current federal fiscal year (September 30, 2016). In the absence of action by the U.S. Congress, the rate of the Sequestration Reduction is subject to change in the following federal fiscal year. The District cannot predict whether or how subsequent sequestration actions may affect BAB Subsidy Payments currently scheduled for receipt in future federal fiscal years. However, notwithstanding any such reduction, the County Board of Supervisors is empowered and obligated to levy *ad valorem* property taxes in an amount sufficient to pay the principal of and interest on the Series B Bonds.

⁽⁴⁾ Includes debt service on the Series B Bonds prior to the Crossover Date, payable solely from amounts on deposit in the Escrow Fund. From and after the Crossover Date, debt service on the Series B Bonds is payable solely from *ad valorem* property taxes.

Source: Southwestern Community College District.

TAX MATTERS

In the opinion of Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. Bond Counsel notes that, with respect to corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income which may affect the alternative minimum tax liability of corporations.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

Bond Counsel's opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE INTEREST ON THE BONDS OR THE MARKET VALUE OF THE BONDS. LEGISLATIVE CHANGES HAVE BEEN PROPOSED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME TAX BEING IMPOSED ON CERTAIN OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS, SUCH AS THE BONDS. THE INTRODUCTION OR ENACTMENT OF ANY OF SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE BONDS, SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF THE BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolutions and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) with on the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

Copies of the proposed forms of opinions of Bond Counsel for the Bonds are attached hereto as APPENDIX A.

LEGAL MATTERS

Legality for Investment in California

Under provisions of the State Financial Code, the Bonds are legal investments for commercial banks in the State to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and, under provisions of the State Government Code, are eligible for security for deposits of public moneys in the State.

Continuing Disclosure

Current Undertakings. In connection with the issuance of the Bonds, the District has covenanted for the benefit of bondholders (including Beneficial Owners of the Bonds) to provide certain financial information and operating data relating to the District (the "Annual Reports") by not later than nine

months following the end of the District's fiscal year (which currently ends June 30), commencing with the report for the 2015-16 fiscal year, and to provide notices of the occurrence of certain listed events. The Annual Reports and notices of listed events will be filed by the District in accordance with the requirements of the Rule. The specific nature of the information to be contained in the Annual Reports or the notices of listed events is included in "APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE" attached hereto. These covenants have been made in order to assist the Underwriters in complying with the Rule.

Prior Undertakings. The District has, in the past five years, failed to file certain portions of its required annual reports in a timely manner as required by its prior continuing disclosure obligations. For fiscal year 2010-11, the District filed its annual report less than a week late. For fiscal year 2012-13, the District filed its annual report approximately two months late. In connection with the annual reports described above, within the past five years, the District has never filed a notice of a failure to provide annual financial information, on or before the date specified in its prior continuing disclosure certificates. In addition, in the past five years, the District has failed to file notices of certain listed events in a timely manner as required by its prior continuing disclosure obligations.

The District elected to participate in the Municipalities Continuing Disclosure Cooperation ("MCDC") initiative of the Securities and Exchange Commission. The MCDC is a program allowing issuers and Underwriters to voluntarily report issuances of municipal obligations where the official statement or other offering document therefor may have made misstatements about compliance with the issuer's or other obligated person's continuing disclosure obligations. The District is not aware of an underwriting firm filing a report under MCDC with respect to the District's prior official statements, yet it chose to self-report for statements made in the Official Statement for the District's Election of 2008 General Obligation Bonds, Series C.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District's ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District's ability to issue and retire the Bonds.

Information Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 ("TIPRA"). Under Section 6049 of the Code, as amended by TIPRA, interest paid on tax-exempt obligations is subject to information reporting in a manner similar to interest paid on taxable obligations. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. The effective date of this provision is for interest paid after December 31, 2005, regardless of when the tax-exempt obligations were issued. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Escrow Verification

Upon delivery of the Bonds, the Verification Agent will deliver a report on the mathematical accuracy of certain computations based upon certain information and assumptions provided to them by the Underwriters relating to (a) the adequacy of the maturing principal of and interest on the Federal

Securities in the respective Escrow Funds, together with any moneys held therein as cash, to pay (i) the debt service due on the Series B Bonds prior to the Crossover Date, (ii) the principal of the Refunded 2008 Series B Bonds on the Crossover Date, such date being the first optional redemption date therefor, and (iii) the redemption price of and interest on the Refunded 2008 Series A Bonds and Refunded 2008 Series C Bonds on the first optional redemption dates therefor following the issuance of the Series A Bonds, and (b) the computations of yield of the Bonds and the Federal Securities in the respective Escrow Funds which support Bond Counsel's opinion that the interest on the Bonds is excluded from gross income for federal income tax purposes.

Legal Opinions

The legal opinions of Bond Counsel, approving the validity of the Bonds, will be supplied to the original purchasers thereof without cost. Copies of the proposed forms of such legal opinions for the Bonds are attached to this Official Statement as APPENDIX A.

MISCELLANEOUS

Ratings

The Bonds have been assigned ratings of "Aa2" and "AA-" by Moody's and S&P, respectively. The ratings reflect only the view of the rating agencies, and any explanation of the significance of such ratings should be obtained from the rating agencies at the following addresses: Moody's, 7 World Trade Center at 250 Greenwich, New York, NY 10007 and S&P Global Ratings, 55 Water Street, 45th Floor, New York, NY 10041. Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies. There is no assurance that the ratings will be retained for any given period of time or that the same will not be revised downward or withdrawn entirely by the rating agencies if, in the judgment of the rating agencies, circumstances so warrant. The District undertakes no responsibility to oppose any such revision or withdrawal. Any such downward revision or withdrawal of the ratings obtained may have an adverse effect on the market price of the Bonds.

The District has covenanted in a Continuing Disclosure Certificate to file on the Municipal Securities Rulemaking Board's Electronic Municipal Market Access website ("EMMA") notices of any ratings changes on the Bonds. See "APPENDIX C – FORM OF CONTINUING DISCLOSURE" attached hereto. Notwithstanding such covenant, information relating to ratings changes on the Bonds may be publicly available from the rating agencies prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to the ratings agencies and their respective websites and official media outlets for the most current ratings changes with respect to the Bonds after the initial issuance of the Bonds.

Financial Statements

The District's audited financial statements with required supplemental information for the year ended June 30, 2015, the independent auditor's report of the District, the related statements of activities and of cash flows for the year then ended, and the report dated December 31, 2015 of Pun & McGeady LLP (the "Auditor"), are included in this Official Statement as APPENDIX B. In connection with the inclusion of the financial statements and the report of the Auditor thereon in APPENDIX B to this Official Statement, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy,

completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

Underwriting

Morgan Stanley & Co. LLC (the “Representative”), on behalf of itself and Piper Jaffray & Co. (together, the “Underwriters”), has agreed to purchase all of the Series A Bonds for a purchase price of \$3,724,087.78 (consisting of the aggregate principal amount of the Series A Bonds of \$3,400,000.00, plus original issue premium of \$335,362.00, less an Underwriters’ discount of \$11,274.22).

The Representative, on behalf of the Underwriters, has agreed to purchase all of the Series B Bonds for a purchase price of \$97,547,026.54 (consisting of the aggregate principal amount of the Series B Bonds of \$84,335,000.00, plus original issue premium of \$13,491,676.80, less an Underwriters’ discount of \$279,650.26).

The purchase contract relating to the Bonds provides that the Underwriters will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in such purchase contracts, the approval of certain legal matters by Bond Counsel and certain other conditions. The initial offering prices stated on the inside cover page of this Official Statement may be changed from time to time by the Underwriters. The Underwriters may offer and sell Bonds to certain dealers and others at prices lower than such initial offering prices. The offering prices may be changed from time to time by the Underwriters.

Underwriter Disclosures. The Underwriters have provided the following for inclusion in this Official Statement. The District does not guarantee the accuracy or completeness of the following information, and the inclusion thereof should be construed as a representation of the District.

Morgan Stanley, parent company of Morgan Stanley & Co. LLC, one of the Underwriters of the Bonds, has entered into a retail distribution arrangement with its affiliate Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

Piper Jaffray & Co. has entered into a distribution agreement (the “Schwab Agreement”) with Charles Schwab & Co., Inc. (“CS&Co.”) for the retail distribution of certain securities offerings at the original issue prices. Pursuant to the Schwab Agreement, CS&Co. will purchase Bonds from Piper Jaffray & Co. at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that CS&Co. sells.

ADDITIONAL INFORMATION

This Official Statement supplies information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolutions providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

Some of the data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended only as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners, beneficial or otherwise, of any of the Bonds.

This Official Statement and the delivery thereof have been duly approved and authorized by the District.

**SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT**

By: /s/ Timothy Flood
Vice President for Business and Financial Affairs

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APPENDIX A

FORMS OF OPINIONS OF BOND COUNSEL

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, Bond Counsel, proposes to render its final approving opinion with respect to the Series A Bonds substantially in the following form.

September 7, 2016

Governing Board
Southwestern Community College District

Members of the Governing Board:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$3,400,000 Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series A (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, and resolutions (the “Resolutions”) of the Governing Board of the Southwestern Community College District (the “District”).

2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property within the boundaries of the District, which taxes are unlimited as to rate or amount.

3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of corporations.

4. Interest on the Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the

Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolutions and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, Bond Counsel, proposes to render its final approving opinion with respect to the Series B Bonds substantially in the following form.

September 7, 2016

Governing Board
Southwestern Community College District

Members of the Governing Board:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$84,335,000 Southwestern Community College District (San Diego County, California) 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, and resolutions (the “Resolutions”) of the Governing Board of the Southwestern Community College District (the “District”).

2. The Bonds, prior to August 1, 2019 (the “Crossover Date”), will be secured by and payable solely from proceeds of the Bonds on deposit in an escrow fund established therefor. From and after the Crossover Date, the Bonds shall constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* taxes on all property within the District subject to taxation thereby, which taxes are unlimited as to rate or amount.

3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations; however, it should be noted that, with respect to corporations, such interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the alternative minimum tax liability of such corporations.

4. Interest on the Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by a Bondowner will increase the Bondowner’s basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income

of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6. The amount by which a Bondowner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Internal Revenue Code of 1986, as amended (the "Code"); such amortizable Bond premium reduces the Bondowner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bondowner realizing a taxable gain when a Bond is sold by the Bondowner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bondowner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolutions and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Code, that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and to the limitations on legal remedies against public agencies in the State of California.

Respectfully submitted,

APPENDIX B

2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT

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Southwestern Community College District

Chula Vista, California

Basic Financial Statements, Single Audit, State Compliance and Other Supplementary Information with Independent Auditors' Reports

For the Year Ended June 30, 2015

Southwestern Community College District

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Southwestern Community College District

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Southwestern Community College District

Introductory Section

Southwestern Community College District is located in Chula Vista, San Diego County. The District presently operates one primary campus in Chula Vista with extension sites in Otay Mesa, San Ysidro and National City. There have been no changes in the District's boundaries during the current year.

The Governing Board for the fiscal year ended June 30, 2015 was composed of the following members:

Member	Office	Term Expires
Norma L. Hernandez	President	November 2018
Nora E. Vargas	Vice President	November 2018
Griselda Delgado	Board Member	November 2016
Tim Nader	Board Member	November 2018
Humberto Peraza, Jr.	Board Member	November 2016
Melissa Rodriguez	Student Board Member	May 2016

The Executive and Senior Administration for the fiscal year ended June 30, 2015 was composed of the following members:

Member	Office
Melinda Nish, Ed.D.	Superintendent/President
Steven Crow, Ed. D.	Vice-President for Business & Financial Affairs
John Clark	Vice-President, Employee Services
Kathy Tyner	Vice-President for Academic Affairs
Angelica Suarez, Ph.D.	Vice-President for Student Affairs

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INDEPENDENT AUDITORS' REPORT

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Financial Statements

We have audited the accompanying financial statements of the business-type activities and the fiduciary funds of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit.

Southwestern College Foundation, a discretely presented component unit

We did not audit the financial statements of the Southwestern College Foundation (the "Foundation"), a discretely presented component unit of the District. Those financial statements were audited by other auditors, whose report dated November 12, 2015 has been furnished to us, and our opinion on the basic financial statements of the District, insofar as it relates to the Foundation, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of a Matter

Implementation of GASB Statements Nos. 68 and 71

As discussed in Note 1 to the basic financial statements, the District implemented Governmental Accounting Standards Board (“GASB”) Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment of GASB Statement No. 27*) and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date – an amendment of GASB Statement No. 68*. The adoption of these standards required retrospective application of previously reported net position and reclassification of certain accounts as of July 1, 2014 as described in Note 12 to the basic financial statements. In addition, the aggregate net pension liability is reported in the Statement of Net Position in the amount of \$70,578,361 as of the measurement date. Net pension liability is calculated by actuaries using estimates and actuarial techniques from an actuarial valuation as of June 30, 2013 which was then rolled-forward by the actuaries to June 30, 2014, the measurement date for California State Teachers Retirement System (“CalSTRS”) and California Public Employee Retirement System (“CalPERS”). Our opinion is not modified with respect to this matter.

Opinions

In our opinion, based on our audit and the report of other auditors, the basic financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities and the fiduciary funds of the District, as of June 30, 2015, and the respective changes in financial position, and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the Management’s Discussion and Analysis and Schedules of Changes in Proportionate Share of the Net Pension Liability – CalSTRS and CalPERS, Schedules of Contributions – CalSTRS and CalPERS, and Schedule of Funding Progress for Other Post Employment Benefits Plan on pages 5 through 9 and page 57, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the Required Supplementary Information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management’s responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements as a whole. The accompanying Introductory Section, Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Government-Wide Statement of Activities and Changes in Net Position, and Other Supplementary Information as listed in the foregoing table of contents are presented for purpose of additional analysis and are not a required part of the basic financial statements.

The Combining Schedule of Assets, Liabilities, and Fund Balances, Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances to Government-Wide Statement of Net Position, Combining Schedule of Revenues, Expenditures (Expenses), and Changes in Fund Equity (Net Position), Reconciliation of Combining Schedule of Revenue, Expenditures (Expenses), and Change in Fund Equity (Net Position) to Government-Wide Statement of Activities and Changes in Net Position are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Our audit was performed for the purpose of forming an opinion on the basic financial statements of the District, taken as a whole. The accompanying Introductory Section, Purpose of Schedule, Schedule of Workload Measures for State General Apportionment and Annual Actual Attendance, Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements, Reconciliation of the 50% Calculation with District Accounting Records, Reconciliation of Education Protection Account Expenditures with District Accounting Records, Schedule of Expenditures of State Awards, and Budget Comparison Schedule – General Fund are not a required part of the basic financial statements but are supplementary information required by the State of California Department of Education. This other supplementary information is the responsibility of management. We have applied certain limited procedures, which consisted principally of inquiries of management regarding the methods of measurement and presentation of the Introductory Section and Other Supplementary Information. However, we did not audit the information and express no opinion on these schedules.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 31, 2015, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

A handwritten signature in black ink that reads "Paul J. McGeady". The signature is written in a cursive, flowing style.

San Diego, California
December 31, 2015

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Southwestern Community College District Management's Discussion and Analysis For the Year Ended June 30, 2015

This section of the Southwestern Community College District's (District) financial statements presents the analysis of the District's financial performance during the fiscal year that ended on June 30, 2015. Please read it in conjunction with the financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- Ending General Fund fund-balance (unrestricted) at June 30, 2015 was \$8.4 million or 9.6% of General Fund unrestricted expenses.
- Funded FTES (full time equivalent students) were 15,428 in Fiscal Year (FY) 2015 and 14,979 in FY 2014. There were no unfunded FTES in either year.
- Budgeted FTES in FY 2016 are 15,410.
- Due primarily to salary restoration of previous payroll reductions and the additional cost of living adjustment paid to employees (COLA), the general unrestricted fund deficit for the twelve month period ending June 30, 2015 was \$1,055,987 compared to a budgeted deficit of \$173,298.
- Bond Proposition R expenses during the year were \$30.9 million with an ending cash balance of \$75.4 million at June 30, 2015. Note #14 to the audit report as a subsequent event indicates additional bond proceeds of \$121.6 million received in July, 2015.
- The District issued \$27,045,000 in General Obligation Refunding Bonds to refund a portion of the 2005 General Obligation Bonds resulting in a net interest savings of \$3.2 million.
- The District implemented Government Accounting Standards Board statement #68, Accounting and Financial Reporting for Pensions (GASB 68) which requires the District to report and disclose its liability to California Public Employees' Retirement System (CalPERS) and California State Teachers' Retirement System (CalSTRS). As a result, as disclosed in the Notes to these financial statements, and in the Statement of Activities and Changes in Net Position, the District's net asset position was decreased from \$65.7 million in 2014 to a deficit \$17.6 million in 2015.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Basic Financial Statements consist of the following four components:

- Management's Discussion and Analysis;
- Financial statements including the Statement of Net Position, Statement of Activities and Changes in Net Position, Statement of Cash Flows, Statement of Fiduciary Net Position and Statement of Changes in Fiduciary Net Position;
- Notes to the financial statements; and
- Supplementary information which includes the reconciliation of Annual Financial and Budget Report (CCFS-311) with the District accounting system and the Schedule of Workload Measures for State General Apportionment.

The **Statement of Net Position** presents the assets, liabilities, and net position of the District as of the end of the fiscal year using the accrual basis of accounting, which is similar to the accounting basis used by most private-sector institutions. Net position, the difference between assets and liabilities, is one way to measure the financial health of the District. The data allows its readers to determine the assets available to continue the operations of the District. The net position of the District consists of three major categories. The *Net Investment in Capital Assets* category represents the District's equity in property, plant, and equipment net of related debt. *Restricted Net Position* is restricted by use constraints placed on it by outside parties such as agreements, laws, regulations of creditors, other governments or as imposed by laws through constitutional provisions or enabling legislation. *Unrestricted Net Position* is the final category.

Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

The District can use unrestricted net position for any lawful purpose. Although unrestricted by third parties, the District's Governing Board may place internal restrictions on this net position, but it retains the power to modify or remove such restrictions.

The District's Statement of Net Position is presented in the table below:

Table 1
Statements of Net Position

	June 30, 2015	June 30, 2014	Changes	
Current assets	\$ 33,513,151	\$ 34,969,643	\$ (1,456,492)	-4.2%
Noncurrent assets	291,128,710	301,452,541	(10,323,831)	-3.4%
Deferred outflows of resources	6,403,923		6,403,923	
Total assets and deferred outflows	331,045,784	336,422,184	(5,376,400)	-1.6%
Current liabilities	29,087,016	35,666,320	(6,579,304)	-18.4%
Long-term liabilities	297,997,504	235,025,545	62,971,959	26.8%
Deferred inflows of resources	21,523,511			
Total liabilities	348,608,031	270,691,865	56,392,655	20.8%
Net position:				
Net investment in capital assets	47,169,374	49,842,036	(2,672,662)	-5.4%
Restricted	15,075,536	14,208,723	866,813	6.1%
Unrestricted	(79,807,157)	1,679,560	(81,486,717)	
Total net position	\$ (17,562,247)	\$ 65,730,319	\$ (83,292,566)	126.7%

The **Statement of Activities and Changes in Net Position** presents the operating results of the District. The purpose of the statement is to present the revenues received by the District, both operating and non-operating, and the expenses paid by the District, operating and non-operating, and any other revenues, expenses, gains and losses received or spent by the District.

Changes in total net position on the Statement of Net Position are based on the activity presented in the Statement of Activities and Changes in Net Position. Generally speaking, operating revenues are received for providing goods and services to the various customers and constituencies of the District. Operating expenses are those expenses paid to acquire or produce the goods and services provided in return for the operating revenues and to carry out the mission of the District. Non-operating revenues are revenues received for which goods and services are not provided. For example, state appropriations are non-operating revenue because they are provided by the legislature to the institution without the legislature directly receiving commensurate goods and services for those revenues.

Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015

The District's Statement of Activities and Changes in Net Position is presented in the table below:

Table 2
Changes in Net Position

	June 30, 2015	June 30, 2014	Change	
Operating revenues	\$ 20,655,268	\$ 19,880,563	\$ 774,705	3.9%
Operating expenses	(140,398,559)	(127,477,643)	(12,920,916)	10.1%
Deficit before depreciation and				
Non-operating income and expenses	(119,743,291)	(107,597,080)	(12,146,211)	11.3%
				#DIV/0!
Depreciation	(6,292,024)	(4,242,032)	(2,049,992)	48.3%
Non-operating income and expenses, net	126,817,219	117,055,531	9,761,688	8.3%
Increase (decrease) in net position	\$ 781,904	\$ 5,216,419	\$ (4,434,515)	-85.0%

The **Statement of Cash Flows** provides additional information about the District's financial results by reporting the major sources and uses of cash. This information assists readers in assessing the District's ability to generate revenue, meet its obligations as they come due and evaluate its need for external financing. The statement is divided into several parts. The first part deals with operating cash flows and shows the net cash used by the operating activities of the District. The second section reflects cash flows from non-capital financing activities and shows the sources and uses of those funds. The third section deals with cash flows from capital and related financing activities. This section deals with the cash used for the acquisition and construction of capital and related items. The fourth section deals with cash flows from investing activities. This section reflects the cash received and spent for short-term investments and any interest paid or received on those investments.

The District's Statement of Cash Flows is presented in the table below:

Table 3
Statement of Cash Flows

	June 30, 2015	June 30, 2014
Cash provided by (used in):		
Operating activities	\$ (117,962,234)	\$ (106,691,317)
Non-capital financing activities	137,888,430	128,166,196
Capital and related financing activities	(49,671,779)	(45,653,161)
Investing activities	489,794	1,288,621
Net change in cash and cash equivalents	(29,255,789)	(22,889,661)
Cash balance, beginning of year	147,118,775	170,008,436
Cash balance, end of year	\$ 117,862,986	\$ 147,118,775

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015**

CAPITAL ASSETS

The following table summarizes the District's capital assets, net of accumulated depreciation, and changes therein, for the year ended June 30, 2015. These changes are presented in detail in Note 4 to the financial statements.

**Table 4
Capital Assets Net of Accumulated Depreciation**

	<u>June 30, 2015</u>	<u>June 30, 2014</u>	<u>Change</u>	
Land	\$ 9,703,148	\$ 9,703,148	\$ -	0.0%
Buildings	131,977,795	77,448,858	54,528,937	70.4%
Improvements	47,337,518	23,514,945	23,822,573	101.3%
Equipment	1,297,693	1,066,066	231,627	21.7%
Construction in progress	10,310,168	63,643,318	(53,333,150)	-83.8%
Net capital assets	<u>\$ 200,626,322</u>	<u>\$ 175,376,335</u>	<u>\$ 25,249,987</u>	<u>14.4%</u>

LONG TERM DEBT

The following table summarizes the District's long term debt and changes therein for the year ended June 30, 2015. Changes in long term debt are presented in detail in Note 6 to the financial statements.

**Table 5
Summary of Long-Term Debt**

	<u>June 30, 2015</u>	<u>June 30, 2014</u>	<u>Change</u>	
Bonds Payable:				
Lease Revenue	\$ 1,070,000	\$ 1,160,000	\$ (90,000)	-7.8%
GO Bond, Series 2004	12,993,974	12,993,974	-	0.0%
GO Bond, Series 2005	-	32,670,000	(32,670,000)	100.0%
GO Bond, Series 2005 Refunding Series B	16,390,001	20,555,001	(4,165,000)	-20.3%
Prop R - Series A	7,795,000	8,195,000	(400,000)	-4.9%
Prop R - Series B	89,775,000	89,775,000	-	0.0%
Prop R - Series C	66,370,371	66,400,371	(30,000)	0.0%
GO Bond 2015, Refunding	27,045,000			
Unamortized premiums	7,444,454	5,652,436	1,792,018	31.7%
	<u>\$ 228,883,800</u>	<u>\$ 237,401,782</u>	<u>\$ (8,517,982)</u>	<u>-3.6%</u>

**Southwestern Community College District
Management's Discussion and Analysis (Continued)
For the Year Ended June 30, 2015**

ECONOMIC FACTORS AND 2015-16 BUDGET

The major economic factors that have an effect on the District's financial condition are directly related to the overall economy of the State of California and any future legislation that may impact the funding of community colleges.

The District's FY 2015-2016 Adopted Budget (unrestricted general fund) includes revenue and expense projections based on the best information available to date. The Adopted Budget also includes sufficient reserves for the District's stability and security, including a Governing Board reserve of 7%.

The District's unrestricted general fund revenue budget for FY 2015-2016 is \$97.2 million consisting of California State principal apportionment of \$51.6 million, property taxes of \$23.8 million, enrollment fees of \$4.2 million, and \$17.6 million in other revenue including one-time state funding of \$8.5 million, ongoing state funding of \$3.6 million, and lottery proceeds of \$1.8 million. Unrestricted budgeted expenses of \$98.0 million exceed budgeted revenue by \$798,367. The Governing Board has approved the budget with this excess of expenses over revenue. The District has implemented strategies to eliminate the \$798,367 operating deficit, including the delaying, and in some cases, suspending the filling of open personnel positions resulting from a successful supplemental early retirement plan (SERP) that was offered in the fall of 2015.

The District's FY 2015-2016 General Fund unrestricted budgeted expenses of \$98.0 million increased by \$11.7 million from prior year adopted budget due primarily to one-time state funding of \$8.5 million designated for program review funding. Proposition R Bond funds that are separate from the General Fund have an expense budget of \$61.3 million. The total District-wide budget for all funds in FY 2015-2016 is \$202 million.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report was designed to provide a general overview of the District's finances for all those interested. Questions concerning any of the information provided in this report or requests for additional information should be addressed to the Vice President of Business and Financial Affairs, Southwestern Community College District, 900 Otay Lakes Road, Chula Vista CA 91910.

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BASIC FINANCIAL STATEMENTS

Southwestern Community College District
Statement of Net Position
June 30, 2015

	<u>District</u>	<u>Foundation</u>
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 27,360,598	\$ 131,593
Investments	26,796	854,419
Accounts receivable	4,964,497	582
Inventories	1,086,046	-
Prepaid items	58,899	2,500
Due from fiduciary funds	16,315	-
Total current assets	<u>33,513,151</u>	<u>989,094</u>
Noncurrent assets:		
Restricted cash and investments	90,502,388	-
Capital assets, net	200,626,322	-
Total noncurrent assets	<u>291,128,710</u>	<u>-</u>
Total assets	<u>324,641,861</u>	<u>989,094</u>
DEFERRED OUTFLOWS OF RESOURCES		
Contributions made after the measurement date	6,363,495	-
Change in the employer's proportionate share of contributions	40,428	-
Total deferred outflows of resources	<u>6,403,923</u>	<u>-</u>

Southwestern Community College District
Statement of Net Position (Continued)
June 30, 2015

	District	Foundation
LIABILITIES		
Liabilities:		
Current liabilities:		
Accounts payable and accrued liabilities	7,263,380	1,194
Interest payable	5,285,568	-
Payroll and related liabilities	2,671,516	-
Unearned revenue	5,477,321	2,500
Due to fiduciary funds	24,231	-
Compensated absences - due within one year	2,500,000	-
Bonds payable - due within one year	5,865,000	-
Total current liabilities	29,087,016	3,694
Noncurrent liabilities:		
Compensated absences - due in more than one year	682,791	-
Net OPEB obligations - due in more than one year	3,717,552	-
Aggregate net pension liability - due in more than one year	70,578,361	-
Bonds payable - due in more than one year	223,018,800	-
Total noncurrent liabilities	297,997,504	-
Total liabilities	327,084,520	3,694
DEFERRED INFLOWS OF RESOURCES		
Deferred differences between projected and actual earnings on pension plan investments	19,699,829	-
Deferred amounts on refunding	1,823,682	-
Total deferred inflows of resources	21,523,511	-
Net Position:		
Net investment in capital assets	47,169,374	-
Restricted for:		
Special projects	-	732,681
Debt service	15,075,536	-
Total restricted	15,075,536	732,681
Unrestricted (deficit)	(79,807,157)	252,719
Total net position	\$ (17,562,247)	\$ 985,400

Southwestern Community College District
Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2015

	District	Foundation
OPERATING REVENUES:		
Tuition and fees	\$ 7,002,811	\$ -
Grants and contracts, non-capital:		
Federal	5,178,466	-
State	2,368,259	-
Local	1,219,850	-
Total grants and contracts, non-capital	8,766,575	-
Auxiliary enterprise sales and charges, net	4,885,882	-
Other operating revenues	-	150,880
Total operating revenues	20,655,268	150,880
OPERATING EXPENSES:		
Salaries	72,370,608	-
Employee benefits	17,860,999	-
Payments to students	30,755,665	57,108
Supplies, materials, and other expenses	17,043,277	21,337
Utilities	2,368,010	-
Depreciation	6,292,024	-
Total operating expenses	146,690,583	78,445
Operating income (loss)	(126,035,315)	72,435
NONOPERATING REVENUE (EXPENSES):		
Federal grants, non-capital	25,627,461	-
State apportionments, non-capital	69,615,570	-
Local property taxes, non-capital	37,240,019	-
Investment income, non-capital	489,794	-
Interest expense	(11,561,005)	-
Other nonoperating revenues (expenses)	5,405,380	(38,446)
Total nonoperating revenues (expenses), net	126,817,219	(38,446)
Changes in net position	781,904	33,989
NET POSITION:		
Beginning of year, as restated (Note 12)	(18,344,151)	951,411
End of year	<u>\$ (17,562,247)</u>	<u>\$ 985,400</u>

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Southwestern Community College District
Statement of Cash Flows
For the Year Ended June 30, 2015

	District	Foundation
CASH FLOWS FROM OPERATING ACTIVITIES:		
Tuition and fees	\$ 17,117,931	\$ -
Grants and contracts	8,766,575	-
Payments for supplies and services	(26,280,936)	(19,870)
Payments for utilities	(2,368,010)	-
Payments to/on behalf of employees	(89,393,257)	-
Payments to students	(30,755,665)	(57,108)
Auxiliary enterprise sales and charges	4,885,882	-
Other operating revenues and expenses	65,246	153,380
Net cash provided by (used in) operating activities	(117,962,234)	76,402
CASH FLOWS FROM NON-CAPITAL FINANCING ACTIVITIES:		
Federal Pell grants	25,627,461	-
State apportionments	69,615,570	-
Local property taxes	37,240,019	-
Other	5,405,380	(38,446)
Net cash provided by (used in) noncapital financing activities	137,888,430	(38,446)
CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES:		
Acquisition of capital assets	(31,559,638)	-
Disposition of capital assets	17,627	-
Proceeds from bond issuance	31,075,391	-
Costs of bond issuance	(291,128)	-
Principal paid on bonds	(37,355,000)	-
Payment of interest and fees	(11,559,031)	-
Net cash (used in) capital financing activities	(49,671,779)	-
CASH FLOWS FROM INVESTING ACTIVITIES:		
Sale of investments	-	24,263
Interest and investment proceeds	489,794	-
Cash provided by (used in) investing activities	489,794	24,263
Net increase (decrease) in cash and equivalents	(29,255,789)	62,219
CASH AND CASH EQUIVALENTS		
Beginning of year	147,118,775	69,374
End of year	<u>\$ 117,862,986</u>	<u>\$ 131,593</u>
RECONCILIATION OF CASH AND CASH EQUIVALENTS TO STATEMENTS OF NET POSITION:		
Cash and cash equivalents	\$ 27,360,598	\$ 131,593
Restricted cash and investments	90,502,388	-
Total cash and cash equivalents	<u>\$ 117,862,986</u>	<u>\$ 131,593</u>

Southwestern Community College District
Statement of Cash Flows (Continued)
For the Year Ended June 30, 2015

	District	Foundation
RECONCILIATION OF NET OPERATING REVENUES (EXPENSES)		
TO NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES:		
Operating income (loss)	\$ (126,035,315)	\$ 72,435
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities:		
Depreciation	6,292,024	-
Change in assets and liabilities:		
Receivables	7,832,605	1,030
Inventories	(81,190)	-
Prepaid items	(17,909)	-
Due from fiduciary funds	41,015	-
Pension contributions after the measurement date	(913,448)	-
Deferred positive change in plan proportion	9,401	-
Accounts payable and accrued liabilities	(9,138,560)	437
Payroll and related liabilities	(133,027)	-
Unearned revenue	2,282,515	2,500
Due to fiduciary funds	24,231	-
Aggregate net pension liability	(18,995,985)	-
Deferred pension investment earnings	19,699,829	-
Net OPEB obligations	1,066,867	-
Compensated absences	104,713	-
Net cash provided by (used in) operating activities	\$ (117,962,234)	\$ 76,402
SUPPLEMENTAL DISCLOSURE OF CASH FLOW INFORMATION:		
Noncash Capital and Related Financing Activities:		
Amortization of bond premiums	\$ (780,428)	\$ -
Total noncash capital and related financing activities	\$ (780,428)	\$ -

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FIDUCIARY FUND FINANCIAL STATEMENTS

Southwestern Community College District
Statement of Fiduciary Net Position
June 30, 2015

	Associated Student Trusts	Student Service Trust Funds	Total
ASSETS			
Current assets:			
Cash and investments	\$ 866,838	\$ 955,458	\$ 1,822,296
Accounts receivable	11,885	7,535	19,420
Due from District	-	24,231	24,231
Other assets	43,983	-	43,983
Total assets	<u>922,706</u>	<u>987,224</u>	<u>1,909,930</u>
LIABILITIES AND NET POSITION			
Liabilities:			
Accounts payable and accrued liabilities	224	983,252	983,476
Due to District	16,315	-	16,315
Unearned revenue	19,390	-	19,390
Deposits payable	83,821	-	83,821
Total liabilities	<u>119,750</u>	<u>983,252</u>	<u>1,103,002</u>
Net Position:			
Unrestricted	<u>802,956</u>	<u>3,972</u>	<u>806,928</u>
Total net position	<u><u>\$ 802,956</u></u>	<u><u>\$ 3,972</u></u>	<u><u>\$ 806,928</u></u>

Southwestern Community College District
Statement of Changes in Fiduciary Net Position
For the Year Ended June 30, 2015

	Associated Student Trusts	Student Service Trust Funds	Total
OPERATING REVENUES:			
Student fees	\$ 289,151	\$ -	\$ 289,151
Other revenues	3,009	19,110	22,119
Total operating revenues	292,160	19,110	311,270
OPERATING EXPENSES:			
Salaries and benefits	91,761	-	91,761
Payments to students	52,000	-	52,000
Supplies, materials, and other expenses	166,410	13,288	179,698
Total operating expenses	310,171	13,288	323,459
Operating income (loss)	(18,011)	5,822	(12,189)
TRANSFERS:			
Transfers from District	-	-	-
Total transfers	-	-	-
Changes in net position	(18,011)	5,822	(12,189)
NET POSITION:			
Beginning of year	820,967	(1,850)	819,117
End of year	\$ 802,956	\$ 3,972	\$ 806,928

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NOTES TO BASIC FINANCIAL STATEMENTS

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Southwestern Community College District
Notes to the Basic Financial Statements
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies

A. Reporting Entity

Southwestern Community College District (the “District”) is a political subdivision of the State of California and provides higher educational services in the County of San Diego, State of California. The District is classified as a state instrumentality under Internal Revenue Code Section 115 and is also classified as a charitable organization under Internal Revenue Code 501(c)(3) and is, therefore, exempt from federal and state income taxes.

The financial reporting entity consists of the District, organizations for which the District is financially accountable, and any other organization for which the nature and significance of their relationship with the District is such that exclusion would cause the reporting entity’s financial statements to be misleading or incomplete. The following criteria regarding financial accountability were considered by the District in its evaluation of District organizations and activities for the year ended June 30, 2015:

- Financial interdependency - the District receives financial support or provides financial benefit to the organization, is responsible for or has directly or indirectly guaranteed the organization's debts.
- Authoritative appointment of governing authority - the District's Board of Trustees appoints the organization's governing authority and maintains a significant continuing relationship with the governing authority pertaining to the functions of the organization.

The District determined that the following organization is a discretely presented component unit:

The Southwestern College Foundation

The Southwestern College Foundation (Foundation) is a California not-for-profit public benefit corporation organized and incorporated in 1982. The Foundation was established for the purpose of receiving and distributing contributed funds to promote the general welfare of the Southwestern Community College District.

B. Basis of Accounting and Measurement Focus

The accounts of the District are organized on the basis of funds, each of which is considered a separate accounting entity. The operations of each fund are accounted for in a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues, expenditures or expenses, as appropriate. Government resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities. The basic financial statements include a Statement of Net Position, Statement of Activities and Change in Net Position, and Statement of Cash Flows. Fiduciary activities are reported separately.

The basic financial statements are presented on an “*economic resources*” measurement focus and the accrual basis of accounting. Under the accrual basis of accounting, revenues are recognized when earned while expenses are recognized when the liability is incurred. Property taxes are recognized in the year in which they are levied.

Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies (Continued)

B. Basis of Accounting and Measurement Focus (Continued)

The Statement of Net Position reports separate sections for deferred outflows of resources and deferred inflows of resources, when applicable.

Deferred Outflows of Resources represent outflows of resources (consumption of net position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of net position) that apply to future periods and that, therefore, are not recognized as revenue until that time.

C. Cash, Cash Equivalents, and Investments

The District pools its available cash for investment purposes. The District considers pooled cash and investment amounts with original maturities of three months or less to be cash equivalents.

Highly liquid market investments with maturities of one year or less at time of purchase are stated at amortized cost. All other investments are stated at fair value. Market value is used as fair value for those securities for which market quotations are readily available.

The District adheres to certain disclosure requirements, if applicable for deposit and investment risks, which are specified for the following areas:

- Interest Rate Risk
- Credit Risk
 - ◆ Overall
 - ◆ Custodial Credit Risk
 - ◆ Concentration of Credit Risk
- Foreign Currency Risk

D. Restricted Cash, Cash Equivalents and Investments

Cash that is externally restricted for contractual obligations such as debt service payments, sinking or reserve funds, or to purchase or construct capital or other non-current assets is classified as a non-current asset in the statement of net assets.

E. Accounts Receivable

Accounts receivable consist of amounts due from the Federal, State and local governments or private resources, in connection with reimbursement of allowable expenditures made pursuant to the District's grants and contracts. Accounts receivable are recorded net of estimated uncollectible amounts. There were no significant receivables, which are not scheduled for collection within one year of year-end.

F. Inventories

Inventories are stated at the lower of cost or market using the first-in, first-out method. The cost is expensed at the time individual inventory items are withdrawn from the stores inventory for consumption.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies (Continued)

G. Bond Discounts, Premiums, and Refunding Losses

Bond discounts, premiums, and refunding losses are amortized over the life of the bond using the straight-line method. Bonds payable are reported net of applicable discount or premium. Issuance costs, with the exception of prepaid bond insurance, are expensed immediately.

H. Compensated Absences

Accrued compensated absences benefits are recorded as liabilities as vested and earned, but not taken. Employees are allowed to carry over a limited number of vacation days from year to year. The District has no commitment for accumulated sick leave and no liability is recorded.

I. Capital Assets

Capital assets, which include site and site improvements, buildings, equipment and infrastructure assets (e.g. roads, parking lots, sidewalks, and similar items), are defined by the District as assets with an initial cost of \$5,000 or more and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair value at the date of donation.

Costs for assets that do not meet the capitalization threshold of \$5,000 and costs for routine maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are expensed as incurred. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Depreciation of capital assets is computed using a half-year convention on a straight line basis over the estimated useful life of the asset as follows:

<u>Asset</u>	<u>Years</u>
Site improvements	35-60
Buildings	50
Equipment/Vehicles	5-6
Technology equipment	3

Interest accrued during capital assets construction, if any, is capitalized as part of the asset cost.

J. Net Position

Net Investment in Capital Assets – This component of net position consists of capital assets net of accumulated depreciation, reduced by the outstanding balances of debt that are attributable to the acquisition, construction, or improvement of those assets

Restricted – This component of net position consists of restricted assets reduced by liabilities and deferred inflows of resources related to those assets.

Unrestricted – This component of net position is the amount of the assets, deferred outflows of resources, liabilities, and deferred inflows of resources that are not included in the determination of investment in capital assets or the restricted component of net position.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies (Continued)

K. Unearned Revenue

Unearned revenues include amounts received for tuition and fees and certain auxiliary activities prior to the end of the fiscal year but that are to be earned in the subsequent accounting period. Unearned revenues also include amounts received from grant and contract sponsors that have not yet been earned.

L. Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (Note 8). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

<u>CalPERS</u>	
Valuation date	June 30, 2013
Measurement date	June 30, 2014
Measurement period	July 1, 2013 to June 30, 2014
<u>CalSTRS</u>	
Valuation date	June 30, 2013
Measurement date	June 30, 2014
Measurement period	July 1, 2013 to June 30, 2014

Gains and losses related to changes in total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pensions and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over 5. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

M. Property Taxes

The County of San Diego (County) bills and collects property taxes on behalf of numerous special districts and incorporated cities, including the District. The District's collections of current year's taxes are received through periodic apportionments from the County. The County's tax calendar is from July 1 to June 30. Property taxes attach as a lien on property on March 1. Taxes are levied on July 1 and are payable in two equal installments on November 15 and March 15, and become delinquent after December 10 and April 10, respectively.

Since the passage of California's Proposition 13, beginning with Fiscal Year 1978-79, general property taxes are based either on a flat 1% rate applied to the 1975-76 full value of the property or on 1% of the sales price of any property sold or the cost of any new construction after the 1975-76 valuation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies (Continued)

M. Property Taxes (Continued)

Taxable values of properties (exclusive of increases related to sales and new construction) can rise at a maximum of 2% per year.

This Proposition 13 limitation on general property taxes does not apply to taxes levied to pay the debt service on any indebtedness approved by the voters prior to June 6, 1978 (the date of the passage of Proposition 13).

Property tax revenue is recognized in the fiscal year for which the taxes have been levied based on actual and estimated receipts. Adjustments to estimates are made at the time of final apportionment for the applicable fiscal year.

N. On-Behalf Payments

GASB Statement No. 24 requires that direct on-behalf payments for fringe benefits and salaries made by one entity to a third party recipient for the employees of another, legally separate entity be recognized as revenue and expenditures by the employer government.

The State of California makes direct on-behalf payments for retirement benefits to the State Teachers Retirement System on behalf of all community college districts in California; however, a fiscal advisory was issued by the California Department of Education instructing districts not to record revenue and expenditures for these on-behalf payments. On-behalf payments made in 2015 were not material to the financial statements.

O. Classification of Revenues

The District has classified its revenues as either operating or non-operating. Certain significant revenue streams relied upon for operations are recorded as non-operating revenues including state appropriations, local property taxes and investment income.

Revenues are classified according to the following criteria:

Operating Revenues

Operating revenues include activities that have the characteristics of exchange transactions, such as (1) student tuition and fees, net of scholarship discounts and allowances, (2) sales and services of auxiliary enterprises, net of scholarship discounts and allowances, (3) most federal, state and local grants and contracts and federal appropriations, and (4) interest on institutional student loans.

Non-operating Revenues

Non-operating revenues include activities that have the characteristics of non-exchange transactions, such as gifts and contributions, and other revenue sources as described in GASB Statement No. 34, such as state appropriations, state and local property taxes and investment income.

P. Scholarship Discounts and Allowances

Student tuition and fee revenues and certain other revenues from students are reported net of scholarship discounts and allowances in the statement of revenues, expenses, and changes in net assets. Scholarship discounts and allowances are the difference between the stated charge for goods and services provided by the District and the amount that is paid by students and/or third parties making payments on the students' behalf. Certain governmental grants, such as Pell Grants, and other federal, state or non-governmental programs are recorded as non-operating revenues in the District's financial statements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 1 – Summary of Significant Accounting Policies (Continued)

Q. Use of Estimates

The preparation of its basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and revenues and expenses in the basic financial statements and the accompanying notes. Actual results could differ from those estimates. Management believes that the estimates are reasonable.

R. Accounting Changes

GASB has issued Statement No. 68, *Accounting and Financial Reporting for Pensions – an amendment of GASB Statement No. 27*). This Statement establishes standards for measuring and recognizing liabilities, deferred outflow of resources, deferred inflows of resources, and expense/expenditures for pension plans. This Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. This statement became effective for periods beginning after June 15, 2014. See Note 12 for prior period adjustments as a result of implementation.

GASB has issued Statement No. 69, *Government Combinations and Disposals of Government Operation*. This Statement establishes accounting and financial reporting standards related to government combinations and disposals of government operations. As used in this Statement, the term government combinations includes a variety of transactions referred to as mergers, acquisitions, and transfers of operations. This statement became effective for periods beginning after December 15, 2013 and did not have a significant impact on the District's financial statements for year ended June 30, 2015.

GASB has issued Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date – an amendment of GASB Statement No. 68*. This statement establishes standards relates to amounts associated with contributions, if any, made by a state or local government employer or non-employer contributing entity to a defined benefit pension plan after the measurement date of the government's beginning net pension liability. This statement became effective for periods beginning after June 15, 2014. See Note 12 for prior period adjustments as a result of implementation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments

The following is a summary of cash and investments at June 30, 2015:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents	\$ 27,360,598	\$ 1,822,296	\$ 131,593	\$ 29,314,487
Restricted cash and cash equivalents	90,502,388	-	-	90,502,388
Total cash and cash equivalents	117,862,986	1,822,296	131,593	119,816,875
Investments	26,796	-	854,419	881,215
Total investments	26,796	-	854,419	881,215
Total cash and investments	\$ 117,889,782	\$ 1,822,296	\$ 986,012	\$ 120,698,090

Cash, cash equivalents, and investments consisted of the following at June 30, 2015:

	Business-Type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Cash and cash equivalents:				
Cash on hand	\$ 76,812	\$ 5,490	\$ -	\$ 82,302
Cash in bank accounts	2,008,266	1,816,806	131,593	3,956,665
Cash in County treasury	115,777,908	-	-	115,777,908
Total cash and cash equivalents	117,862,986	1,822,296	131,593	119,816,875
Investments:				
U.S. Government securities	-	-	-	-
Certificates of deposit	26,796	-	-	26,796
Equity securities	-	-	683,421	683,421
Mutual funds	-	-	170,998	170,998
Total investments	26,796	-	854,419	881,215
Total cash and investments	\$ 117,889,782	\$ 1,822,296	\$ 986,012	\$ 120,698,090

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments (Continued)

San Diego County Investment Pool

As provided for by Education Code §41001, a significant portion of the District's cash balances are deposited with the County Treasurer to enhance interest earnings through County investment activities. In accordance §53601 and §53602 of the California Government Code, the County may invest in the following types of investments:

- Local bonds or notes
- Securities of the U.S. Government or its agencies
- Registered State warrants or treasury notes or bonds of the State
- Small Business Administration loans
- Negotiable Certificates of Deposit
- Bankers Acceptances
- Commercial Paper (Prime Quality)
- Local Agency Investment Fund (State Pool) Deposits
- Passbook Savings Account Demand Deposits
- Medium-term notes (remaining maturity of five years or less; rated "A" or better)
- Repurchase agreements or reverse repurchase agreements
- Mortgage pass-through securities

The District is a participant in the San Diego County Treasury Pool (County Pool) which is regulated under the oversight of the Treasurer of the County of San Diego. The fair value of the District's investment in the County Pool is reported in the accompanying financial statements based upon the District's pro-rata share of the fair value provided by the County Pool for the entire portfolio. The balance available for withdrawal is based on the accounting records maintained by the Pool. Included in the County Pool's investment portfolio are collateralized and negotiable certificates of deposit, floating rate securities issued by federal agencies and corporations, money market funds, repurchase agreements and commercial paper.

At June 30, 2015, the District had \$115,777,908 invested in the San Diego County Investment Pool.

Restricted Cash and Investments

As of June 30, 2015, the District had restricted cash and investments totaling \$90,502,388. This amount is restricted to be used for acquisition, construction, renovation, repair, and modernization of certain District property and facilities and to refund or advance refund certain obligations of the District.

Disclosures Relating to Interest Rate Risk

Interest rate risk is the risk that a change in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment is, the greater the sensitivity its fair value will be to changes in market interest rates. None of the District's investments are highly sensitive to interest rate fluctuation.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 2 – Cash and Investments (Continued)

Disclosures Relating to Credit Risk

The District's investments are rated by the nationally recognized statistical rating organizations as follows:

	Business-Type Activities Fair Value	Foundation Fair Value	Moody's	Standard & Poor's
Mutual Funds	\$ -	\$ 170,998	A2	A
Equities	-	683,421	Not Rated	Not Rated
Certificates of deposit	26,796	-	Not Rated	Not Rated
	<u>\$ 26,796</u>	<u>\$ 854,419</u>		

Disclosures Relating to Concentration of Credit Risk

The investment policy limits the percentage of the portfolio that can be invested in certain types of investments. The District is in compliance with the investment policy with respect to investment type percentages for the total portfolio.

Disclosures Relating to Custodial Credit Risk

The custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the broker or dealer to a transaction, a government will not be able to recover the value of its investments or collateral securities that are in the possession of another party.

The California Government Code requires California banks and savings and loan associations to secure the District's cash deposits by pledging securities as collateral. This Code states that collateral pledged in this manner shall have the effect of perfecting a security interest in such collateral superior to those of a general creditor. Thus, collateral for cash deposits is considered to be held in the District's name.

The market value of pledged securities must equal at least 110% of the District's cash deposits. California law also allows institutions to secure District deposits by pledging first trust deed mortgage notes having a value of 150% of the District's total cash deposits. The District may waive collateral requirements for cash deposits which are fully insured up to \$250,000 by the Federal Deposit Insurance Corporation. The District, however, has not waived the collateralization requirements.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 3 – Accounts Receivable

The following is a summary of receivables at June 30, 2015:

	Business-type Activities	Fiduciary Fund Financial Statements	Foundation	Total
Grants:				
Federal	\$ 1,169,578	\$ -	\$ -	\$ 1,169,578
State	497,278	-	-	497,278
Local	171,608	-	-	171,608
Total grants	1,838,464	-	-	1,838,464
State Apportionments	2,065,685	-	-	2,065,685
Lottery Apportionments	519,405	-	-	519,405
Other	540,943	19,420	582	560,945
Total	\$ 4,964,497	\$ 19,420	\$ 582	\$ 4,984,499

Note 4 – Capital Assets

The following summarizes the changes in the various capital asset categories for the year ended June 30, 2015:

	Balance July 1, 2014	Additions	Deletions	Transfers	Balance June 30, 2015
Nondepreciable:					
Land	\$ 9,703,148	\$ -	\$ -	\$ -	\$ 9,703,148
Construction in progress	63,643,318	30,895,864	(17,627)	(84,211,387)	10,310,168
Total nondepreciable	73,346,466	30,895,864	(17,627)	(84,211,387)	20,013,316
Depreciable:					
Site improvements	34,327,102	-	-	26,317,883	60,644,985
Buildings	106,388,265	-	-	57,893,504	164,281,769
Equipment	5,821,717	663,774	(143,684)	-	6,341,807
Total depreciable, at cost	146,537,084	663,774	(143,684)	84,211,387	231,268,561
Less accumulated depreciation:					
Site improvements	(10,812,157)	(2,495,310)	-	-	(13,307,467)
Buildings	(28,939,407)	(3,364,567)	-	-	(32,303,974)
Equipment	(4,755,651)	(432,147)	143,684	-	(5,044,114)
Total accumulated depreciation	(44,507,215)	(6,292,024)	143,684	-	(50,655,555)
Total depreciable, net	102,029,869	(5,628,250)	-	84,211,387	180,613,006
Total capital assets, net	\$ 175,376,335	\$ 25,267,614	\$ (17,627)	\$ -	\$ 200,626,322

Depreciation expense for capital assets for the year ended June 30, 2015 was \$6,292,024.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 5 – Unearned Revenue

Unearned revenue consists of grant monies, student fees, and other revenues that have been received as of June 30, 2015 for the subsequent 2015-2016 year. As of June 30, 2015, the District's unearned revenue balance consists of the following:

	Business-Type	Fiduciary Fund Financial		
	Activities	Statements	Foundation	Total
Federal sources	\$ 56,855	\$ -	\$ -	\$ 56,855
State sources	2,868,368	-	-	2,868,368
Enrollment fees	696,549	-	-	696,549
Other local sources	1,855,549	19,390	2,500	1,877,439
	<u>\$ 5,477,321</u>	<u>\$ 19,390</u>	<u>\$ 2,500</u>	<u>\$ 5,499,211</u>

Note 6 – Long-Term Debt

The following is a summary of the changes in long-term debt for the year ended June 30, 2015:

	Balance July 1, 2014	Additions	Reductions	Balance June 30, 2015	Due Within One Year	Due In More Than One Year
Bonds payable:						
Lease Revenue Bonds	\$ 1,160,000	\$ -	\$ (90,000)	\$ 1,070,000	\$ 90,000	\$ 980,000
GO Bond 2004	12,993,974	-	-	12,993,974	-	12,993,974
GO Bond 2005	32,670,000	-	(32,670,000)	-	-	-
GO Bond 2005, Refunding Series B	20,555,001	-	(4,165,000)	16,390,001	4,705,000	11,685,001
GO Bond 2008, Series A	8,195,000	-	(400,000)	7,795,000	550,000	7,245,000
GO Bond 2008, Series B	89,775,000	-	-	89,775,000	-	89,775,000
GO Bond 2008, Series C	66,400,371	-	(30,000)	66,370,371	100,000	66,270,371
GO Bond 2015, Refunding	-	27,045,000	-	27,045,000	420,000	26,625,000
Unamortized premiums	5,652,436	4,030,391	(2,238,373)	7,444,454	-	7,444,454
Total bonds payable	<u>237,401,782</u>	<u>31,075,391</u>	<u>(39,593,373)</u>	<u>228,883,800</u>	<u>5,865,000</u>	<u>223,018,800</u>
Compensated absences:	<u>3,078,078</u>	<u>2,618,621</u>	<u>(2,513,908)</u>	<u>3,182,791</u>	<u>2,500,000</u>	<u>682,791</u>
Total	<u>\$ 240,479,860</u>	<u>\$ 33,694,012</u>	<u>\$ (42,107,281)</u>	<u>\$ 232,066,591</u>	<u>\$ 8,365,000</u>	<u>\$ 223,701,591</u>

Lease Revenue Bonds

In January 1999, the District entered into a trust indenture with the California Community College Financing Authority to issue lease revenue bonds in order to provide funds for public capital improvements. The bonds consist of Series 1999A bonds of which the District's portion of the issuance was \$4,460,000.

On October 1, 2010 the District, along with two other local California Community College Districts, refinanced these bonds in order to achieve a savings in debt service. The new bonds have a principal amount due of \$1,410,000 with the first payment due on October 1, 2011 and the final payment due on October 1, 2023. The bonds have coupon rates ranging from 3.0% to 4.0%. As part of the refinancing, additional principal was paid from the existing reserve account in the amount of \$215,000.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-Term Debt (Continued)

Lease Revenue Bonds (Continued)

The District pledged all lease revenue to repay the outstanding principal and interest of the Lease Revenue Bonds. Total principal and interest remaining on the bonds at June 30, 2015 is \$1,272,379, payable through 2024.

The annual requirements for debt service outstanding at June 30, 2015 are as follows:

Year Ending June 30,	Principal	Interest	Total
2016	\$ 90,000	\$ 35,494	\$ 128,644
2017	90,000	32,344	125,494
2018	95,000	29,569	122,344
2019	100,000	26,644	124,569
2020	100,000	23,644	123,644
2021-2024	595,000	52,684	647,684
Total	\$ 1,070,000	\$ 200,379	\$ 1,272,379

General Obligation Bonds – 2004

In September 2004, the District authorized the sale and issuance of the 2004 General Obligation Bonds in the amount of \$49,353,974. Proceeds from the sale of the bonds are to be used to finance the renovation of classrooms and other college facilities throughout the District. These bonds were partially refunded in August 2005. Interest on the remaining amount is payable August 1, commencing August 1, 2024 at rates ranging from 2.5% to 5.0%. Principal is payable August 1, commencing August 1, 2024 and through the maturity date August 1, 2029.

The bonds are solely payable from *ad valorem* property taxes levied. The District pledged all *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds - 2004. Total principal and interest remaining on the bonds is \$42,435,000, payable through 2030.

The annual requirements for debt service outstanding at June 30, 2015 are as follows:

Year Ending June 30,	Principal	Interest	Total
2016	\$ -	\$ -	\$ -
2017	-	-	-
2018	-	-	-
2019	-	-	-
2020	-	-	-
2021-2025	1,434,188	3,847,153	5,281,341
2026-2030	11,559,786	25,593,873	37,153,659
Total	\$ 12,993,974	\$ 29,441,026	\$ 42,435,000

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2005

In January 2005, the District authorized the sale and issuance of 2005 General Obligation Bonds, Refunding of Election 2000, Series 2001 in the amount of \$40,575,000. Proceeds from the sale of the bonds were used to advance refund the entire outstanding principal amount of the District's General Obligation Bonds, Series 2001 and to fund additional capital projects authorized by the initial measure. Interest is payable February 1 and August 1, commencing August 1, 2005 at rates ranging from 3.0% to 5.2%. Principal is payable August 1, commencing August 1, 2005 and through the maturity date August 1, 2025.

The bonds are solely payable from *ad valorem* property taxes levied. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District pledged *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds - 2005. Total principal and interest remaining on the bonds was paid in full during fiscal year 2015 via the issuance of the 2015 General Obligation Refunding Bonds.

General Obligation Bonds – 2005 Refunding Series B

In August 2005, the District authorized the sale and issuance of 2005 General Obligation Refunding Bonds, Series B, in the amount of \$37,456,116. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2004 General Obligation Bonds, Election of 2000, Series 2004. Interest is payable February 1 and August 1, commencing February 1, 2006 at 5.25%. Principal is payable August 1, commencing August 1, 2006 and through the maturity date August 1, 2018. The bonds were issued at a premium of \$5,786,135. In addition, there were \$649,857 of bond issuance costs and a \$947,394 refunding adjustment associated with the partial refunding of the 2004 General Obligation Bonds that are amortized over the life of the bond.

The bonds are solely payable from *ad valorem* property taxes levied. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District pledged *ad valorem* property tax levied and collected to repay the outstanding principal and interest of the General Obligation Bonds – 2005 Refunding Series B. Total principal and interest remaining on the bonds is \$17,793,851, payable through fiscal year 2019.

The annual requirements for debt service outstanding at June 30, 2015 are as follows:

Year Ending			
June 30,	Principal	Interest	Total
2016	\$ 4,705,000	\$ 736,969	\$ 5,441,969
2017	5,290,000	474,600	5,764,600
2018	5,930,000	180,075	6,110,075
2019	465,001	12,206	477,207
Total	\$ 16,390,001	\$ 1,403,850	\$ 17,793,851

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series A, B and C

On October 22, 2009, as authorized by the registered voters of the Southwestern Community College District in the election of November 4, 2008, the District issued \$10,225,000 of Election of 2008 General Obligation Bonds, Series A, and \$89,775,000 of Election of 2008 General Obligation Bonds, Series B bonds. The Series A bonds are tax exempt. The Series B bonds were issued as “Build America Bonds” for purposes of the American Recovery and Reinvestment Act of 2009 (“Recovery Act”). Pursuant to the Recovery Act, the District expects to receive a cash subsidy payment from the United States Treasury equal to 35% of the interest payable on the Series B bonds on or about each interest payment date. The cash payment does not constitute the full faith and credit of the United States, but is required to be paid by the Treasury under the Recovery Act. Interest is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2010 at 5.5%. The bonds are being issued to finance the repair, construction, acquisition and equipping of certain District sites and facilities and to pay costs of issuance with the bonds. The bonds were issued at a premium of \$1,212,387.

In June, 2011, the District authorized the sale and issuance of 2008 General Obligation Bonds, Series C in the amount of \$68,730,371. Proceeds from the sale of the bonds will be used to finance the construction and renovation of classrooms and other college facilities throughout the District. The bonds were issued at a premium of \$716,045.

Interest on the Series C current interest bonds with principal of \$58,355,000 is payable February 1 and August 1, commencing August 1, 2011 at rates ranging from 1.0% to 5.25%. Principal is payable August 1, commencing August 1, 2011 and through the maturity date of August 1, 2030.

Interest on the Series C capital appreciation bonds with principal of \$10,375,371 will accrete in value commencing August 1, 2011 at rates ranging from 7.15% to 7.3% to the respective maturity amounts on August 1, 2041 and August 1, 2046.

The bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of San Diego County is empowered and is obligated to levy *ad valorem* taxes for the payment of interest on and principal of the bonds when due. The District has pledged *ad valorem* property tax levied and collected to pay repay the outstanding principal and interest of the bonds. Total principal and interest remaining on the bonds as of June 30, 2015 is \$9,077,351, \$207,176,823 and \$201,249,059 for Series A, B, and C, respectively.

The annual requirements for debt service outstanding at June 30, 2015 are as follows:

Year Ending June 30,	SERIES A		
	Principal	Interest	Total
2016	\$ 550,000	\$ 413,600	\$ 839,725
2017	715,000	378,813	963,600
2018	895,000	334,538	1,093,813
2019	1,085,000	280,088	1,229,538
2020	1,290,000	214,775	1,504,775
2021-2022	3,260,000	185,900	3,445,900
Total	\$ 7,795,000	\$ 1,807,714	\$ 9,077,351

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-Term Debt (Continued)

General Obligation Bonds – 2008, Series A, B and C (Continued)

Year Ending June 30,	SERIES B		
	Principal	Interest	Total
2016	\$ -	\$ 6,401,727	\$ 6,401,727
2017	-	6,401,727	6,401,727
2018	-	6,401,727	6,401,727
2019	-	6,401,727	6,401,727
2020	-	6,401,727	6,401,727
2021-2025	6,735,000	31,403,678	38,138,678
2026-2030	17,035,000	27,085,556	44,120,556
2031-2035	26,610,000	19,360,354	45,970,354
2036-2040	39,395,000	7,543,600	46,938,600
Total	\$ 89,775,000	\$ 117,401,823	\$ 207,176,823

Year Ending June 30,	SERIES C		
	Principal	Interest	Total
2016	\$ 100,000	\$ 2,831,563	\$ 2,931,563
2017	175,000	2,826,563	3,001,563
2018	260,000	2,817,863	3,077,863
2019	345,000	2,805,763	3,150,763
2020	440,000	2,787,863	3,227,863
2021-2025	3,910,000	13,456,813	17,366,813
2026-2030	7,510,000	12,052,063	19,562,063
2031-2035	12,490,000	9,535,856	22,025,856
2036-2040	19,565,000	5,440,238	25,005,238
2041-2045	18,608,012	47,770,366	66,378,378
2046-2047	2,967,359	32,553,737	35,521,096
Total	\$ 66,370,371	\$ 134,878,688	\$ 201,249,059

General Obligation Refunding Bonds – 2015

In August 2014, the District authorized the sale and issuance of 2015 General Obligation Refunding Bonds, in the amount of \$27,045,000. Proceeds from the sale of the bonds were used to advance refund a portion of the District's 2005 General Obligation Bonds, Election of 2000, Series 2005. Interest is payable February 1 and August 1, commencing August 1, 2015 at 5.0%. Principal is payable August 1, commencing August 1, 2015 and through the maturity date February 1, 2026. The bonds were issued at a premium of \$4,030,391 and the refunding transaction resulted in a deferred loss on refunding of \$1,823,862 to be amortized through the remaining life of the new bonds. The aggregate debt service payments of the new debt are \$3,698,626 less than the old debt. The issuance of the new debt and refunding of the old debt resulted in an economic gain (the difference between the present value of the old debt and new debt service payments) of approximately \$3,247,455.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 6 – Long-Term Debt (Continued)

General Obligation Refunding Bonds – 2015 (Continued)

The annual requirements for debt service outstanding at June 30, 2015 are as follows:

Year Ending June 30,	Principal	Interest	Total
2016	\$ 420,000	\$ 931,861	\$ -
2017	1,695,000	1,233,025	-
2018	1,850,000	1,170,600	-
2019	2,040,000	1,092,800	-
2020	2,230,000	996,250	3,226,250
2021-2025	14,940,000	2,971,000	17,911,000
2026	3,870,000	96,750	3,966,750
Total	\$ 27,045,000	\$ 8,492,286	\$ 25,104,000

Compensated Absences

The District's liability for vested and unpaid compensated absences (accrued vacation) has been accrued and amounts to \$3,182,791 at June 30, 2015.

Notes 7 – Other Post Employment Benefits

Plan Description

The District provides post employment health care benefits for eligible retirees. The retiree must have worked for at least ten years (administrators) to fifteen years (classified/academic). The following is a summary description of the current retiree benefit plan:

	Faculty	Classified	Management*
Benefit Types Provided	Medical and Dental	Medical Only	Medical, Dental and Medicare Part B
Duration of Benefits	Lifetime	Lifetime	Lifetime
Required Service	15 Years	15 Years	10 Years
Minimum Age	55	50	55
Dependent Coverage	No	No	No
College Contribution %	50% (not less than \$1,000 per year)	100%	100%
College Cap	None	\$1,000 per year after age 65	\$1,000 per year after age 65**

* Educational administrators hired after 12/31/2003 are not entitled to any District-paid benefits.

** Employees hired prior to 01/01/2004 are not subject to this cap.

Funding Policy

Through June 30, 2013, the District has contributed \$3.2 million to an irrevocable trust with the Community College League of California – Joint Powers Authority (CCLC-JPA). The District contributed \$0 during fiscal year 2015. At June 30, 2015, the market value of the irrevocable trust was \$3,635,341.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Notes 7 – Other Post Employment Benefits

Annual OPEB Cost

For the year ended June 30, 2015, the District's Annual Required Contribution ("ARC") for OPEB was \$1,066,867. The District's annual OPEB cost, the percentage of annual OPEB cost to be contributed to the plan, and the Net OPEB Obligation are as follows:

Fiscal Year Ended	Annual Required Contribution	Actual Contribution	Percentage of Annual OPEB Cost Contributed	(Increase) Decrease in OPEB Obligation	Net OPEB Obligation
6/30/2013	\$ 1,194,669	\$ 700,000	59%	\$ (494,669)	\$ (1,089,149)
6/30/2014	1,066,867	-	0%	(1,066,867)	(2,650,685)
6/30/2015	1,066,867	-	0%	(1,066,867)	(3,717,552)

Most Recent Actuarial Study – Status of Funding Progress

Actuarial Valuation Date	Actuarial Asset Value	Entry Age Actuarial Accrued Liabilities	Unfunded Actuarial Accrued Liabilities	Funded Ratio	Estimated Covered Payroll	Unfunded Actuarial Liabilities as Percentage of Liabilities as Covered Payroll
2/1/2014	\$ 2,156,350	\$ 11,884,471	\$ 9,728,121	18.14%	\$ 45,861,000	21.21%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend rates. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

The plan's most recent actuarial valuation was performed as of February 1, 2014. In that valuation, the Entry Aged Normal Cost Method was used. The actuarial assumptions included a 6.75% investment rate of return (net of administrative expenses), an annual healthcare cost trend rate of 4%, and a 2.75% payroll increase per year. All assumptions reflect an implicit 3% general inflation assumption. The District's unfunded actuarial accrued liability is being amortized as a level dollar amount on a rolling basis. The remaining amortization period as of June 30, 2015 was 29 years.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans

A. Summary

Net Pension Liability

Aggregate Net Pension Liability is reported in the accompanying statement of net position as follows:

	Net Pension Liability
CalPERS Pension Plan	\$ 23,828,761
CalSTRS Pension Plan	46,749,600
Total	\$ 70,578,361

Deferred Outflows of Resources

Deferred Outflows of Resources are reported in the accompanying statement of net position as follows:

	Deferred employer pension contributions made after measurement date	Employer's actual contributions in excess of Employer's proportionate share of contributions
CalPERS Pension Plan	\$ 2,824,261	\$ 14,951
CalSTRS Pension Plan	3,539,234	25,477
Total	\$ 6,363,495	\$ 40,428

Deferred Inflows of Resources

Deferred Inflows of Resources are reported in the accompanying statement of net position as follows:

	Investment earnings greater than expected earnings
CalPERS Pension Plan	\$ 8,187,829
CalSTRS Pension Plan	11,512,000
Total	\$ 19,699,829

Pension Expense

Pension expenses are included in the accompanying statement of revenues, expenses, and Change in Net Position as follows:

	Net Pension Expense
CalPERS Pension Plan	\$ 2,123,046
CalSTRS Pension Plan	4,040,246
Total	\$ 6,163,292

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan

Plan Description

Most full-time classified (non-academic) employees participate in the School Employer Pool under CalPERS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan administered by CalPERS. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law (Part 3 of the California Government Code, §22000 et seq.). CalPERS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalPERS' annual financial report may be obtained from the CalPERS Executive Office located at 400 P Street, Sacramento, CA 95814.

Benefits Provided

CalPERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. A classic CalPERS member becomes eligible for Service Retirement upon attainment of age 55, with at least 5 years of credited service. Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62, with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 12 full-time equivalent monthly pay. Retirement benefits for classic employees are calculated as 2.0%, of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Participant is eligible for non-industrial disability retirement if becomes disabled and has at least 5 years of credited service. There is no special age requirement. The standard non-industrial disability retirement benefit is a monthly allowance equal to 1.8% of final compensation, multiplied by service. Industrial disability benefits are not offered to miscellaneous employees.

An employee's beneficiary may receive the basic death benefit if the employee dies while actively employed. The employee must be actively employed with the District to be eligible for this benefit. An employee's survivor who is eligible for any other pre-retirement death benefit may choose to receive that death benefit instead of this basic death benefit. The basic death benefit is a lump sum in the amount of the employee's accumulated contributions, where interest is currently credited at 7.5% per year, plus a lump sum in the amount of one month's salary for each completed year of current service, up to a maximum of six months' salary. For purposes of this benefit, one month's salary is defined as the member's average monthly full-time rate of compensation during the 12 months preceding death.

Upon the death of a retiree, a one-time lump sum payment of \$500 will be made to the retiree's designated survivor(s), or to the retiree's estate.

Benefit terms provide for annual cost-of-living adjustments to each employee's retirement allowance. Beginning the second calendar year after the year of retirement, retirement and survivor allowances will be annually adjusted on a compound basis by 2%.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Employees Covered

At June 30, 2015 the following employees were covered by the benefit terms for:

Inactive employees or beneficiaries currently receiving benefits	604
Inactive employees entitled to but not yet receiving benefits	48
Active employees	349

Contributions

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalPERS' annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2014 (the measurement date), the active contribution rate was 7.0% of annual payroll. The required employer's contribution rate was 11.442% of annual payroll.

For the measurement period ended June 30, 2014, the plan's proportionate share of aggregate employer contributions made was as follows:

Contributions - employer	\$ 2,521,670
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Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability for is measured as the proportionate share of the net pension liability. The net pension liability of the Plans is measured as of June 30, 2014, and the total pension liability for used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2013 rolled forward to June 30, 2014 using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2015, the District reported net pension liability for its proportionate shares of the net pension liability as follows:

		Increase (Decrease)	
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/13 (Valuation date)	\$ 136,510,851	\$ 104,086,905	\$ 32,423,946
Balance at: 6/30/14 (Measurement date)	143,346,586	119,517,825	23,828,761
Net Changes during 2013-2014	6,835,735	15,430,920	(8,595,185)

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2013). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2014). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2014 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2013-14).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

The District's proportionate share of the net pension liability for the Plan as of June 30, 2013 and 2014 was as follows:

Proportion June 30, 2013	0.20990%
Proportion June 30, 2014	0.20990%
Change - Increase (Decrease)	<u>0.00000%</u>

For the year ended June 30, 2015, the District recognized pension expense in the amount of \$701,215.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2013-14 measurement period is 3.8 years, which was obtained by dividing the total service years of 460,700 (the sum of remaining service lifetimes of the active employees) by 122,789 (the total number of participants: active, inactive, and retired).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred outflows of Resources</u>	<u>Deferred inflows of Resources</u>
Difference between projected and actual earning on pension plan investments	\$ -	\$ (8,187,829)
Difference between District contributions and proportionate share of contributions	14,951	-
Total	<u>\$ 14,951</u>	<u>\$ (8,187,829)</u>

For the Plan, \$2,824,261 was reported as deferred outflows of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Deferred Outflows/ (Inflows) of Resources</u>
2016	\$ (2,041,802)
2017	(2,041,802)
2018	(2,042,316)
2019	(2,046,958)
2020	-
Thereafter	-
	<u>\$ (8,172,878)</u>

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2014 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2013 total pension liability. Both the June 30, 2013 and the June 30, 2014 total pension liabilities were based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirement of GASB Statement No.
Actuarial Assumptions:	
Discount Rate	7.50%
Inflation	2.75%
Salary Increases	Varies by Entry Age and Service
Investment Rate of Return	7.50% Net of Pension Plan Investment and Administrative Expenses; includes
Mortality Rate Table	Derived using CalPERS' Membership Data for all Funds.
Post Retirement Benefit Increase	Contract COLA up to 2.75% until Purchasing Power Protection Allowance

All other actuarial assumptions used in the June 30, 2013 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011, including updates to salary increase, mortality and retirement rates. The Experience Study report can be obtained at CalPERS' website under Forms and Publications.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Discount Rate

The discount rate used to measure the total pension liability was 7.50%. To determine whether the municipal bond rate should be used in the calculation of a discount rate for plan, CalPERS stress tested plans that would most likely result in a discount rate that would be different from the actuarially assumed discount rate. Based on the testing, none of the tested plans run out of assets. Therefore, the current 7.50% discount rate is adequate and the use of the municipal bond rate calculation is not necessary. The long term expected discount rate of 7.50% is applied to all plans in the Public Employees Retirement Fund. The stress test results are presented in a detailed report called “GASB Crossover Testing Report” that can be obtained at CalPERS’ website under the GASB 68 section.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.50% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 15 basis points. An investment return excluding administrative expenses would have been 7.65%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Employers of the Schools Pool Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

CalPERS is scheduled to review all actuarial assumptions as part of its regular Asset Liability Management review cycle that is scheduled to be completed in February 2018. Any changes to the discount rate will require Board action and proper stakeholder outreach. For these reasons, CalPERS expects to continue using a discount rate net of administrative expenses for GASB 67 and 68 calculations through at least the 2017-18 fiscal year. CalPERS will continue to check the materiality of the difference in calculation until such time as we have changed our methodology.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, staff took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the funds’ asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These geometric rates of return are net of administrative expenses.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

B. CalPERS Pension Plan (Continued)

Discount Rate (Continued)

Asset Class	New Strategic Allocation	Real Return Years 1-10 ¹	Real Return Years 11+ ²
Global Equity	47.00%	5.25%	5.71%
Global Fixed Income	19.00	0.99	2.43
Inflation Sensitive	6.00	0.45	3.36
Private Equity	12.00	6.83	6.95
Real Estate	11.00	4.50	5.13
Infrastructure and Forestl	3.00	4.50	5.09
Liquidity	2.00	-0.55	-1.05

¹An expected inflation of 2.5% used for this period

²An expected inflatin of 3.0% used for this period.

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District's proportionate share of the net pension liability for , calculated using the discount rate for , as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower or one percentage point higher than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.50%)	Current Discount Rate (7.50%)	Discount Rate + 1% (8.50%)
\$ 41,801,086	\$ 23,828,761	\$ 8,811,071

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan

Plan Description

Most full-time certificated (academic) employees participate in CalSTRS, a cost-sharing multiple-employer contributory public employee retirement system defined benefit pension plan. The plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law (Part 13 of the California Education Code, §22000 et seq.). Public Employee Pension Reform Act (PEPRA) members become eligible for service retirement upon attainment of age 62 with at least five years of service. CalSTRS issues a separate comprehensive annual financial report that includes financial statements and required supplementary information. Copies of the CalSTRS' annual financial report may be obtained from the CalSTRS Executive Office located at 7667 Folsom Boulevard, Sacramento, California 95826.

Under State Teachers' Retirement Law, certain early retirement incentives require the employer to pay the present value of the additional benefit, which may be paid on either a current or deferred basis. The District has no obligations to CalSTRS for early retirement incentives granted to terminate employees as of June 30, 2015.

Benefits Provided

CalSTRS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law. Retirement benefits for classic employees are calculated as 2.0% of the average final 12 months compensation multiplied by years of service. Retirement benefits for PEPRA employees are calculated as 2.0% of the average final 36 months compensation multiplied by years of service.

Employees Covered

At June 30, 2015 the following employees were covered by the benefit terms for :

Inactive employees or beneficiaries currently receiving benefits	604
Inactive employees entitled to but not yet receiving benefits	48
Active employees	349

Section 20814(c) of the California Public Employees' Retirement Law (PERL) requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. The total plan contributions are determined through the CalSTRS' annual actuarial valuation process. For public agency cost-sharing plans covered by either the Miscellaneous or Safety risk pools, the Plan's actuarially determined rate is based on the estimated amount necessary to pay the Plan's allocated share of the risk pool's costs of benefits earned by employees during the year, and any unfunded accrued liability. The employer is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. For the measurement period ended June 30, 2014 (the measurement date), the active contribution rate was 8.0% of annual payroll for the Plan. The average employer's contribution rate was 8.88% for the Plan.

For the measurement period ended June 30, 2014, the plan's proportionate share of aggregate employer contributions made for the Plan was as follows:

Contributions - employer	\$ 2,921,703
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Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District's net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2014, and the total pension liability the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2013 rolled forward to June 30, 2014 for the Plan using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plans relative to the projected contributions of all participating employers, actuarially determined.

As of June 30, 2015, the District reported net pension liabilities for its proportionate shares of the net pension liability of the Plan as follows:

	Increase (Decrease)		
	Plan Total Pension Liability	Plan Fiduciary Net Position	Plan Net Pension Liability/(Asset)
Balance at: 6/30/13 (Valuation date)	\$ 190,228,800	\$ 133,078,400	\$ 57,150,400
Balance at: 6/30/14 (Measurement date)	199,128,800	152,379,200	46,749,600
Net Changes during 2013-2014	8,900,000	19,300,800	(10,400,800)

The following is the approach established by the plan actuary to allocate the net pension liability and pension expense to the individual employers within the risk pool.

- (1) In determining a cost-sharing plan's proportionate share, total amounts of liabilities and assets are first calculated for the risk pool as a whole on the valuation date (June 30, 2013). The risk pool's fiduciary net position ("FNP") subtracted from its total pension liability ("TPL") determines the net pension liability ("NPL") at the valuation date.
- (2) Using standard actuarial roll forward methods, the risk pool TPL is then computed at the measurement date (June 30, 2014). Risk pool FNP at the measurement date is then subtracted from this number to compute the NPL for the risk pool at the measurement date. For purposes of FNP in this step and any later reference thereto, the risk pool's FNP at the measurement date denotes the aggregate risk pool's FNP at June 30, 2014 less the sum of all additional side fund (or unfunded liability) contributions made by all employers during the measurement period (2013-14).
- (3) The individual plan's TPL, FNP and NPL are also calculated at the valuation date.
- (4) Two ratios are created by dividing the plan's individual TPL and FNP as of the valuation date from (3) by the amounts in step (1), the risk pool's total TPL and FNP, respectively.
- (5) The plan's TPL as of the Measurement Date is equal to the risk pool TPL generated in (2) multiplied by the TPL ratio generated in (4). The plan's FNP as of the Measurement Date is equal to the FNP generated in (2) multiplied by the FNP ratio generated in (4) plus any additional side fund (or unfunded liability) contributions made by the employer on behalf of the plan during the measurement period.
- (6) The plan's NPL at the Measurement Date is the difference between the TPL and FNP calculated in (5).

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (Continued)

The District's proportionate share of the net pension liability as of June 30, 2013 and 2014 was as follows:

Proportion June 30, 2013	0.08000%
Proportion June 30, 2014	0.08000%
Change - Increase (Decrease)	0.00000%

For the year ended June 30, 2015, the District recognized pension expense in the amounts of \$4,040,246.

The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized over 5-years straight line. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive and retired) as of the beginning of the measurement period.

The Expected Average Remaining Service Lifetime ("EARSL") is calculated by dividing the total future service years by the total number of plan participants (active, inactive, and retired) in the risk pool. The EARSL for risk pool for the 2013-14 measurement period is 7 years.

At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of Resources	Deferred inflows of Resources
Difference between projected and actual earning on pension plan investments	\$ -	\$ (11,512,000)
Difference between District contributions and proportionate share of contributions	25,477	-
Total	\$ 25,477	\$ (11,512,000)

For the Plan, \$3,539,234 was reported as deferred outflows of resources related to pensions resulting from District's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows/ (Inflows) of Resources
2016	\$ (2,873,354)
2017	(2,873,354)
2018	(2,873,354)
2019	(2,874,954)
2020	4,246
Thereafter	4,247
	\$ (11,486,523)

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Actuarial Methods and Assumptions Used to Determine Total Pension Liability

For the measurement period ended June 30, 2014 (the measurement date), the total pension liability was determined by rolling forward the June 30, 2013 total pension liability. Both the June 30, 2013 and the June 30, 2014 total pension liabilities were based on the following actuarial methods and assumptions:

Actuarial Cost Method	Entry Age Normal in accordance with the requirement of GASB Stmt. No. 68
Actuarial Assumptions:	
Discount Rate	7.50%
Inflation	3.00%
Salary Increases	3.75%
Investment Rate of Return	7.60% Net of Pension Plan Investment , but gross of Administrative Expenses
Mortality Rate Table	Custom tables based on RP2000 series tables adjusted to fit CalSTRS experience
Post Retirement Benefit Increase	2.00% simple for DB, Not applicable for DBS/CBB

All other actuarial assumptions used in the June 30, 2013 valuation were based on the results of an actuarial experience study for the period July 1, 2006 – June 30, 2010, including updates to salary increase, mortality and retirement rates.

Discount Rate

The discount rate used to measure the total pension liability was 7.60%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increases per AB1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60%) and assuming that contributions, benefit payments, and administrative expenses occur mid-year. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

According to Paragraph 30 of Statement 68, the long-term discount rate should be determined without reduction for pension plan administrative expense. The 7.50% investment return assumption used in this accounting valuation is net of administrative expenses. Administrative expenses are assumed to be 15 basis points. An investment return excluding administrative expenses would have been 7.65%. Using this lower discount rate has resulted in a slightly higher total pension liability and net pension liability. This difference was deemed immaterial to the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 8 – Pension Plans (Continued)

C. CalSTRS Pension Plan (Continued)

Discount Rate (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best-estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (“Consultant”) as an input to the process. Based on the model from CalSTRS consulting actuary’s investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that annual returns are lognormally distributed and independent from year to year to develop expected percentiles for the long-term distribution of annualized returns. The assumed asset allocation by the Consultant is based on CalSTRS board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as an input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	New Strategic Allocation	Long-Term Expected Real Rate of Return ¹
Global Equity	47%	4.50%
Global Fixed Income	20%	0.20%
Real Estate	15%	4.35%
Private Equity	12%	6.20%
Inflation Sensitive	5%	3.20%
Liquidity	1%	0.00%

¹10-year geometric average

Sensitivity of the Proportionate Share of the Net Pension Liability to Changes in the Discount Rate

The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.6%, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.6%) or one percentage point higher (8.6%) than the current rate:

Plan's Aggregate Net Pension Liability/(Asset)		
Discount Rate - 1% (6.60%)	Current Discount Rate (7.60%)	Discount Rate + 1% (8.60%)
\$ 72,870,400	\$ 46,749,600	\$ 24,969,600

Pension Plan Fiduciary Net Position

Detailed information about each pension plan’s fiduciary net position is available in the separately issued CalSTRS financial reports.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 9 – Risk Management

The District's risks management activities include property and liability and worker's compensation insurance programs.

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters.

Significant losses are covered by commercial insurance for all major programs. For insured programs, there have been no significant reductions in insurance coverage. Settlement amounts have not exceeded insurance coverage for the current year or the three prior years.

Note 10 – Joint Ventures (Joint Powers Agreement)

The District participates in a joint powers agreement (JPA) entity called the Statewide Association of Community Colleges (SWACC). The relationship between the District and the JPA is such that the JPA is not a component unit of the District. The JPA is governed by a board consisting of a representative from each member district.

SWACC provides liability and property insurance for approximately nineteen community colleges. SWACC is governed by a board comprised of a member of each of the participating districts. The board controls the operation of SWACC, including the selection of management and approval of board members beyond their representation on the board. Each member shares in the surpluses and deficits proportionally to its participation in SWACC.

This entity has budgeting and financial reporting requirements independent of member units and the financial statements are not presented in these financial statements; however, fund transactions between the entity and the District are included in these statements. The District's share of year-end assets, liabilities or fund equity has not been calculated. The most recently available audited financial statements are as follows:

	June 30, 2014
Assets	\$ 54,045,044
Liabilities	\$ 23,536,002
Net position	\$ 30,509,042
Operating revenues	\$ 9,348,523
Operating expenses	\$ 7,806,532
Nonoperating revenues (expenses)	\$ (2,275,914)
Change in net position	\$ (733,923)

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 11 – Commitments and Contingencies

Litigation

The District is periodically involved in various litigations. In the opinion of management and legal counsel, the disposition of all litigation pending will not have a material effect on the District's financial statements.

Sick Leave

Sick leave accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees, therefore, are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recorded in the accompanying financial statements.

Grants and Contracts

The District has received state and federal funds for specific purposes that are subject to review and audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursements will not be material.

Construction

In addition to construction amounts in accounts payable and accrued liabilities, the District has construction commitments of approximately \$27,836,000 as of June 30, 2015.

Note 12 – Deficit Net Position

At June 30, 2015 the District had an unrestricted net position deficit of \$79,807,157 and a total net position deficit of \$17,562,247. This deficit was caused by the implementation of GASB Statements 68 and 71 as described in Note 8.

Southwestern Community College District
Notes to the Basic Financial Statements (Continued)
For the Year Ended June 30, 2015

Note 13 – Prior Period Adjustment

The beginning net position at July 1, 2014 was restated as follows:

Beginning Net Position, as previously reported	<u>\$ 65,730,319</u>
Prior period adjustments:	
Report proportionate share of pension contributions made during the measurement period as deferred outflows of resources due to implementation of GASB 68	5,450,047
Report of actual contribution made during the measurement period, net of proportionate share of contribution	49,829
Report net pension liability due to the implementation of GASB 68	<u>(89,574,346)</u>
Beginning Net Position, as restated	<u><u>\$ (18,344,151)</u></u>

The City implemented GASB Statements No. 68 and No. 71 during the year ended June 30, 2015. The restatement to the beginning net position is to report the net pension liabilities for the District's CalSTRS and CalPERS plans in accordance with GASB Statements No. 68 and No. 71 based on the measurement date of June 20, 2014.

Note 14 – Subsequent Events

Fiscal Independence

The District was granted financial independence on July 1, 2015. This independence gives the District broad authority to issue warrants, accounts payable warrants and payroll warrants included, without review or approval of the County Office of Education or County Auditor. Under California Education Code Section 85266.5, financial independence is granted by the Board Of Governors, based largely on the recommendation from the community college district's applicable county offices and results of an independent Certified Public Accountant survey of the district's accounting controls.

Issuance of Debt

The District issued Election of 2008 General Obligation bonds, Series D on July 7, 2015 in the amount of \$121.6 million. The bonds were authorized at an election of the registered voters of the District held in November, 2008. The authorization approved in 2008 of \$389 million has resulted in funding Series A and Series B for an aggregate \$100 million, Series C of \$68.7 million and Series D of \$121.6 million.

REQUIRED SUPPLEMENTARY INFORMATION

**Southwestern Community College District
Required Supplementary Information (Unaudited)
For the Year Ended June 30, 2015**

Note 1 – Schedules of the Proportionate Share of the Net Pension Liability

Last Ten Fiscal Years

California Public Employees' Retirement System ("CalPERS") Plan

Measurement Period	June 30, 2014 ¹
District's Proportion of the Net Pension Liability	0.20990%
District's Proportionate Share of the net Pension Liability	\$ 23,828,761
District's Covered-Employee Payroll	\$ 22,245,705
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	107.12%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	83.38%

California State Teachers' Retirement System ("CalSTRS") Plan

Measurement Period	June 30, 2014 ¹
District's Proportion of the Net Pension Liability	0.08000%
District's Proportionate Share of the net Pension Liability	\$ 46,749,600
District's Covered-Employee Payroll	\$ 35,763,671
District's Proportionate Share of the Net Pension Liability as a Percentage of Its Covered-Employee Payroll	130.72%
Plan's Proportionate Share of the Fiduciary Net Position as a Percentage of the Total Pension Liability	76.52%

¹ Historical information is required only for measurement periods for which GASB 68 is applicable.

Southwestern Community College District
Required Supplementary Information (Unaudited)(Continued)
For the Year Ended June 30, 2015

Note 2 – Schedules of Contributions

Last Ten Fiscal Years		
California Public Employees' Retirement System ("CalPERS ") Plan	2014-15¹	2013-14¹
Actuarially Determined Contribution ²	\$ 2,824,261	\$ 2,545,353
Contribution in Relation to the Actuarially Determined Contribution ²	(2,824,261)	(2,545,353)
Contribution Deficiency (Excess)	\$ -	\$ -
Covered-Employee Payroll ³	\$ 23,993,385	\$ 22,245,705
Contributions as a Percentage of Covered-Employee Payroll	11.77%	11.44%
California State Teachers' Retirement System ("CalSTRS ") Plan	2014-15¹	2013-14¹
Actuarially Determined Contribution	\$ 3,539,234	\$ 2,954,523
Contribution in Relation to the Actuarially Determined Contribution	(3,539,234)	(2,954,523)
Contribution Deficiency (Excess)	\$ -	\$ -
Covered-Employee Payroll ³	\$ 39,853,588	\$ 35,763,671
Contributions as a Percentage of Covered-Employee Payroll	8.88%	8.26%

¹ Historical information is required only for measurement periods for which GASB 68 is applicable.

² Employers are assumed to make contributions equal to the actuarially determined contributions (which is the actuarially determined contribution). However, some employers may choose to make additional contributions towards their side fund or their unfunded liability. Employer contributions for such plans exceed the actuarially determined contributions. CalPERS has determined that employer obligations referred to as "side funds" are not considered separately financed specific liabilities.

³ Covered-Employee Payroll represented above is based on pensionable earnings provided by the employer. However, GASB 68 defines covered-employee payroll as the total payroll of employees that are provided pensions through the pension plan. Accordingly, if pensionable earnings are different than total earnings for covered-employees, the employer should display in the disclosure footnotes the payroll based on total earnings for the covered group and recalculate the required payroll-related ratios.

Notes to Schedule

Change in Benefit Terms: The figures above do not include any liability impact that may have resulted from plan changes which occurred after June 30, 2013 as they have minimal cost impact. This applies for voluntary benefit changes as well as any offers of Two Years Additional Service Credit (a.k.a Golden Handshakes).

Changes of Assumptions: There were no changes in assumptions.

Southwestern Community College District
Required Supplementary Information (Unaudited)(Continued)
For the Year Ended June 30, 2015

Note 3 - Schedule of Funding Progress

Other Post Employment Benefits (OPEB)

A schedule of funding progress for the year ended June 30, 2015 including the actuarial valuations is presented below.

Actuarial Valuation Date	Actuarial Asset Value	Entry Age Actuarial Accrued Liabilities	Unfunded Actuarial Accrued Liabilities	Funded Ratio	Estimated Covered Payroll	Actuarial Liabilities as Percentage of Liabilities as Covered Payroll
2/1/2014	\$ 2,156,350	\$ 11,884,471	\$ 9,728,121	18.14%	\$ 45,861,000	21.21%

SUPPLEMENTARY INFORMATION

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances
June 30, 2015

	General Fund - Unrestricted	General Fund - Restricted	Prop AA Bond Fund	Prop R Bond Fund	Student Center
ASSETS					
Current assets:					
Cash and investments	\$ 16,667,499	\$ 4,780,202	\$ -	\$ -	\$ 374,433
Accounts receivable	2,015,649	2,357,870	-	89,353	94
Inventories	95,861	-	-	-	-
Prepaid items	58,899	-	-	-	-
Due from other funds	496,501	209,032	-	2	1,449
Restricted cash and investments	-	-	-	75,426,852	-
Total current assets	19,334,409	7,347,104	-	75,516,207	375,976
Noncurrent assets:					
Capital assets, net	-	-	-	-	-
Total noncurrent assets	-	-	-	-	-
Total assets	\$ 19,334,409	\$ 7,347,104	\$ -	\$ 75,516,207	\$ 375,976
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	3,518,375	780,892	-	1,861,511	-
Payroll and related liabilities	2,671,516	-	-	-	-
Compensated absences	3,182,791	-	-	-	-
Unearned revenue	863,363	4,584,965	-	-	-
Due to other funds	693,369	209,032	-	12,928	-
Deposits payable	-	-	-	-	-
Total liabilities	10,929,414	5,574,889	-	1,874,439	-
Fund Balances	8,404,995	1,772,215	-	73,641,768	375,976
Total liabilities and fund balances	\$ 19,334,409	\$ 7,347,104	\$ -	\$ 75,516,207	\$ 375,976

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2015

	Capital Outlay	Bookstore	Cafeteria	ASO Student Clubs	Federal Financial Aid
ASSETS					
Current assets:					
Cash and investments	\$ 3,634,200	\$ 942,403	\$ 395,218	\$ 866,838	\$ 118,281
Accounts receivable	3,585	480,247	16,689	11,885	545
Inventories	-	826,259	163,926	-	-
Prepaid items	-	-	-	-	-
Due from other funds	463,650	10,186	9,481	-	-
Restricted cash and investments	-	-	-	-	-
Total current assets	4,101,435	2,259,095	585,314	878,723	118,826
Noncurrent assets:					
Capital assets, net	-	13,900	46,108	43,983	-
Total noncurrent assets	-	13,900	46,108	43,983	-
Total assets	\$ 4,101,435	\$ 2,272,995	\$ 631,422	\$ 922,706	\$ 118,826
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable and accrued liabilities	867,729	224,829	10,035	224	9
Payroll and related liabilities	-	-	-	-	-
Compensated absences	-	-	-	-	-
Unearned revenue	15,108	2,106	11,779	19,390	-
Due to other funds	-	57,637	409,620	16,315	-
Deposits payable	-	-	-	83,821	-
Total liabilities	882,837	284,572	431,434	119,750	9
Fund Balances	3,218,598	1,988,423	199,988	802,956	118,817
Total liabilities and fund balances	\$ 4,101,435	\$ 2,272,995	\$ 631,422	\$ 922,706	\$ 118,826

Southwestern Community College District
Combining Schedule of Assets, Liabilities, and Fund Balances (Continued)
June 30, 2015

	Student Service Trust Funds	Bond Interest and Redemption Fund	Self Insurance	Total
ASSETS				
Current assets:				
Cash and investments	\$ 955,458	\$ -	\$ 475,158	\$ 29,209,690
Accounts receivable	7,535	-	465	4,983,917
Inventories	-	-	-	1,086,046
Prepaid items	-	-	-	58,899
Due from other funds	24,231	-	184,369	1,398,901
Restricted cash and investments	-	15,075,536	-	90,502,388
Total current assets	987,224	15,075,536	659,992	127,239,841
Noncurrent assets:				
Capital assets, net	-	-	-	103,991
Total noncurrent assets	-	-	-	103,991
Total assets	\$ 987,224	\$ 15,075,536	\$ 659,992	\$ 127,343,832
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable and accrued liabilities	983,252	-	-	\$ 8,246,856
Payroll and related liabilities	-	-	-	2,671,516
Compensated absences	-	-	-	3,182,791
Unearned revenue	-	-	-	5,496,711
Due to other funds	-	-	-	1,398,901
Deposits payable	-	-	-	83,821
Total liabilities	983,252	-	-	21,080,596
Fund Balances	3,972	15,075,536	659,992	106,263,236
Total liabilities and fund balances	\$ 987,224	\$ 15,075,536	\$ 659,992	\$ 127,343,832

Southwestern Community College District
Reconciliation of Combining Schedule of Assets, Liabilities, and Fund Balances
to Government-Wide Statement of Net Position
June 30, 2015

Total Fund Balances reported in the Combining Balance Sheet	\$ 106,263,236
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Amounts reported in the Statement of Net Position are differently because:

Capital assets used in governmental activities are not financial resources and therefore are not reported in governmental funds.

Government-Wide capital assets	200,626,322
Less enterprise funds capital assets	(60,008)
	200,566,314

Long-term liabilities are not due and payable in the current period and therefore are not reported in the governmental funds.

Net OPEB liability	(3,717,552)
Net pension liability	(70,578,361)
Bonds payable - due within one year	(5,865,000)
Bonds payable - due in more than one year	(223,018,800)
	(303,179,713)

Deferred amounts on bond refunding do not require current financial resources. Therefore, they are not reported in the governmental funds.

(1,823,682)

Pension contributions made during the year after the measurement date are reported as expenditures in governmental funds and as deferred outflow of resources in the government-wide financial statements.

6,363,495

Difference between employer actual contribution and employer's proportionate share of contribution

Deferred adjustments due negative differences in actual contributions and employer's proportionate share of contributions	40,428
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Difference between projected and actual earnings on pension plan investments are reported in the government-wide statements.

Actual earnings over projected earnings	(19,699,829)
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Interest payable on long-term debt did not require current financial resources. Therefore, interest payable was not reported in the governmental funds.

(5,285,568)

Student activities are fiduciary activities and therefore are not reported in the Government-Wide Statement of Net Position.

Associated Student Trust	(802,956)
Academic Affairs	(3,972)
	(806,928)

Net Position	\$ (17,562,247)
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Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position
For the Year Ended June 30, 2015

	General Fund - Unrestricted	General Fund - Restricted	Prop AA Bond Fund	Prop R Bond Fund	Student Center
OPERATING REVENUES:					
Tuition and fees	\$ 5,390,938	\$ 1,459,576	\$ -	\$ -	\$ 152,297
Federal grant, non-capital	220,333	3,104,101	-	-	-
State grant, non-capital	-	-	-	-	-
Local grant, non-capital	473,469	746,381	-	-	-
Auxiliary enterprise sales and charges	-	-	-	-	-
Other operating revenues	-	-	-	-	-
Total operating revenues	6,084,740	5,310,058	-	-	152,297
OPERATING EXPENDITURES/EXPENSES:					
Salaries	61,927,536	9,329,935	-	84,789	-
Employee benefits	14,520,497	1,934,082	-	20,377	-
Payments to students	148,974	802,190	-	-	-
Supplies, materials, and other expenses	8,482,821	3,994,210	451	30,790,699	43,819
Utilities	2,326,403	37,179	-	-	-
Depreciation	-	-	-	-	-
Total operating expenditures/expenses	87,406,231	16,097,596	451	30,895,865	43,819
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(81,321,491)	(10,787,538)	(451)	(30,895,865)	108,478
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	-
State apportionments, non-capital	60,270,316	9,345,254	-	-	-
Local property taxes, non-capital	20,044,793	-	-	-	-
Investment income	88,206	-	-	347,596	474
Other non-operating revenue(expense)	627,096	777,379	-	160,000	-
Debt service:					
Proceeds from bond issuance	-	-	-	-	-
Premium on bond issuance	-	-	-	-	-
Deposit to escrow	-	-	-	-	-
Costs of bond issuance	-	-	-	-	-
Principal payment	-	-	-	-	(90,000)
Interest and fiscal charges	-	-	-	-	-
Total non-operating expenditures/expenses	81,030,411	10,122,633	-	507,596	(89,526)
INCOME(LOSS) BEFORE TRANSFERS	(291,080)	(664,905)	(451)	(30,388,269)	18,952
TRANSFERS:					
Transfers in	-	664,907	-	-	-
Transfers out	(764,907)	-	-	-	-
Transfers	(764,907)	664,907	-	-	-
Changes in fund balance/net position	(1,055,987)	2	(451)	(30,388,269)	18,952
FUND EQUITY/NET POSITION:					
Beginning of year	9,460,982	1,772,213	451	104,030,037	357,024
End of year	<u>\$ 8,404,995</u>	<u>\$ 1,772,215</u>	<u>\$ -</u>	<u>\$ 73,641,768</u>	<u>\$ 375,976</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2015

	Capital Outlay	Bookstore	Cafeteria	ASO Student Clubs	Federal Financial Aid
OPERATING REVENUES:					
Tuition and fees	\$ -	\$ -	\$ -	\$ 289,151	\$ -
Federal grant, non-capital	-	-	-	-	1,854,032
State grant, non-capital	-	-	-	-	2,368,259
Local grant, non-capital	-	-	-	-	-
Auxiliary enterprise sales and charges	-	3,133,808	1,752,074	-	-
Other operating revenues	-	-	-	3,009	-
Total operating revenues	-	3,133,808	1,752,074	292,160	4,222,291
OPERATING EXPENDITURES/EXPENSES:					
Salaries	-	506,426	722,125	90,007	-
Employee benefits	-	121,084	198,092	1,754	-
Payments to students	-	-	-	52,000	29,804,501
Supplies, materials, and other expenses	1,816,035	2,439,116	1,035,764	222,709	-
Utilities	-	3,348	1,080	2,952	-
Depreciation	-	10,937	12,166	-	-
Total operating expenditures/expenses	1,816,035	3,080,911	1,969,227	369,422	29,804,501
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(1,816,035)	52,897	(217,153)	(77,262)	(25,582,210)
NONOPERATING REVENUE(EXPENSES):					
Federal grant, non-capital	-	-	-	-	25,627,461
State apportionments, non-capital	-	-	-	-	-
Local property taxes, non-capital	-	-	-	-	-
Investment income	12,882	176	-	-	19
Other non-operating revenue(expense)	1,826,204	34,132	-	59,251	-
Debt service:					
Proceeds from bond issuance	-	-	-	-	-
Premium on bond issuance	-	-	-	-	-
Deposit to escrow	-	-	-	-	-
Costs of bond issuance	-	-	-	-	-
Principal payment	-	-	-	-	-
Interest and fiscal charges	-	-	-	-	-
Total non-operating expenditures/expenses	1,839,086	34,308	-	59,251	25,627,480
INCOME(LOSS) BEFORE TRANSFERS	23,051	87,205	(217,153)	(18,011)	45,270
TRANSFERS:					
Transfers in	100,000	-	-	-	-
Transfers out	-	-	-	-	-
Transfers	100,000	-	-	-	-
Changes in fund balance/net position	123,051	87,205	(217,153)	(18,011)	45,270
FUND EQUITY/NET POSITION:					
Beginning of year	3,095,547	1,901,218	417,141	820,967	73,547
End of year	<u>\$ 3,218,598</u>	<u>\$ 1,988,423</u>	<u>\$ 199,988</u>	<u>\$ 802,956</u>	<u>\$ 118,817</u>

Southwestern Community College District
Combining Schedule of Revenues, Expenditures/Expenses
and Changes in Fund Equity/Net Position (Continued)
For the Year Ended June 30, 2015

	Student Service Trust Funds	Bond Interest and Redemption Fund	Self Insurance	Total
OPERATING REVENUES:				
Tuition and fees	\$ -	\$ -	\$ -	\$ 7,291,962
Federal grant, non-capital	-	-	-	5,178,466
State grant, non-capital	-	-	-	2,368,259
Local grant, non-capital	-	-	-	1,219,850
Auxiliary enterprise sales and charges	-	-	-	4,885,882
Other operating revenues	-	-	-	3,009
Total operating revenues	-	-	-	20,947,428
OPERATING EXPENDITURES/EXPENSES:				
Salaries	-	-	-	72,660,818
Employee benefits	-	-	-	16,795,886
Payments to students	-	-	-	30,807,665
Supplies, materials, and other expenses	13,288	-	-	48,838,912
Utilities	-	-	-	2,370,962
Depreciation	-	-	-	23,103
Total operating expenditures/expenses	13,288	-	-	171,497,346
OPERATING REVENUES OVER (UNDER) EXPENDITURES/EXPENSES	(13,288)	-	-	(150,549,918)
NONOPERATING REVENUE(EXPENSES):				
Federal grant, non-capital	-	-	-	25,627,461
State apportionments, non-capital	-	-	-	69,615,570
Local property taxes, non-capital	-	17,195,226	-	37,240,019
Investment income	19,110	38,528	1,913	508,904
Other non-operating revenue(expense)	-	2,104,955	184,369	5,773,386
Debt service:				
Proceeds from bond issuance	-	27,045,000	-	27,045,000
Premium on bond issuance	-	4,030,391	-	4,030,391
Deposit to escrow	-	(30,784,263)	-	(30,784,263)
Costs of bond issuance	-	(291,128)	-	(291,128)
Principal payment	-	(6,115,000)	-	(6,205,000)
Interest and fiscal charges	-	(12,215,896)	-	(12,215,896)
Total non-operating expenditures/expenses	19,110	1,007,813	186,282	120,344,444
INCOME(LOSS) BEFORE TRANSFERS	5,822	1,007,813	186,282	(30,205,474)
TRANSFERS:				
Transfers in	-	-	-	764,907
Transfers out	-	-	-	(764,907)
Transfers	-	-	-	-
Changes in fund balance/net position	5,822	1,007,813	186,282	(30,205,474)
FUND EQUITY/NET POSITION:				
Beginning of year	(1,850)	14,067,723	473,710	136,468,710
End of year	<u>\$ 3,972</u>	<u>\$ 15,075,536</u>	<u>\$ 659,992</u>	<u>\$ 106,263,236</u>

Southwestern Community College District
Reconciliation of Combining Schedule of Revenues, Expenditures/Expenses and Changes in
Fund Equity to Government-Wide Statement of Activities and Changes in Net Position
For the Year Ended June 30, 2015

Revenues and other financing sources over (under) expenditures/expenses and other financing uses \$ (30,205,474)

Amounts reported in the Statement of Activities were different because:

Capital outlay expenditures reported in the governmental funds that were not capitalized on the Government-Wide Statement of Net Position were reclassified as Supplies, Materials, and Other Expenses. 31,559,638

Disposal of capital assets provided current financial resources to governmental funds, but disposal of capital assets decreased capital assets in the Government-Wide Statement of Net Position. (17,627)

Depreciation expense on capital assets was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, depreciation was not reported as an expenditure in governmental funds (net of \$23,103 in funds). (6,268,921)

Interest expense on long-term debt was reported in the Government-Wide Statement of Activities and Changes in Net Position, but it did not require the use of current financial resources. Therefore, interest was not reported as an expenditure in governmental funds. (125,537)

Repayment of long-term liabilities was an expenditure in governmental funds, but the repayment reduced long-term liabilities in the Government-Wide Statement of Net Position:

Lease revenue bonds	90,000
General Obligation bonds	<u>6,115,000</u>
Total repayment of long-term liabilities	<u>6,205,000</u>

The issuance of long-term debt provides current financial resources to governmental funds while the repayment of the principal of long-term debt consumes current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of bond premiums and discounts when the debt is first issued, whereas these amounts are deferred and amortized in the Statement of Activities. These differences are as follows:

Proceeds from bond issuance	(27,045,000)
Premium on bond issuance	(4,030,391)
Deposit of bond issuance proceeds to escrow for bond defeasance	<u>30,784,263</u>
	(291,128)

Amortization expense on unamortized bond premiums is reported in the Government-Wide Statement of Activities and Changes in Net Position, but does not require the use of current financial resources. Therefore, amortization is not reported as an expenditure in governmental funds. (780,428)

Changes in the net pension liability reported in the Statement of Activities did not require the use of current financial resources and, therefore, was not reported as an expenditure in the governmental funds. 200,203

Net OPEB liability is reported in the Government-Wide Statement of Activities and Changes in Net Position, but it does not require the use of current financial resources. Therefore, the change in the OPEB liability is not reported as an expenditure in governmental funds. (1,066,867)

Student activities are fiduciary activities and therefore are not reported in the government-wide statement of activities.

Associated Student Trust	18,011
Academic Affairs	<u>(5,822)</u>
Total fiduciary activities	<u>12,189</u>

Change in Net Position \$ 781,904

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SINGLE AUDIT

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**REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND
OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the basic financial statements of the Southwestern Community College District (the "District") as of and for the year ended June 30, 2015, and the related notes to the financial statements, and have issued our report thereon dated December 31, 2015.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or, significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the determination of basic financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly we do not express such an opinion. The results of our tests disclosed no instance of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California
Page 2

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Rick E. Mc Geady LLP

San Diego, California
December 31, 2015



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REPORT ON COMPLIANCE WITH REQUIREMENTS THAT COULD HAVE A DIRECT AND MATERIAL EFFECT ON EACH MAJOR PROGRAM AND ON INTERNAL CONTROL OVER COMPLIANCE IN ACCORDANCE WITH OMB CIRCULAR A-133

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

Report on Compliance for Each Major Federal Program

We have audited the Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2015. The District's major federal programs are identified in the Summary of Auditor's Results section of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District, complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2015.

Report on Internal Control over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Report on Schedule of Expenditures of Federal Awards Required by OMB Circular A-133

We have audited the financial statements of the District as of and for the year ended June 30, 2015, and the related notes to the financial statements. We issued our report thereon dated December 31, 2015 which contained unmodified opinion on those financial statements. Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the basic financial statements. The accompanying schedule of expenditures of federal awards is presented for purposes of additional analysis as required by OMB Circular A-133 and is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards is fairly stated in all material respects in relation to the basic financial statements as a whole.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "PwC & Mc Geady LLP". The signature is written in a cursive, stylized font.

San Diego, California
December 31, 2015

Southwestern Community College District
Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2015

Federal Agency	Grant Name/Program Name	CFDA No.	Agency or Pass-Through No.	Expenditure
<u>U.S. Department of Education:</u>				
	Direct Programs:			
	Financial Aid Cluster:			
	PELL	84.063	P063P101184	\$ 25,627,461
	SEOG	84.007	P0078100617	371,375
	Direct Loans	84.268	P268K111184	1,434,786
	Federal Work Study	84.033	P033A100617	346,257
	Sub-total Financial Aid Cluster			27,779,879
	Child Care Access Means Parents in School (CCAMPIS)	84.335	P335A100052	30,979
	Career and Technical Education - National Programs	84.051	11-C01-063	812,734
	Tech Prep, now CTE Transitions	84.051	11-112-090	42,535
	Sub-total 84.051			855,269
	Total U.S. Department of Education			28,666,127
<u>U.S. Department of Rehabilitation:</u>				
	Passed through State of California Department of Rehabilitation:			
	State Vocational Rehabilitation Program	84.126A	29018/SCPRS 1324967	112,500
	Total U.S. Department of Rehabilitation			112,500
<u>U.S. Department of Defense:</u>				
	Direct Programs:			
	Procurement Technical Assistance	12.002	SP4800-11-2-1149	327,741
	Total U.S. Department of Defense			327,741
<u>U.S. Department of Housing and Urban Development:</u>				
	Passed through City of Calexico:			
	Small Business Micro-Enterprise	14.218	AR4085.14	96,378
	Total U.S. Department of Housing and Urban Development			96,378
<u>National Science Foundation:</u>				
	Direct Programs:			
	Intergovernmental Personnel Act	47.076	DUE 1251291-001	171,905
	Passed through Kentucky Community & Technical College System:			
	GeoTech Center: Innovation in Geospatial Information	47.076	DUE-1304591	55,569
	Total National Science Foundation			227,474
<u>Small Business Administration:</u>				
	Direct Programs:			
	2014 U.S. SBA Grant	59.037	SBAHQ-12-B-0075(2-6303001-Z-0064)	860,246
	Small Business Jobs Act Program	59.037	SBAHQ-12-B-0067	123,105
	Total Small Business Administration			983,351
<u>U.S. Department of Veterans Affairs</u>				
	Direct Programs:			
	Post-9/11 Veterans Educational Assistance	64.027	38 USC 3684	15,432
	Total U.S. Department of Veterans Affairs			15,432
<u>U.S. Department of Health & Human Services:</u>				
	Direct Programs:			
	Predictive Structure-Based Models of Malaria Resistance	93.859	5SC3GM100791-02	90,557
	Passed through San Diego State University Research Foundation:			
	SDSU Bridges to Baccalaureate Program	93.859	55127H P1598 7804 212	3,730
	Total U.S. Department of Health & Human Services			94,287
<u>U.S. Department of Homeland Security:</u>				
	Passed through the U.S. Customs and Border Protection Agency:			
	Paramedic Refresher Training Course	97.UNK	AR3586.12	6,532
	Total U.S. Department of Veterans Affairs			6,532
	Total expenditures of federal awards			\$ 30,529,822

See Notes to Schedule of Expenditures of Federal Awards

Southwestern Community College District
Notes to the Schedule of Expenditures of Federal Awards
For the Year Ended June 30, 2015

Note 1 – Reporting Entity

The financial reporting entity consists of the primary government, Southwestern Community College District (District), (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the primary government is not accountable, but for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete.

Note 2 – Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the federal grant activity of the District and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the United States Office of Management and Budget Circular A-133, *Audits of State, Local Governments, and Non-Profit Organizations*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the basic financial statements.

Consistent with management's policy, federal, state and local awards are recorded in various revenue categories. As a result, the amount of total awards expended on the Schedule does not agree to total grant and contract revenues on the Statement of Revenues, Expenditures and Changes in Net Position.

Southwestern Community College District
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2015

Section I – Summary of Audit Results

Financial Statements

Types of auditors' report issued:	Unmodified
Internal control over financial reporting:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Non-compliance material to the financial statements identified?	No

Federal Awards

Internal control over major programs:	
• Material weakness(es) identified?	No
• Significant deficiency(ies) identified?	None Reported
Type of auditor's report issued on compliance for major programs	Unmodified
Any audit findings disclosed that are required to be reported in Accordance with section 510(a) of OMB Circular A-133	No
Identification of major programs:	

<u>Major Program</u>	<u>CFDA</u>	<u>Expenditures</u>
Financial Aid Cluster:		
PELL	84.063	\$ 25,627,461
SEOG	84.007	371,375
Federal Direct Student Loans	84.268	1,434,786
Federal Work Study	84.033	346,257
	Total financial aid cluster	<u>27,779,879</u>
	Total Major Program Expenditures	<u>\$ 27,779,879</u>
	Total Expenditures of Federal Awards	<u>\$ 30,529,822</u>
	Percent of Total Expenditures of Federal Awards	<u>90.99%</u>

Dollar threshold used to distinguish between type A and type B programs	\$915,895
Auditee qualified as low-risk auditee under section 530 of OMB Circular A-133?	Yes

**Southwestern Community College District
Schedule of Findings and Questioned Costs (Continued)
For the Year Ended June 30, 2015**

Section II – Financial Statement Findings

No financial statements findings were noted.

Section III- Federal Awards Findings

A. Current Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2015.

B. Prior Year Findings and Questioned Costs – Major Federal Award Program Audit

No findings or questioned costs were noted on the District's major programs for the year ended June 30, 2014.

STATE COMPLIANCE

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REPORT ON STATE COMPLIANCE REQUIREMENTS

Independent Auditors' Report

To the Board of Trustees
of the Southwestern Community College District
Chula Vista, California

We have audited Southwestern Community College District's (the "District") compliance with the types of compliance requirements described in the California Community Colleges Contracted District Audit Manual (the "CDAM") 2014-2015, issued by the California Community Colleges Chancellor's Office for the year ended June 30, 2015.

Management's Responsibility

Management is responsible for the District's compliance with those requirements. Our responsibility is to express an opinion on the District's compliance based on our audit.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance based on our audit of the types of compliance referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the California Community Colleges Contracted Audit Manual (CDAM) 2014-2015, issued by the California Community Colleges Chancellor's Office. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide legal determination on the District's compliance with the state laws and regulations referred to above.

In connection with our audit referred to above, we selected and tested transactions and records to determine the District's compliance with the following state laws and regulations in accordance with Section 400 of the Chancellor's Office's California Community College Contracted District Audit Manual (CDAM).

421 – Salaries of Classroom Instructors (Fifty Percent Law)

The District's salaries of classroom instructors equaled or exceeded fifty percent of the District's current expense of education (CEE) in accordance with §84362 of the Education Code.

423 – Apportionment for Instructional Service Agreements/Contracts

The District did not claim apportionment for classes given through instructional service agreements, except as allowed by the California Community Colleges Chancellor's Office and the California Department of Finance.

424 – State General Apportionment Required Data Elements

The District maintains a separate and complete tabulation for each course section reported on the Apportionment Attendance Report Form CCFS-320.

425 – Residency Determination for Credit Courses

The District claimed only the attendance of California residents for state support of credit courses.

426 – Students Actively Enrolled

The District claimed only the attendance of students actively enrolled in a course section as of the census date for apportionment.

427 – Concurrent Enrollment of K-12 Students in Community College Credit Courses

The District claimed full-time equivalent students for K-12 students in accordance with Education Code §48800–48802, §76000–76002, and §84752 and California Code of Regulations, Title 5, §51004, §51006, §51021, §53410, §55002, §55100, §58100–58108, §58050, §58051(a) (1), §58051.5, §58052, §58056(a), §58058, §58060, and §59300 et seq.

430 – Scheduled Maintenance Program

The District used funds provided by the State to supplement, not supplant, District deferred maintenance funds, defined as the amount spent in fiscal year 1995-1996 for Operation and Maintenance of Plant increased by an amount equal to the State's contribution and the District's match for the Scheduled Maintenance Program for the year ended June 30, 2014.

431 – GANN Limit Calculation

The District met the requirements of the GANN Amendment which establishes maximum appropriation limits for public agencies in accordance with Article XIII-B, §1.5, of the California Constitution.

435 – Open Enrollment

The District complied with the Title 5 provisions of the California Code of Regulations related to open enrollment by the general public for all courses being submitted for state apportionment funding.

438 – Student Fees - Health Fees and Use of Health Fee Funds

The District charges mandatory fees based on express statutory authority in accordance with §70902 and §76365 of the Education Code and California Code of Regulations, Title 5, §51012 and §54700-54710. During the year 2014-2015, no non-mandatory fees were charged.

439 – Prop 39 Clean Energy

The District complied with Public Resources Code §26225-26240, Education Code 84040, Approved CCC Prop 39 Energy Project Guidelines and the Project Funding Application, as well as Public Contract Code §20133 for Prop 39 Clean Energy-funded projects for the year ended June 30, 2015.

440 – Intersession Extension Programs

The District did not have an intersession program in place during fiscal year 2014-2015, therefore, this compliance requirement is not applicable.

474 – Extended Opportunity Programs and Services (EOPS)/Cooperative Agencies Resources for Education/CARE

The District expended Extended Opportunity Programs and Services (EOPS) and CARE funds to provide services that are specifically designed to supplement the college's existing support programs and to help EOPS eligible and eligible academically under-prepared, welfare-dependent, single head-of-household students complete their educational goals.

475 – Disabled Student Programs and Services (DSPS)

The District served eligible DSPS student and submitted accurate student-count data for fiscal year 2014-2015 to document eligible DSPS students served.

479 – To Be Arranged Hours (TBA)

The District listed TBA hours in the schedule of classes and described them in the course outline and tracked TBA hour student participation carefully and did not claim apportionment for TBA hours for students that had documented zero hours as of the census point for the particular course.

490 – Proposition 1D State Bond Funded Projects

The District did not have any Proposition 1D State Bond funded projects for fiscal year 2014-2015.

491 – Education Protection Account

The District properly disbursed and expended funds provided by the Education Protection Account as required by the *Schools and Local Public Safety Protection Act of 2012*.

Opinion

In our opinion, the District complied, in all material respects, with the state laws and regulations referred to above for the year ended June 30, 2015.

Purpose of this Report

The purpose of this report on compliance is solely to describe the scope of our testing of compliance and the results of that testing based on the state laws and regulations referred to above. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Paul J. McGeady LLP". The signature is written in a cursive, flowing style.

San Diego, California
December 31, 2015

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OTHER SUPPLEMENTARY INFORMATION

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Southwestern Community College District
Other Supplementary Information
Purpose of Schedules
For the Year Ended June 30, 2015

PURPOSE OF SCHEDULES

Schedule of Workload Measures for Program-Based Funding

Full-time Equivalent Students (FTES) is a measurement of the number of pupils attending classes of the District on a full-time basis. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to community college districts. This schedule provides information regarding the attendance of students throughout the District.

Reconciliation of Annual Financial and Budget Report (CCFS-311) with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the audited financial statements.

Reconciliation of the 50% Calculation with District Accounting Records

This schedule provides the information necessary to reconcile the numbers used in the District's 50% Law calculation reported on the form CCFS-311 to the District's accounting records.

Reconciliation of the Education Protection Account Expenditures with District Accounting Records

This schedule provides the information necessary to reconcile the expenditures of Education Protection Account funds reported on the Form CCFS-311 to the District's accounting records.

Schedule of Expenditures of State Awards

This schedule provides information about the types and amounts of State funding the District spent during the fiscal year.

Southwestern Community College District
Schedule of Workload Measures for State General Apportionment
and Annual Actual Attendance
For the Year Ended June 30, 2015

	Reported Data	Audit Adjustments	Revised Data
A. Summer Intersession (Summer 2014 only)			
1. Noncredit	8.95	-	8.95
2. Credit	319.15	-	319.15
B. Summer Intersession (Summer 2015 - Prior to July 1, 2015)			
1. Noncredit	3.55	-	3.55
2. Credit	1,253.57	-	1,253.57
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedure Courses			
(a) Weekly Census Contact Hours	9,480.72	-	9,480.72
(b) Daily Census Contact Hours	1,274.41	-	1,274.41
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	243.76	-	243.76
(b) Credit	493.51	-	493.51
3. Independent Study/Work Experience			
(a) Weekly Census Contact Hours	1,095.25	-	1,095.25
(b) Daily Census Contact Hours	1,237.02	-	1,237.02
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	15,409.89	-	15,409.89

Supplemental Information (subset of above information)

E. In-Service Training Courses (FTES)	-	-	-
H. Basic Skills courses and Immigrant Education			
(a) Noncredit	-	-	-
(b) Credit	1,960.98	-	1,960.98

CCFS-320 Addendum

CDCP Noncredit FTES	-	-	-
Centers FTES			
(a) Noncredit	-	-	-
(b) Credit	-	-	-

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements
For the Year Ended June 30, 2015

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	General Fund Unrestricted	General Fund Restricted	Prop AA Fund	Prop R Fund	Student Center	Capital Outlay
Fund balance per the CCFS-311 at June 30, 2015	\$ 8,404,995	\$ 1,772,214	\$ -	\$ 73,641,766	\$ 375,975	\$ 3,218,598
Audit adjustments	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	-	1	-	2	1	-
Net adjustments and reclassifications	-	1	-	2	1	-
Fund balance per the audited fund financial statements at June 30, 2015	\$ 8,404,995	\$ 1,772,215	\$ -	\$ 73,641,768	\$ 375,976	\$ 3,218,598

Southwestern Community College District
Reconciliation of Annual Financial and Budget Report (CCFS-311)
with Audited Financial Statements (Continued)
For the Year Ended June 30, 2015

These fund financial statement balances are prior to various eliminations and reclassifications necessary to convert to the presentation of the financial statements as identified in the accompanying table of contents.

	Bookstore	Cafeteria	ASO Student Clubs	Federal Financial Aid	Student Service Trust Funds	Bond Interest and Redemption Fund	Self Insurance
Fund balance per the CCFS-311 at June 30, 2015	\$ 1,988,419	\$ 199,984	\$ 888,776	\$ 118,816	\$ 3,973	\$ 15,075,536	\$ 659,992
Audit adjustments	-	-	-	-	-	-	-
Miscellaneous adjustments and reclassifications	4	4	(85,820)	1	(1)	-	-
Net adjustments and reclassifications	4	4	(85,820)	1	(1)	-	-
Fund balance per the audited fund financial statements at June 30, 2015	\$ 1,988,423	\$ 199,988	\$ 802,956	\$ 118,817	\$ 3,972	\$ 15,075,536	\$ 659,992

Southwestern Community College District
Reconciliation of 50% Calculation with
District Accounting Records
For the Year Ended June 30, 2015

		Activity (ECSA) ECS 84362 A Instructional Salary Cost AC 0100-5900 & AC 6110			Activity (ECSB) ECS 84362 B Total CEE AC 0100-6799		
	Object /TOP Codes	Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Academic Salaries</u>							
Instructional Salaries:							
Contract or Regular	1100	\$ 16,793,542	\$ -	\$ 16,793,542	\$ 16,793,542	\$ -	\$ 16,793,542
Other	1300	15,351,656	-	15,351,656	15,375,263	-	15,375,263
Total Instructional Salaries		32,145,198	-	32,145,198	32,168,805	-	32,168,805
Non-Instructional Salaries:							
Contract or Regular	1200	-	-	-	7,715,578	-	7,715,578
Other	1400	-	-	-	621,076	-	621,076
Total Non-Instructional Salaries		-	-	-	8,336,654	-	8,336,654
Total Academic Salaries		32,145,198	-	32,145,198	40,505,459	-	40,505,459
<u>Classified Salaries</u>							
Non-Instructional Salaries:							
Regular Status	2100	-	-	-	15,181,966	-	15,181,966
Other	2300	-	-	-	1,218,816	-	1,218,816
Total Non-Instructional Salaries		-	-	-	16,400,782	-	16,400,782
Instructional Aides:							
Regular Status	2200	2,169,475	-	2,169,475	2,210,719	-	2,210,719
Other	2400	590,635	-	590,635	629,352	-	629,352
Total Instructional Aides		2,760,110	-	2,760,110	2,840,071	-	2,840,071
Total Classified Salaries		2,760,110	-	2,760,110	19,240,853	-	19,240,853
Employee Benefits	3000	7,461,780	-	7,461,780	13,942,140	-	13,942,140
Supplies and Materials	4000	-	-	-	1,424,660	-	1,424,660
Other Operating Expenses	5000	529,626	-	529,626	7,919,680	-	7,919,680
Equipment Replacement	6420	-	-	-	-	-	-
Total Expenditures Prior to Exclusions		\$ 42,896,714	\$ -	\$ 42,896,714	\$ 83,032,792	\$ -	\$ 83,032,792
<u>Exclusions</u>							
Activities to Exclude:							
Instructional Staff–Retirees’ Benefits and Retirement Services							
	5900	\$ 691,930	\$ -	\$ 691,930	\$ -	\$ -	\$ -
Student Health Services Above Amount Collected	6441	-	-	-	-	-	-
Student Transportation	6491	-	-	-	-	-	-
Noninstructional Staff-Retirees’ Benefits and Retirement Incentives							
	6740	-	-	-	1,163,924	-	1,163,924
Objects to Exclude:							
Rents and Leases	5060	-	-	-	37,213	-	37,213
Lottery Expenditures		-	-	-	-	-	-
Academic Salaries	1000	-	-	-	-	-	-
Classified Salaries	2000	-	-	-	-	-	-
Employee Benefits	3000	-	-	-	-	-	-
Supplies and Materials:							
Software	4100	-	-	-	-	-	-
Books, Magazines, & Periodicals	4200	-	-	-	-	-	-
Instructional Supplies & Materials	4300	-	-	-	-	-	-
Noninstructional, Supplies & Materials	4400	-	-	-	-	-	-
Total Supplies and Materials		-	-	-	-	-	-
Other Operating Expenses and Services	5000	-	-	-	2,024,480	-	2,024,480
Capital Outlay:							
Capital Outlay	6000	-	-	-	-	-	-
Library Books	6300	-	-	-	-	-	-
Equipment - Additional	6410	-	-	-	-	-	-
Equipment - Replacement	6420	-	-	-	-	-	-
Total Capital Outlay		-	-	-	-	-	-
Other Outgo	7000	-	-	-	-	-	-
Total Exclusions		\$ 691,930	\$ -	\$ 691,930	\$ 3,225,617	\$ -	\$ 3,225,617
Total for ECS 84362, 50% Law		\$ 42,204,784	\$ -	\$ 42,204,784	\$ 79,807,175	\$ -	\$ 79,807,175
Percent of CEE (Instructional Salary Cost / Total CEE)		52.88%	-	52.88%	100.00%	-	100.00%
50% of Current Expense of Education					\$ 39,903,588	-	\$ 39,903,588

Southwestern Community College District
Reconciliation of Education Protection Account Expenditures
with District Accounting Records
For the Year Ended June 30, 2015

Education Protection Account proceeds per the CCFS-311: \$ 14,558,809

	Activity Code (0100-5900)	Salaries & Benefits (1000-3000)	Operating Expenses (4000-5000)	Capital Outlay (6000)	Total
Instructional Activities	\$ -	\$ 14,558,809	\$ -	\$ -	\$ 14,558,809

Southwestern Community College District
Schedule of Expenditures of State Awards
For the Year Ended June 30, 2015

State Agency	Program Name	Cash Received	Accounts Receivable	Unearned Income	Total	Total Program Expenditures
<u>State Department of Education</u>						
Direct Programs:						
	Adult 86 - Adult Education	\$ 267,581	\$ 17,737	\$ -	\$ 285,318	\$ 267,581
	Total direct programs	267,581	17,737	-	285,318	267,581
Passed through California Community College Chancellor's Office:						
	Telecommunications	1,965	-	213	1,752	1,752
	Deputy Sector Navigator (DSN)	141,926	176,610	-	318,536	141,926
	Instructional Supplies and Materials	1,192,136	-	394,255	797,881	797,881
	Instructional Equipment and Library	837,485	519,405	716,471	640,419	121,014
	Center for International Trade Development	200,000	116,372	-	316,372	200,000
	Youth Entrepreneurship Program	203	-	66	137	137
	Total passed through California Community Colleges Chancellor's Office	2,373,715	812,387	1,111,005	2,075,097	1,262,710
	Total State Department of Education	2,641,296	830,124	1,111,005	2,360,415	1,530,291
<u>California Community Colleges Chancellor's Office:</u>						
I Direct Programs:						
	Basic Skills	606,239	-	309,189	297,050	297,050
	EOPS Category A	1,710,476	-	-	1,710,476	1,710,476
	EOPS CARE Support	112,665	-	-	112,665	112,665
	DSPS Programs and Services	1,750,284	-	-	1,750,284	1,750,284
	California Work Opportunity and Responsibility for Kids (CalWorks)	400,655	-	4,552	396,103	396,103
	Matriculation Assessment	2,376,698	-	285,490	2,091,208	2,091,208
	Matriculation Non-Credit	31,941	-	7,012	24,929	24,929
	Temporary Cash Assistance for Needy Families (TANF)	86,672	-	1,654	85,018	85,018
	Associate Degree Nursing Enrollment Growth	143,283	28,040	-	171,323	143,283
	BFAP Financial Aid Allowance	714,461	-	49,754	664,707	664,707
	Student Equity	930,064	-	655,427	274,637	274,637
	Title V - Puertas al Futuro	134,038	26,294	-	160,332	134,038
	Total direct programs	8,997,476	54,334	1,313,078	7,738,732	7,684,398
Passed through Rancho Santiago Community College District:						
	California State Trade and Export Program (CalSTEP)	-	-	-	-	-
	Total California Community Colleges Chancellor's Office	8,997,476	54,334	1,313,078	7,738,732	7,684,398
<u>California Governor's Office of Business and Economic Development:</u>						
Direct Programs:						
	Go-Biz	1,441	93,284	-	94,725	94,725
	Total California Department of Boating and Waterways	1,441	93,284	-	94,725	94,725
<u>California Department of Boating and Waterways:</u>						
Direct Programs:						
	Acquatic Center Grant	72,951	-	37,112	35,839	35,839
	Total California Department of Boating and Waterways	72,951	-	37,112	35,839	35,839
	Total State Programs	\$ 11,713,164	\$ 977,742	\$ 2,461,195	\$ 10,229,711	\$ 9,345,253

Southwestern Community College District
Budget Comparison Schedule - General Fund
For the Year Ended June 30, 2015

	General Fund - Unrestricted			General Fund-Restricted		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES:						
Federal	\$ 107,000	\$ 220,333	\$ 113,333	\$ 2,988,004	\$ 3,104,101	\$ 116,097
State	59,507,641	60,270,316	762,675	6,373,927	9,345,254	2,971,327
Local	26,487,720	26,624,502	136,782	3,794,553	2,983,336	(811,217)
Total revenues	86,102,361	87,115,151	1,012,790	13,156,484	15,432,691	2,276,207
EXPENDITURES:						
Salaries	60,244,651	61,927,536	(1,682,885)	7,978,620	9,329,935	(1,351,315)
Employee benefits	14,072,771	14,520,497	(447,726)	1,638,167	1,934,082	(295,915)
Payments to students	101,334	148,974	(47,640)	589,159	802,190	(213,031)
Supplies, materials, and other expenses	9,384,067	8,482,821	901,246	2,894,094	3,994,210	(1,100,116)
Utilities	2,472,836	2,326,403	146,433	56,444	37,179	19,265
Total expenditures	86,275,659	87,406,231	(1,130,572)	13,156,484	16,097,596	(2,941,112)
REVENUES OVER (UNDER) EXPENDITURES	(173,298)	(291,080)	(117,782)	-	(664,905)	(664,905)
OTHER FINANCING SOURCES (USES):						
Transfers in	-	-	-	-	664,907	664,907
Transfers out	-	(764,907)	(764,907)	-	-	-
Total other financing sources (uses)	-	(764,907)	(764,907)	-	664,907	664,907
CHANGES IN FUND BALANCES	\$ (173,298)	(1,055,987)	\$ (882,689)	\$ -	2	\$ 2
FUND BALANCES:						
Beginning of year		9,460,982			1,772,213	
End of year		<u>\$ 8,404,995</u>			<u>\$ 1,772,215</u>	

APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Southwestern Community College District (the “District”) in connection with the issuance of \$3,400,000 of the District’s 2016 General Obligation Refunding Bonds, Series A and \$84,335,000 of the District’s 2016 General Obligation Refunding Bonds, Series B (2019 Crossover) (together, the “Bonds”). The Bonds are being issued pursuant to Resolutions of the Governing Board of the District adopted on June 14, 2016 and July 12, 2016. The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolutions, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially KNN Public Finance, LLC, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Holders” shall mean registered owners of the Bonds.

“Listed Events” shall mean any of the events listed in Section 5(a) or 5(b) of this Disclosure Certificate.

“Official Statement” shall mean the Official Statement relating to the sale of the Bonds, dated as of August 17, 2016.

“Participating Underwriters” shall mean Morgan Stanley & Co. LLC and Piper Jaffray & Co., as the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Repository” shall mean, the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District’s fiscal year (presently ending June 30), commencing with the report for the 2015-16 Fiscal Year, provide to the Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(b).

(b) Not later than 30 days (nor more than 60 days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than 15 Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repository to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a notice to the Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent. The Dissemination Agent shall not be required to file a Notice to Repository of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided to the Repository.

SECTION 4. Content of Annual Reports. (a) The District’s Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District’s audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District’s audited financial statements):

- (i) State funding received by the District for the last completed fiscal year;
- (ii) FTES of the District for the last completed fiscal year;

- (iii) outstanding District indebtedness;
- (iv) summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting the adopted budget for the then-current fiscal year;
- (v) assessed valuation for real property located in the District for the then-current fiscal year; and
- (vi) secured *ad valorem* tax delinquencies within the District for the current year, to the extent that the County discontinues the Teeter Plan (as such term is defined in the Official Statement).

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to the Repository or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format accompanied by identifying information prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5(a), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

- 1. principal and interest payment delinquencies.
- 2. tender offers.
- 3. defeasances.
- 4. rating changes.
- 5. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).
- 6. unscheduled draws on the debt service reserves reflecting financial difficulties.
- 7. unscheduled draws on credit enhancement reflecting financial difficulties.
- 8. substitution of the credit or liquidity providers or their failure to perform.
- 9. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the District. For the purposes of the event identified in this Section 5(a)(9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in

possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5(b), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Holders.
3. optional, contingent or unscheduled bond calls.
4. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
5. release, substitution or sale of property securing repayment of the Bonds.
6. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
7. Appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a) or Section 5(b), as applicable.

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor

Dissemination Agent. The Dissemination Agent may resign upon 15 days written notice to the District. Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District. The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;
- (b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;
- (c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and
- (d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(b), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolutions, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriters, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys' fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

SECTION 13. Signature. This Disclosure Certificate has been executed by the undersigned on the date hereof, and such signature binds the District to the undertaking herein provided.

Date: September 7, 2016

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By _____
Vice President for Business and Financial Affairs

EXHIBIT A

NOTICE TO REPOSITORY OF FAILURE TO FILE ANNUAL REPORT

Name of District: SOUTHWESTERN COMMUNITY COLLEGE DISTRICT

Name of Bond Issue: 2016 General Obligation Refunding Bonds, Series A; and
2016 General Obligation Refunding Bonds, Series B (2019 Crossover)

Date of Issuance: September 7, 2016

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

SOUTHWESTERN COMMUNITY COLLEGE
DISTRICT

By _____ [form only; no signature required]

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APPENDIX D

GENERAL ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF CHULA VISTA AND SAN DIEGO COUNTY

The following information regarding economic activity within San Diego County (the “County”), in which a majority of the District is located, the San Diego County, and the City of Chula Vista are provided as background information only to describe the general economic health of the region. However, the Bonds are not an obligation of San Diego County or the City of Chula Vista. The Bonds will be payable from an ad valorem property tax levied on all taxable property within the District.

Introduction

San Diego County (the “County”) is the southernmost major metropolitan area in the State of California. The County covers 4,255 square miles, extending 70 miles along the Pacific Coast from the Mexican border to Orange County, and inland 75 miles to Imperial County. Riverside and Orange Counties form the northern boundary. The County is approximately the size of the State of Connecticut.

Topography of the County varies from broad coastal plains and fertile inland valleys to mountain ranges in the east which rise to an elevation of 6,500 feet. Eastern slopes of these mountains form the rim of the Anza-Borrego Desert and the Imperial Valley. The Cleveland National Forest occupies much of the interior portion of the county. The climate is equable in the coastal and valley regions where most of the population and resources are located. Average annual rainfall in the coastal areas is approximately 10 inches.

The County possesses a diverse economic base consisting of a significant manufacturing presence in the fields of electronics and shipbuilding, a large tourist industry attracted by the favorable climate of the region, emerging biotech and software development industries and a considerable defense-related presence which contributes approximately \$10 billion into the retail and service businesses of the area.

The County is also growing as a center for culture and education. Over 30 recognized art organizations including the San Diego Opera, the Old Globe Theater productions, the La Jolla Chamber Orchestra, as well as museums and art galleries, are located in the County. There are five two-year community college districts in the County of which San Diego Community College District is one.

The San Diego Convention Center contains 361,000 square feet of exhibit space and over 100,000 square feet of meeting/banquet rooms. The Convention Center can accommodate events for 30,000 to 40,000 people.

In addition to the City of San Diego, other principal cities in the County include Carlsbad, Chula Vista, Oceanside, El Cajon, Escondido, La Mesa, National City and Santee. Most County residents live within 20 miles of the coast. Farther inland are agricultural areas, principally planted in avocados and tomatoes, while the easternmost portion of the County has both fertile high desert and a dry, desert-like topography.

The City of Chula Vista (the “City”) is located on San Diego Bay, 8 miles south of the City of San Diego and 7 miles north of the Mexico border, in an area generally known as “South Bay.” The City’s limits cover approximately 50 square miles. Neighboring communities include the City of San Diego and National City to the north and the City of Imperial Beach and the communities of San Ysidro and Otay Mesa to the south.

County Government

The County was incorporated on February 18, 1850 and functions under a charter adopted in 1933, as subsequently amended from time to time. The County is governed by a five-member Board of Supervisors elected to four-year terms in district nonpartisan elections. The Board of Supervisors appoints the Chief Administrative Officer and the County Counsel. Elected officials include the Assessor/County Clerk/Recorder, District Attorney, Sheriff and Treasurer/Tax Collector.

Population

The County has experienced rapid growth and development in the past decade. It has become the seventeenth most populous metropolitan area in the United States. The District's one campus is located in the City, which had the second biggest population of any city within the County in 2015.

The County's population in 2016 is estimated to be 3,288,612 persons. The County's 2016 population is approximately 9.7% greater than its 2007 population, representing an approximate average annual compound growth rate of over 0.9% over the prior ten years. The City's population grew by 14.5% during the same time period, representing an average annual compound growth rate of 1.4%.

A summary of the population estimates of the City, County and the State for the past 10 years is shown in the following table.

POPULATION ESTIMATES City of Chula Vista, San Diego County and State of California 2007 through 2016

<u>Year⁽¹⁾</u>	<u>City of Chula Vista</u>	<u>County of San Diego</u>	<u>State of California</u>
2007	231,597	2,998,477	36,399,676
2008	235,767	3,032,689	36,704,375
2009	239,369	3,064,436	36,966,713
2010 ⁽²⁾	243,916	3,095,313	37,253,956
2011	246,475	3,120,688	37,536,835
2012	250,864	3,153,951	37,881,357
2013	256,741	3,194,778	38,239,207
2014	260,765	3,230,278	38,567,459
2015	263,347	3,263,848	38,907,642
2016	265,070	3,288,612	39,255,883

⁽¹⁾ As of January 1.

⁽²⁾ As of April 1.

Source: State Department of Finance.

Personal Income

The following table summarizes eleven years of per capita personal income for the County, State of California and United States from 2005 through 2014.

PER CAPITA PERSONAL INCOME⁽¹⁾
San Diego County, State of California, and United States
2005-2014

<u>Year</u>	<u>San Diego County</u>	<u>California</u>	<u>United States</u>
2005	\$41,365	\$39,046	\$35,904
2006	43,457	41,693	38,144
2007	44,680	43,182	39,821
2008	45,886	43,786	41,082
2009	43,819	41,588	39,376
2010	44,563	42,411	40,277
2011	47,095	44,852	42,453
2012	48,990	47,614	44,266
2013	49,907	48,125	44,438
2014	51,459	49,985	46,049

⁽¹⁾ Per capita personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. All dollar estimates are in current dollars (not adjusted for inflation).

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Employment

With respect to the City, County, State and the United States, the following table summarizes the civilian labor force, employment and unemployment for the years 2011 through 2015:

CIVILIAN LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT City of Chula Vista, San Diego County and State of California 2011 through 2015

<u>Year</u>	<u>Area</u>	<u>Labor Force</u>	<u>Employment</u>	<u>Unemployment</u>	<u>Unemployment Rate</u>
2011	City of Chula Vista	118,400	103,200	15,200	12.8%
	San Diego County	1,524,600	1,367,200	157,300	10.3
	State of California	18,419,500	16,260,100	2,159,400	11.7
2012	City of Chula Vista	119,900	106,300	13,600	11.4%
	San Diego County	1,542,800	1,402,000	140,800	9.1
	State of California	18,554,800	16,630,100	1,924,700	10.4
2013	City of Chula Vista	120,500	108,700	11,800	9.8%
	San Diego County	1,547,000	1,425,900	121,100	7.8
	State of California	18,671,600	17,002,900	1,668,700	8.9
2014	City of Chula Vista	120,300	110,600	9,700	8.0%
	San Diego County	1,549,800	1,450,300	99,500	6.4
	State of California	18,811,400	17,397,100	1,414,300	7.5
2015	City of Chula Vista	121,000	113,100	7,900	6.5%
	San Diego County	1,563,800	1,482,500	81,300	5.2
	State of California	18,981,800	17,798,600	1,183,200	6.2

Note: Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department. March 2015 Benchmark.

Industry

The District is included in the San Diego-Carlsbad Metropolitan Statistical Area (the “MSA”). The distribution of employment in the MSA is presented in the following table for calendar years 2011 through 2015. These figures are multi county-wide statistics and may not necessarily accurately reflect employment trends within the communities served by the District.

INDUSTRY EMPLOYMENT & LABOR FORCE San Diego-Carlsbad Metropolitan Statistical Area 2011 through 2015⁽¹⁾

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
Total Farm	9,800	9,800	9,800	9,400	9,100
Mining, Logging and Construction	55,600	57,400	61,300	64,300	69,900
Manufacturing:	96,000	97,800	99,000	101,600	105,300
Wholesale Trade	41,500	43,500	43,900	43,700	44,000
Retail Trade	133,400	137,200	141,300	144,300	146,800
Transportation, Warehousing & Utilities	26,100	27,300	27,200	27,000	28,200
Information	24,200	24,500	24,300	24,400	23,900
Financial Activities	67,400	69,700	70,800	69,400	71,400
Professional & Business Services	207,700	213,900	221,600	224,900	230,900
Education & Health Services	167,900	174,500	181,000	186,000	193,200
Leisure & Hospitality	155,600	161,700	168,600	177,000	184,000
Other Services	47,700	49,200	49,300	52,000	53,000
Government	229,000	227,800	229,500	231,900	235,900
Total (all industries)	1,261,800	1,294,300	1,327,500	1,355,900	1,395,500

⁽¹⁾ Annual averages, unless otherwise specified.

Note: Items may not add to total due to independent rounding.

Source: California Employment Development Department, Labor Market Information Division. March 2015 Benchmark.

Largest Employers

The following tables list the largest employers located in the City and the County as of June 30, 2015.

LARGEST EMPLOYERS City of Chula Vista 2015

<u>Rank</u>	<u>Employer</u>	<u>Number of Employees</u>	<u>Description</u>
1.	Sweetwater Union High School District	4,121	Secondary education
2.	Chula Vista Elementary School District	3,135	Primary education
3.	Rohr Inc./Goodrich Aerospace	2,468	Aircraft component manufacturer
4.	Southwestern Community College	1,918	Higher education
5.	Sharp Chula Vista Medical Center	1,878	Health care and hospital
6.	Wal-Mart	1,239	Retail
7.	City of Chula Vista	1,178	City government
8.	Scripps Mercy Hospital Chula Vista	1,058	Health care and hospital
9.	Costco	597	Retail
10.	24 Hour Fitness	559	Health club

Source: City of Chula Vista Comprehensive Annual Financial Report for the Fiscal Year Ended June 30, 2015.

LARGEST EMPLOYERS San Diego County 2015

<u>Rank</u>	<u>Employer</u>	<u>Number of Local Employees</u>	<u>Industry</u>
1.	University of California San Diego	29,287	Higher education, research, health care
2.	County of San Diego	17,044	Municipal government, public agency
3.	Sharp Healthcare	16,896	Health care, hospitals, medical groups, health services, health plans
4.	Scripps Health	14,644	Private, nonprofit, integrated health system based in San Diego
5.	Qualcomm, Inc.	13,500	3G and next-generation mobile technologies
6.	Kaiser Permanente	7,535	Nonprofit health maintenance hospital, outpatient medical, urgent care, medical offices
7.	UC San Diego Health	7,229	Academic health system
8.	YMCA of San Diego County	5,487	Youth development, healthy living, social responsibility
9.	Rady Children's Hospital – San Diego	5,122	Health care for children, regional pediatric trauma center
10.	General Atomics Aeronautical Systems Inc.	5,088	Defense, energy systems

Source: San Diego County 'Comprehensive Annual Financial Report' for the year ending June 30, 2015.

Retail Trade

The following tables show a five-year history of taxable sales for the City and the County:

TAXABLE SALES
City of Chula Vista
2009-2013
(Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores</u>		<u>Total Permits</u>	<u>Total Outlets</u>	
		<u>Taxable Transactions</u>			<u>Taxable Transactions</u>	
2009	2,543	\$1,976,176		4,005	\$2,199,592	
2010	2,649	2,070,662		4,064	2,303,400	
2011	2,714	2,184,654		4,095	2,421,666	
2012	2,778	2,258,846		4,149	2,501,497	
2013	2,835	2,333,365		4,182	2,589,379	

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

TAXABLE SALES
San Diego County
2009-2013
(Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores</u>		<u>Total Permits</u>	<u>Total Outlets</u>	
		<u>Taxable Transactions</u>			<u>Taxable Transactions</u>	
2009	52,808	\$27,958,518		80,595	\$39,728,657	
2010	55,462	29,475,489		83,194	41,623,636	
2011	56,723	31,985,292		83,971	45,090,382	
2012	57,143	34,153,236		84,267	47,947,035	
2013	58,466	35,948,594		85,143	50,297,331	

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

Construction

The tables provided below show the building permits and valuations for the County and the City for years 2011 through 2015:

BUILDING PERMITS AND VALUATIONS
County of San Diego
2011-2015
(Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
<u>Valuation</u>					
Residential	\$1,304,638	\$1,435,880	\$2,060,249	\$1,818,853	\$2,447,048
Non-residential	<u>1,072,380</u>	<u>952,317</u>	<u>1,425,426</u>	<u>1,920,627</u>	<u>4,309,544</u>
Total	\$2,377,018	\$2,388,197	\$3,485,675	\$3,739,480	\$6,756,582
 <u>New Housing Units</u>					
Single Units	2,252	1,865	2,539	2,276	3,136
Multiple Units	<u>2,968</u>	<u>3,687</u>	<u>5,803</u>	<u>4,327</u>	<u>6,869</u>
Total	5,220	5,552	8,342	6,603	10,005

Note: Totals may not add due to independent rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS
City of Chula Vista
2011-2015
(Dollars in Thousands)

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>
<u>Valuation</u>					
Residential	\$133,919	\$206,329	\$167,859	\$206,643	\$143,177
Non-residential	<u>37,030</u>	<u>19,841</u>	<u>54,727</u>	<u>38,198</u>	<u>61,066</u>
Total	\$170,949	\$226,170	\$222,586	\$244,841	\$204,243
 <u>New Housing Units</u>					
Single Units	411	453	300	118	100
Multiple Units	<u>317</u>	<u>336</u>	<u>306</u>	<u>927</u>	<u>617</u>
Total	728	789	606	1,045	717

Note: Totals may not add due to independent rounding.

Source: Construction Industry Research Board.

APPENDIX E

SAN DIEGO COUNTY INVESTMENT POOL

The following information concerning the San Diego County Investment Pool (the “Investment Pool”) has been provided by the Treasurer, and has not been confirmed or verified by the District, the Financial Advisor or the Underwriters. The District, the Financial Advisor and the Underwriters have not made an independent investigation of the investments in the Investment Pool and have made no assessment of the current County investment policy. The value of the various investments in the Investment Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Investment Pool will not vary significantly from the values described herein. Finally, none the District, the Financial Advisor nor the Underwriters make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Investment Pool may be obtained from the Treasurer at <https://www.countytreasurer.org/>; however, the information presented on such website is not incorporated herein by any reference.

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COUNTY OF SAN DIEGO INVESTMENT POOL **TREASURY INVESTMENT RESULTS**

JUNE
2016

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SUMMARY PORTFOLIO STATISTICS

County of San Diego Pooled Money Fund

As of June 30, 2016

	Par Value	Book Value	Market Value	% of Portfolio	Market Price	WAM	WAC	YTM	YTW	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities	48,000,000	47,998,614	48,142,180	0.55	100.296	1,000	0	1.178	1.178	24,902	143,566
CDARS	10,000,000	10,000,000	10,000,000	0.12	100.000	143	0	0.421	0.421	2,137	0
Collateralized CDs	45,000,000	45,000,000	45,000,000	0.52	100.000	156	0	0.593	0.593	10,194	0
Commercial Paper Disc	2,143,000,000	2,139,780,964	2,134,984,663	24.63	99.626	72	0	0.778	0.778	0	(4,796,301)
FDIC CDs	849,500	849,500	849,500	0.01	100.000	65	0	0.389	0.389	611	0
Federal Agency - Step Up	175,000,000	175,000,000	175,170,500	2.01	100.097	1,579	52	2.074	1.906	856,805	170,500
Federal Agency Amer Callable	50,000,000	50,000,000	50,071,750	0.57	100.144	990	170	1.290	1.290	190,861	71,750
Federal Agency Berm Callable	319,535,000	319,472,542	319,703,021	3.68	100.053	731	62	1.090	1.090	527,262	230,479
Federal Agency Coupon Securities	1,260,900,000	1,266,312,061	1,272,760,976	14.58	100.963	504	119	0.944	0.944	3,604,566	6,448,915
Federal Agency Euro Callable	281,013,000	281,011,163	281,440,907	3.23	100.152	743	207	1.066	1.066	676,828	429,743
Money Market Accounts	478,017,000	478,017,000	478,157,000	5.50	100.032	1	0	0.198	0.198	44,878	140,000
Negotiable CDs	2,575,000,000	2,575,000,464	2,575,000,000	29.64	100.000	88	0	0.793	0.793	5,957,469	(464)
Repurchase Agreements	2,302,212	2,302,212	2,302,212	0.03	100.000	1	0	0.010	0.010	1	0
Supranational Callable	100,000,000	100,000,000	100,342,750	1.15	100.343	1,294	299	1.125	1.125	228,903	342,750
Supranationals	298,734,000	298,968,472	299,802,222	3.44	100.358	366	0	0.869	0.869	784,916	833,750
Treasury Coupon Securities	892,000,000	898,146,571	904,535,600	10.34	101.410	685	0	0.924	0.924	2,376,850	6,389,029
Totals for June 2016	8,679,350,712	8,687,859,563	8,698,263,281	100.00	100.217	310	125	0.848	0.844	15,287,183	10,403,717
Totals for May 2016	9,305,783,147	9,313,420,217	9,313,089,183	100.00	100.075	273	93	0.787	0.781	15,918,302	(331,034)
Change From Prior Month	(626,432,434)	(625,560,654)	(614,825,902)		0.142	37	32	0.061	0.063	(631,119.56)	10,734,751
Portfolio Effective Duration	0.65 years										

	June		Fiscal Year To Date		Calendar Year To Date	
	Return	Annualized	Return	Annualized	Return	Annualized
Book Value	0.067%	0.819%	0.067%	0.819%	0.355%	0.712%
Market Value	0.067%	0.818%	0.067%	0.818%	0.355%	0.712%

Note

Yield to maturity (YTM) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the maturity date.

Yield to call (YTC) is the estimated rate of return on a bond given its purchase price, assuming all coupon payments are made on a timely basis and reinvested at this same rate of return to the call date.

Yield to worst (YTW) is the lesser of yield to maturity or yield to call, reflecting the optionality of the bond issuer.

Yields for the portfolio are aggregated based on the book value of each security.

* All Investments held during the month of June 2016 were in compliance with the Investment Policy dated January 1, 2016.

CASH FLOW ANALYSIS

County of San Diego Pooled Money Fund

As of June 30, 2016

	Jun-16	Jul-16	Aug-16	Sep-16	Oct-16	Nov-16	Dec-16
Beginning Pool Book Balance	9,313,420	8,687,860	7,770,520	7,078,546	6,896,546	6,942,546	7,136,546
MAIN CASH FLOW ITEMS							
INFLOWS:							
Reverse Repos	0	0	0	0	0	0	0
Interest Income On Pool	8,107	3,000	2,880	3,500	2,500	3,000	3,100
Taxes Collected	88,714	57,000	52,000	36,000	410,000	705,000	1,950,500
School Deposits	454,613	671,360	328,000	550,500	400,000	300,000	450,000
County Deposits	289,202	220,000	225,000	245,000	225,000	225,000	295,000
Retirement	0	0	0	0	0	0	0
Voluntaries	10,131	0	0	0	0	0	0
Maturities/Sales Outside Pool	21,400	3,070	8,725	2,390	10,000	5,000	0
	872,167	954,430	616,605	837,390	1,047,500	1,238,000	2,698,600
OUTFLOWS:							
Schools	947,344	910,000	931,454	680,000	613,000	680,000	727,500
County	285,260	445,000	301,000	280,000	320,000	280,000	350,000
Retirement	41,965	438,700	7,000	7,000	7,500	7,000	7,000
Voluntaries	41,817	50,000	45,000	40,000	35,000	45,000	50,000
Tax Apportionment	165,331	10,000	15,400	10,000	16,000	32,000	310,000
Reverse Repos	0	0	0	0	0	0	0
Purchases/ Purchases Outside of Pool	358,326	18,070	8,725	2,390	10,000	0	0
	1,840,043	1,871,770	1,308,579	1,019,390	1,001,500	1,044,000	1,444,500
TOTAL	(967,876)	(917,340)	(691,974)	(182,000)	46,000	194,000	1,254,100
PROJECTED/ACTUAL MONTH END POOL BALANCE	8,687,860	7,770,520	7,078,546	6,896,546	6,942,546	7,136,546	8,390,646
LIQUIDITY PROJECTIONS							
INCREASE / DECREASE DUE TO INVESTMENT ACTIVITY							
Maturities		1,595,000	1,265,500	702,984	556,950	530,163	355,000
Sales/Calls		0	0	0	0	0	0
Investments Purchased		203,945	10,000	68,100	40,000	127,000	40,000
		1,391,055	1,255,500	634,884	516,950	403,163	315,000
Net Main Cash Flow (see above)		(917,340)	(691,974)	(182,000)	46,000	194,000	1,254,100
PROJECTED/ACTUAL MONTH END LIQUIDITY	501,038	974,753	1,538,279	1,991,163	2,554,113	3,151,276	4,720,376

Note: The above is not meant to be a complete Cash Flow Statement. The data represents a subset of the main cash flow items and does not include accrued interest or other adjustment items.

PARTICIPANT CASH BALANCES

San Diego Pooled Money Fund

As of June 30, 2016

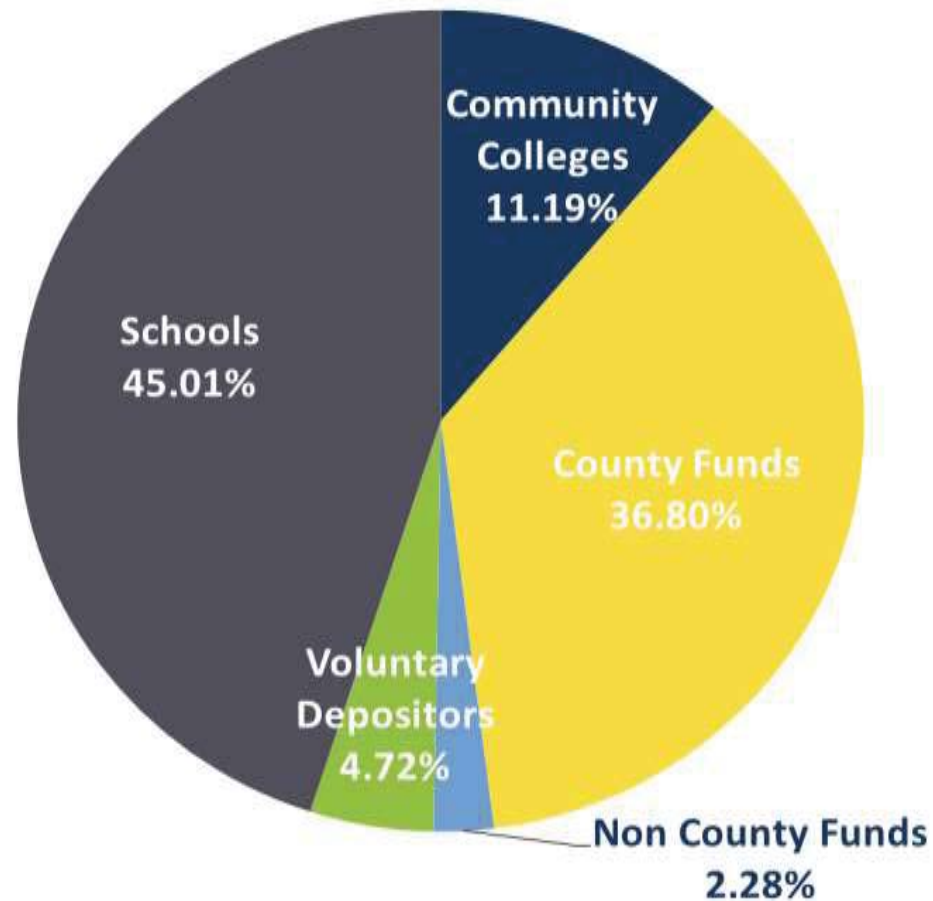
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PARTICIPANT	FMV 04/30/16	FMV 05/31/16	FMV 06/30/16	% of Total	PARTICIPANT	FMV 04/30/16	FMV 05/31/16	FMV 06/30/16	% of Total
COUNTY	\$ 1,613,255	\$ 975,920	\$ 661,590	7.60%	Lakeside Fire	7,329	7,870	7,178	
COUNTY - SPECIAL TRUST FUNDS	2,459,150	2,481,018	2,540,034	29.20%	Leucadia Water District	11,477	11,463	11,484	
NON-COUNTY INVESTMENT FUNDS	191,766	191,711	198,186	2.28%	Lower Sweetwater FPD	526	515	520	
SCHOOLS - (K THRU 12)	4,160,195	4,210,735	3,914,810	45.01%	Metropolitan Transit System	6,253	4,929	8,785	
					Mission Resource Conservation District	288	292	293	
COMMUNITY COLLEGES					North County Cemetery District	1,246	1,270	1,110	
San Diego	240,887	245,049	241,629	2.78%	North County Cemetry Perpetual	1,639	1,647	1,464	
Grossmont	122,144	125,964	119,086	1.37%	North County Cemetery	1,153	1,194	1,110	
Mira Costa	49,820	50,337	46,561	0.54%	North County Dispatch	4,020	4,351	3,895	
Palomar	333,563	328,887	330,469	3.80%	North County Fire	3,364	4,068	2,918	
Southwestern	235,355	237,058	235,390	2.70%	Otay Water District Investment	16,475	16,456	13,386	
Total Community Colleges	981,770	987,295	973,135	11.19%	Pine Valley FPD	665	692	696	
					Pomerado Cemetery District	1,774	1,797	1,789	
SDCERA	591	620	619		Ramona Cemetery District	576	580	543	
SANCAL	8,742	8,732	8,748		Ramona Cemetery Perpetual	368	368	368	
MTDB	720	719	720		Rancho Santa Fe FPD	12,679	13,533	11,735	
SANDAG	43,285	59,048	42,553		Rincon del Diablo Municipal Water District	3,023	3,019	3,025	
					San Diego Housing Commission	17,077	17,057	17,088	
CITIES					San Diego Rural Fire	397	167	146	
Chula Vista	34,675	34,634	34,697		San Dieguito River	452	413	918	
Del Mar	3,061	3,058	3,063		San Marcos FPD	1	1	1	
Encinitas	2	2	2		San Miguel FPD	9,668	12,455	9,352	
Lemon Grove	2	0	0		San Ysidro Sanitation	13	13	13	
National City	5,079	5,073	5,082		Santa Fe Irrigation District	4,971	4,965	4,974	
					SDC Regional Airport Authority	200,929	195,955	164,416	
INDEPENDENT AGENCIES					Upper San Luis Rey Reservoir	33	34	34	
Alpine FPD	1,880	2,141	1,928		Vallecitos Water District	5,132	5,126	5,136	
Bonita Sunnyside FPD	5,182	5,577	5,124		Valley Center FPD	3,396	3,994	3,864	
Borrego Springs FPD	1,433	1,533	1,463		Valley Cntr Cemetery	70	74	75	
Deer Springs FPD	8,272	9,611	8,926		Valley Ctr Cem Perpetual	247	250	250	
Fallbrook Public UTL	15	14	15		Valley Ctr Water District	13,563	14,170	14,028	
Grossmont Healthcare District	1,008	1,007	1,009		Vista FPD	2,201	2,198	2,202	
Public Agency Self Insurance System	3,357	3,353	3,364		Total Independent Agencies	448,615	466,411	410,509	4.72%
Julian-Cuyamaca FPD	76	157	168						
Lake Cuyamaca Rec & Park	228	217	233		Pooled Money Fund Total	\$9,854,751	\$9,313,089	\$8,698,263	100.00%

INVESTMENT FUND PARTICIPANTS

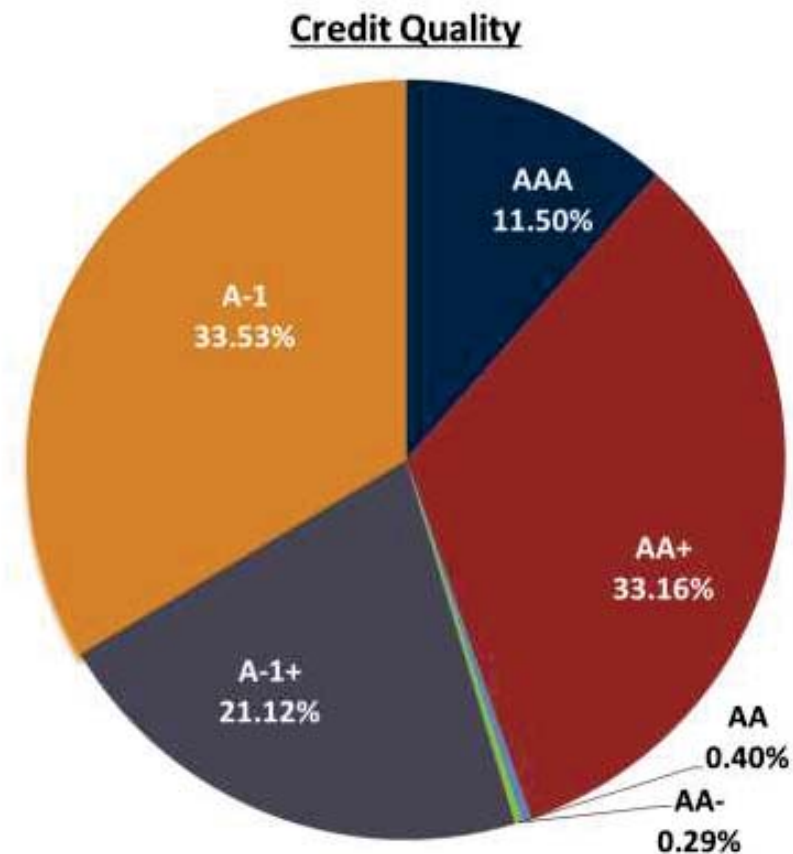
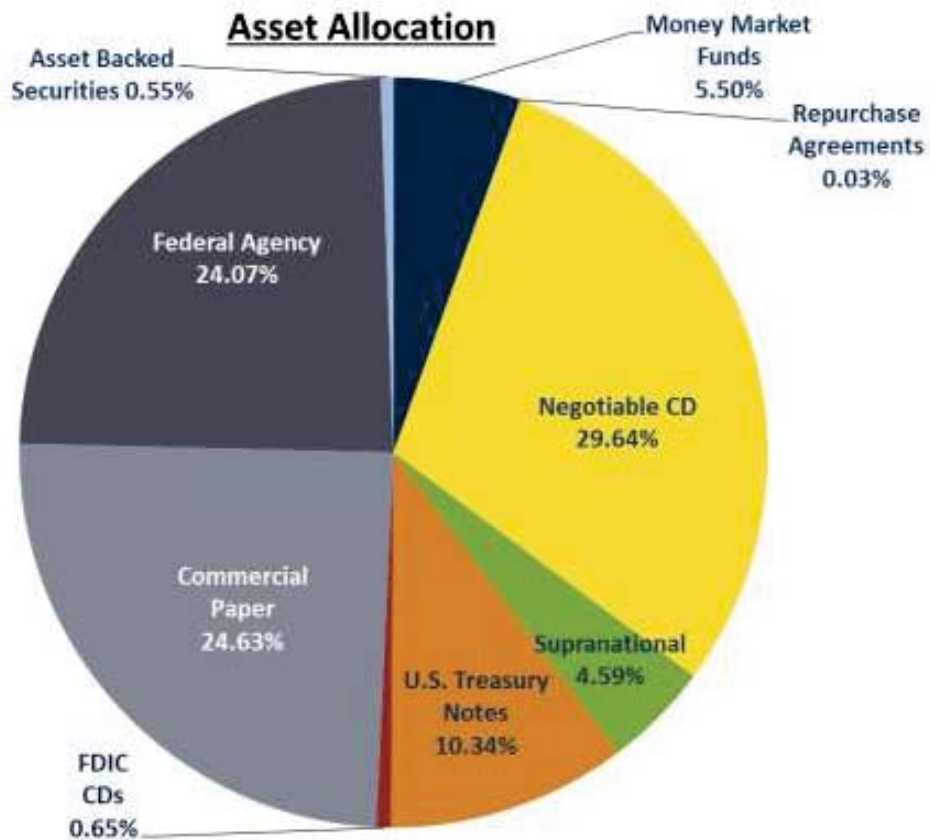
San Diego Pooled Money Fund

As of June 30, 2016



INVESTMENT FUND OVERVIEW

As of June 30, 2016





APPENDIX

INVESTMENT POLICY COMPLIANCE REPORT

County of San Diego Pooled Money Fund

As of June 30, 2016

Category	Standard	Comment
Treasury Issues	No Limit	Complies - 10.4%
Agency Issues	35% per issuer	Complies
Local Agency Obligations	SP-1/A or MIG1/A or F-1/A minimum rating; 15% maximum; 5% per issuer	Complies
Banker's Acceptances	A-1 or P-1 or F-1 minimum rating; 40% maximum; 5% per issuer; 180 days max maturity	Complies
Commercial Paper	A-1/A or P-1/A or F-1/A minimum rating; 40% maximum; 5% per issuer; 270 days max maturity	Complies - 24.6%*
Medium Term Notes	A-1/A or P-1/A or F-1/A minimum rating; 30% maximum; 5% per issuer	Complies
Negotiable Certificates of Deposit	A-1/A or P-1/A or F-1/A minimum rating; 30% maximum; 5% per issuer; 5 years maximum maturity for NCDs; 13 months max maturity for FDIC insured	Complies - 29.6%*
Repurchase Agreements	40% maximum; 10% per issuer > 5 days; 15% per issuer < 5 days; 1-year maximum maturity;	Complies - 0.0%
Reverse Repurchase Agreements	20% maximum combined with Securities Lending; 10% per issuer; 92-day maximum maturity	N/A
Collateralized Certificates of Deposit	A-1 or P-1, or F-1 minimum rating; 5% maximum; 5% per issuer; 13 months maximum maturity; 110% collateral required	Complies - 0.6%
FDIC & NCUA Insured Deposit	5% maximum; 5% per issuer; 13 months maximum maturity; No minimum credit requirement for FDIC or NCUA insured deposit accounts	Complies - 0.0%
Covered Call Option/ Put Option	10% maximum; 90-day maximum maturity	N/A
Money Market Mutual Funds	AAAm, or Aaa-mf, or AAAmmf minimum rating; 15% maximum; 10% per fund	Complies - 5.1%
Investment Trust of California - Cal Trust	2.5% maximum	Complies - 0.4%
Supranationals	A-1/AA by S&P or P-1/Aa by Moody's, or F-1/AA by Fitch; 30% maximum; 10% per issuer; Includes IBRD, IFC, and IADB	Complies - 4.6%
Pass-Through Securities	Non-mortgaged backed; A-rated issuer; A-1/AA or P-1/Aa or F-1/AA minimum rating; 20% maximum; 5% per issuer	Complies - 0.6%
Maximum Maturity	5 years	Complies
Illiquidity Limitations	10% maximum for combined categories for Collateralized CDs and FDIC Insured Deposit Accounts	Complies
Maximum Issuer Exposure	5% per any single issuer involved in more than one of the above categories (does not include US Government, repurchase agreements, supranationals, money market fund)	Complies *
Maturity Policy - Portfolio Structure	Minimum 25% ≤ 90 days; and minimum 50% ≤ 1 year; maximum effective duration for portfolio 1.5 years	Complies
Prohibited Securities	Inverse floaters; Ranges notes, Interest-only strips from mortgaged backed securities; Zero interest accrual securities	Complies
Credit Rating Policy - monitoring ratings	Overall credit rating of AAAs/S1, by Standard & Poors; Investments rated below A-1 (short term) or below the A category (long term), at the time of purchase, are prohibited in this policy	Complies
Securities Lending	92-day maximum maturity; 10% per counterparty; 20% maximum combined with Reverse Repurchase Agreements	N/A

* Complied at time of purchase; Portfolio outflows increased concentration in Nordea Bank to 5.3%, BNP Paribas to 5.1%, and JP Morgan to 5.1%

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Asset Backed Securities									
American Honda Finance	05/30/2016	25,000,000.00	24,999,157.50	25,058,000.00	1.13	1.14	09/15/2018	12,555.56	58,842.50
Harley-Davidson Credit Corp	06/15/2016	13,000,000.00	12,999,650.30	13,011,180.00	1.09	1.09	06/15/2019	6,297.78	11,529.70
American Honda Finance	05/30/2016	10,000,000.00	9,999,806.00	10,073,000.00	1.39	1.40	04/15/2020	6,048.79	73,194.00
Asset Backed Securities Subtotal:		48,000,000.00	47,998,613.80	48,142,180.00	1.17	1.18		24,902.13	143,566.20
CDARS									
Coronado Private Bank	04/21/2016	5,000,000.00	5,000,000.00	5,000,000.00	0.39	0.39	10/20/2016	2,136.71	0.00
Pacific Commerce Bank	06/23/2016	5,000,000.00	5,000,000.00	5,000,000.00	0.45	0.45	12/22/2016	0.00	0.00
CDARS Subtotal:		10,000,000.00	10,000,000.00	10,000,000.00	0.42	0.42		2,136.71	0.00
Collateralized CDs									
Banc of California	02/29/2016	20,000,000.00	20,000,000.00	20,000,000.00	0.51	0.51	08/29/2016	9,289.92	0.00
Torrey Pines Bank	03/30/2016	5,000,000.00	5,000,000.00	5,000,000.00	0.50	0.50	09/26/2016	136.94	0.00
Torrey Pines Bank	03/29/2016	20,000,000.00	20,000,000.00	20,000,000.00	0.70	0.70	03/29/2017	766.68	0.00
Collateralized CDs Subtotal:		45,000,000.00	45,000,000.00	45,000,000.00	0.59	0.59		10,193.54	0.00
Commerical Paper									
ING (US) Funding LLC	03/24/2016	125,000,000.00	125,000,000.00	124,793,750.00	0.60	0.61	07/01/2016	0.00	(206,250.00)
Rabobank Nederland	10/23/2015	50,000,000.00	50,000,000.00	49,842,500.00	0.45	0.47	07/01/2016	0.00	(157,500.00)
Credit Suisse Securities (USA)	01/05/2016	25,000,000.00	24,997,611.11	24,891,300.00	0.86	0.88	07/05/2016	0.00	(106,311.11)
Fortis/BNP Paribas Bank	04/01/2016	25,000,000.00	24,998,361.11	24,961,075.00	0.59	0.60	07/05/2016	0.00	(37,286.11)
ING (US) Funding LLC	12/29/2015	75,000,000.00	74,993,250.00	74,681,025.00	0.81	0.84	07/05/2016	0.00	(312,225.00)
Toyota Motor Credit Corp	12/15/2015	25,000,000.00	24,997,888.89	24,892,850.00	0.76	0.79	07/05/2016	0.00	(105,038.89)
UBS Finance	01/05/2016	100,000,000.00	99,990,111.11	99,550,000.00	0.89	0.91	07/05/2016	0.00	(440,111.11)
Fortis/BNP Paribas Bank	04/01/2016	25,000,000.00	24,997,541.67	24,960,250.00	0.59	0.60	07/07/2016	0.00	(37,291.67)
Fortis/BNP Paribas Bank	04/06/2016	10,000,000.00	9,997,666.67	9,983,330.00	0.60	0.61	07/15/2016	0.00	(14,336.67)
Fortis/BNP Paribas Bank	04/12/2016	25,000,000.00	24,994,361.11	24,958,325.00	0.58	0.59	07/15/2016	0.00	(36,036.11)
Credit Suisse Securities (USA)	01/27/2016	50,000,000.00	49,977,500.00	49,782,500.00	0.90	0.92	07/19/2016	0.00	(195,000.00)
ING (US) Funding LLC	04/01/2016	25,000,000.00	24,992,215.28	24,954,925.00	0.59	0.60	07/20/2016	0.00	(37,290.28)
Barclays Capital	01/06/2016	100,000,000.00	99,935,055.56	99,524,500.00	0.48	0.86	07/29/2016	0.00	(410,555.56)
ING (US) Funding LLC	01/05/2016	25,000,000.00	24,983,666.67	24,879,825.00	0.84	0.87	07/29/2016	0.00	(103,841.67)
JP Morgan	12/11/2015	50,000,000.00	49,968,888.89	49,747,800.00	0.80	0.83	07/29/2016	0.00	(221,088.89)
JP Morgan	01/05/2016	25,000,000.00	24,983,472.22	24,873,900.00	0.85	0.88	07/29/2016	0.00	(109,572.22)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Toyota Motor Credit Corp	01/05/2016	25,000,000.00	24,983,277.78	24,876,950.00	0.86	0.89	07/29/2016	0.00	(106,327.78)
ING (US) Funding LLC	01/05/2016	75,000,000.00	74,944,458.33	74,625,525.00	0.86	0.89	08/01/2016	0.00	(318,933.33)
Rabobank Nederland	12/29/2015	125,000,000.00	124,911,736.11	124,385,000.00	0.82	0.85	08/01/2016	0.00	(526,736.11)
Toyota Motor Credit Corp	04/07/2016	50,000,000.00	49,973,416.67	49,904,900.00	0.58	0.59	08/03/2016	0.00	(68,516.67)
ING (US) Funding LLC	04/12/2016	25,000,000.00	24,980,555.56	24,941,650.00	0.70	0.71	08/10/2016	0.00	(38,905.56)
JP Morgan	01/12/2016	50,000,000.00	49,946,333.33	49,727,800.00	0.92	0.95	08/12/2016	0.00	(218,533.33)
American Honda Finance	05/25/2016	50,000,000.00	49,965,625.00	49,937,350.00	0.55	0.56	08/15/2016	0.00	(28,275.00)
American Honda Finance	05/24/2016	50,000,000.00	49,963,333.34	49,934,300.00	0.55	0.56	08/18/2016	0.00	(29,033.34)
Fortis/BNP Paribas Bank	06/01/2016	25,000,000.00	24,981,625.00	24,970,375.00	0.54	0.55	08/19/2016	0.00	(11,250.00)
Fortis/BNP Paribas Bank	06/01/2016	25,000,000.00	24,980,500.00	24,969,250.00	0.54	0.55	08/22/2016	0.00	(11,250.00)
Fortis/BNP Paribas Bank	06/01/2016	25,000,000.00	24,980,125.00	24,968,875.00	0.54	0.55	08/23/2016	0.00	(11,250.00)
Fortis/BNP Paribas Bank	06/01/2016	25,000,000.00	24,979,750.00	24,968,500.00	0.54	0.55	08/24/2016	0.00	(11,250.00)
Rabobank Nederland	03/28/2016	50,000,000.00	49,938,152.78	49,841,800.00	0.73	0.74	08/31/2016	0.00	(96,352.78)
JP Morgan	04/07/2016	25,000,000.00	24,965,875.00	24,919,825.00	0.78	0.79	09/02/2016	0.00	(46,050.00)
Toyota Motor Credit Corp	06/03/2016	25,000,000.00	24,970,833.34	24,959,150.00	0.60	0.61	09/09/2016	0.00	(11,683.34)
Fortis/BNP Paribas Bank	04/14/2016	48,000,000.00	47,921,973.33	47,841,888.00	0.77	0.78	09/15/2016	0.00	(80,085.33)
Toyota Motor Credit Corp	06/03/2016	25,000,000.00	24,966,847.22	24,954,775.00	0.62	0.63	09/16/2016	0.00	(12,072.22)
JP Morgan	04/06/2016	50,000,000.00	49,886,416.67	49,782,500.00	0.87	0.89	10/03/2016	0.00	(103,916.67)
JP Morgan	04/06/2016	50,000,000.00	49,885,208.34	49,781,250.00	0.87	0.89	10/04/2016	0.00	(103,958.34)
JP Morgan	04/06/2016	25,000,000.00	24,942,000.00	24,890,025.00	0.87	0.89	10/05/2016	0.00	(51,975.00)
JP Morgan	04/06/2016	25,000,000.00	24,942,000.00	24,890,025.00	0.87	0.89	10/05/2016	0.00	(51,975.00)
Fortis/BNP Paribas Bank	05/16/2016	75,000,000.00	74,801,750.00	74,727,000.00	0.78	0.79	10/31/2016	0.00	(74,750.00)
Fortis/BNP Paribas Bank	05/23/2016	100,000,000.00	99,603,111.11	99,501,200.00	0.94	0.98	11/30/2016	0.00	(101,911.11)
Fortis/BNP Paribas Bank	06/17/2016	25,000,000.00	24,899,520.83	24,890,650.00	0.91	0.93	12/07/2016	0.00	(8,870.83)
JP Morgan	06/07/2016	50,000,000.00	49,807,875.00	49,778,850.00	0.87	0.90	12/07/2016	0.00	(29,025.00)
Rabobank Nederland	06/28/2016	50,000,000.00	49,813,333.33	49,810,000.00	0.80	0.81	12/16/2016	0.00	(3,333.33)
JP Morgan	04/07/2016	10,000,000.00	9,947,927.78	9,923,600.00	1.03	1.07	12/30/2016	0.00	(24,327.78)
JP Morgan	06/17/2016	50,000,000.00	49,780,416.67	49,766,250.00	0.86	0.88	01/03/2017	0.00	(14,166.67)
JP Morgan	06/23/2016	25,000,000.00	24,890,208.33	24,883,125.00	0.86	0.88	01/03/2017	0.00	(7,083.33)
Toyota Motor Credit Corp	04/14/2016	25,000,000.00	24,872,000.00	24,820,000.00	0.96	0.99	01/09/2017	0.00	(52,000.00)
Fortis/BNP Paribas Bank	06/28/2016	15,000,000.00	14,927,625.00	14,926,500.00	0.90	0.93	01/10/2017	0.00	(1,125.00)
JP Morgan	06/28/2016	35,000,000.00	34,840,506.95	34,838,020.00	0.85	0.88	01/10/2017	0.00	(2,486.95)
Toyota Motor Credit Corp	06/23/2016	50,000,000.00	49,779,055.55	49,769,900.00	0.82	0.85	01/11/2017	0.00	(9,155.55)
Commerical Paper Subtotal:		2,143,000,000.00	2,139,780,963.64	2,134,984,663.00	0.76	0.78		0.00	(4,796,300.64)

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
FDIC CDs									
East West Bank	02/10/2016	250,000.00	250,000.00	250,000.00	0.45	0.46	08/08/2016	286.15	0.00
Pacific Commerce Bank	02/12/2016	250,000.00	250,000.00	250,000.00	0.47	0.48	08/12/2016	290.26	0.00
Torrey Pines Bank	09/04/2015	99,500.00	99,500.00	99,500.00	0.25	0.25	09/03/2016	20.01	0.00
SD Private Bank	10/24/2015	250,000.00	250,000.00	250,000.00	0.30	0.30	10/24/2016	14.30	0.00
FDIC CDs Subtotal:		849,500.00	849,500.00	849,500.00	0.39	0.39		610.72	0.00
Federal Agency									
Federal National Mtg Assn	06/10/2013	50,000,000.00	49,998,599.10	50,000,000.00	0.38	0.63	07/05/2016	91,666.67	1,400.90
Federal National Mtg Assn	02/26/2014	15,000,000.00	14,999,877.03	15,000,000.00	0.38	0.45	07/05/2016	27,500.00	122.97
Federal National Mtg Assn	05/05/2015	32,900,000.00	32,963,110.77	32,963,826.00	5.38	0.42	07/15/2016	815,417.36	715.23
Federal Home Loan Bank	06/03/2015	38,000,000.00	38,006,156.94	38,007,600.00	0.75	0.41	07/18/2016	129,041.67	1,443.06
Federal National Mtg Assn	10/06/2011	20,000,000.00	19,998,407.59	20,039,600.00	1.25	1.28	09/28/2016	64,583.33	41,192.41
Federal Home Loan Mtg Corp	10/18/2012	50,000,000.00	49,998,100.48	50,030,000.00	0.63	0.64	11/01/2016	52,083.34	31,899.52
Federal Farm Credit Bank	10/14/2015	35,000,000.00	35,008,927.21	35,005,250.00	0.48	0.41	11/04/2016	26,600.00	(3,677.21)
Federal National Mtg Assn	05/14/2013	25,000,000.00	24,999,472.22	25,012,500.00	0.55	0.56	11/14/2016	17,951.39	13,027.78
Federal National Mtg Assn	05/28/2013	3,500,000.00	3,499,719.80	3,501,750.00	0.55	0.57	11/14/2016	2,513.19	2,030.20
Federal National Mtg Assn	05/28/2013	7,513,000.00	7,512,398.54	7,516,756.50	0.55	0.57	11/14/2016	5,394.75	4,357.96
Federal National Mtg Assn	11/15/2011	15,000,000.00	15,004,641.98	15,051,750.00	1.38	1.29	11/15/2016	26,354.17	47,108.02
Federal National Mtg Assn	01/17/2012	20,000,000.00	20,019,722.21	20,069,000.00	1.38	1.10	11/15/2016	35,138.89	49,277.79
Federal Farm Credit Bank	10/28/2015	25,000,000.00	25,000,000.00	24,998,500.00	0.45	0.45	11/28/2016	10,312.50	(1,500.00)
Federal Farm Credit Bank	10/28/2015	25,000,000.00	25,000,000.00	24,998,500.00	0.45	0.45	11/28/2016	10,312.50	(1,500.00)
Federal Home Loan Bank	11/15/2013	50,000,000.00	49,977,461.26	50,039,000.00	0.63	0.72	12/28/2016	2,604.17	61,538.74
Federal Farm Credit Bank	11/18/2015	40,000,000.00	39,992,342.47	40,013,200.00	0.59	0.62	02/06/2017	95,055.56	20,857.53
Federal Home Loan Mtg Corp	02/26/2014	25,000,000.00	25,023,078.53	25,059,750.00	0.88	0.73	02/22/2017	78,385.41	36,671.47
Federal National Mtg Assn	03/14/2013	25,000,000.00	25,000,000.00	25,036,500.00	0.75	0.75	03/14/2017	55,729.17	36,500.00
Federal National Mtg Assn	03/10/2014	50,000,000.00	49,954,972.77	50,101,000.00	0.75	0.86	04/20/2017	73,958.33	146,027.23
Federal Farm Credit Bank	09/11/2015	15,000,000.00	15,009,347.86	15,019,500.00	0.75	0.67	04/24/2017	20,937.50	10,152.14
Federal National Mtg Assn	12/18/2015	25,000,000.00	25,858,817.10	25,946,500.00	5.00	0.97	05/11/2017	173,611.11	87,682.90
Federal Home Loan Mtg Corp	01/09/2015	10,000,000.00	10,037,223.71	10,057,500.00	1.25	0.81	05/12/2017	17,013.89	20,276.29
Federal Home Loan Mtg Corp	02/26/2014	30,000,000.00	30,025,979.55	30,122,100.00	1.00	0.91	06/29/2017	1,666.67	96,120.45
Federal Home Loan Mtg Corp	07/25/2012	20,000,000.00	19,999,573.33	20,081,400.00	1.00	1.00	07/25/2017	86,666.67	81,826.67
Federal Home Loan Bank	04/08/2016	15,000,000.00	15,016,388.10	15,024,150.00	0.75	0.66	08/28/2017	25,937.50	7,761.90
Federal Home Loan Bank	09/20/2012	35,000,000.00	34,955,783.53	35,042,000.00	0.75	0.86	09/08/2017	82,395.84	86,216.47

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Farm Credit Bank	09/14/2015	25,000,000.00	25,000,000.00	25,048,000.00	0.78	0.78	09/14/2017	57,958.33	48,000.00
Federal Home Loan Mtg Corp	11/18/2015	19,000,000.00	19,026,385.93	19,090,820.00	1.00	0.89	09/29/2017	48,555.56	64,434.07
Federal Home Loan Bank	10/05/2015	25,000,000.00	25,000,000.00	25,003,000.00	0.73	0.73	10/05/2017	43,597.22	3,000.00
Federal Farm Credit Bank	11/18/2015	21,000,000.00	20,933,275.73	21,015,330.00	0.65	0.90	10/13/2017	29,575.00	82,054.27
Federal National Mtg Assn	11/27/2013	40,000,000.00	39,898,864.44	40,139,200.00	0.88	1.07	10/26/2017	63,194.44	240,335.56
Federal Home Loan Bank	10/14/2015	35,000,000.00	37,034,094.02	37,083,900.00	5.00	0.74	11/17/2017	213,888.89	49,805.98
Federal National Mtg Assn	12/27/2012	35,000,000.00	34,981,761.11	35,001,050.00	0.88	0.91	12/27/2017	3,402.78	19,288.89
Federal Home Loan Mtg Corp	10/19/2015	25,000,000.00	25,000,000.00	25,003,750.00	1.00	1.00	01/19/2018	112,500.00	3,750.00
Federal Home Loan Bank	07/29/2015	25,000,000.00	25,000,000.00	25,004,500.00	1.00	1.00	01/29/2018	105,555.56	4,500.00
Federal Farm Credit Bank	02/20/2015	20,000,000.00	20,000,000.00	20,146,400.00	1.11	1.11	02/20/2018	80,783.33	146,400.00
Federal Home Loan Mtg Corp	02/26/2014	30,000,000.00	29,805,169.54	30,055,200.00	0.88	1.27	03/07/2018	83,125.00	250,030.46
Federal National Mtg Assn	04/30/2013	50,000,000.00	49,993,593.06	50,006,000.00	1.00	1.01	04/30/2018	84,722.22	12,406.94
Federal National Mtg Assn	04/30/2013	50,000,000.00	50,000,000.00	50,006,000.00	1.00	1.00	04/30/2018	84,722.22	6,000.00
Federal National Mtg Assn	05/16/2013	25,000,000.00	24,970,910.17	25,003,000.00	1.00	1.07	04/30/2018	42,361.11	32,089.83
Federal National Mtg Assn	01/22/2014	15,000,000.00	14,821,058.37	15,059,400.00	0.88	1.53	05/21/2018	14,583.33	238,341.63
Federal Home Loan Mtg Corp	02/27/2014	25,000,000.00	26,689,045.60	27,019,750.00	4.88	1.30	06/13/2018	60,937.50	330,704.40
Federal Home Loan Mtg Corp	09/29/2015	25,000,000.00	25,000,000.00	25,063,750.00	1.05	1.05	06/29/2018	1,458.33	63,750.00
Federal National Mtg Assn	02/19/2016	35,000,000.00	35,182,925.83	35,308,000.00	1.13	0.87	07/20/2018	144,375.00	125,074.17
Federal Home Loan Mtg Corp	10/27/2015	25,000,000.00	25,000,000.00	25,001,500.00	1.00	1.00	07/27/2018	106,944.44	1,500.00
Federal Home Loan Bank	01/27/2016	25,000,000.00	25,000,000.00	25,011,500.00	1.30	1.30	07/27/2018	139,027.78	11,500.00
Federal Home Loan Bank	01/27/2016	25,000,000.00	25,000,000.00	25,011,500.00	1.30	1.30	07/27/2018	139,027.78	11,500.00
Federal Home Loan Bank	08/14/2015	25,000,000.00	25,043,448.61	25,259,250.00	1.20	1.12	08/14/2018	114,166.67	215,801.39
Federal Home Loan Bank	10/26/2015	35,000,000.00	35,114,175.19	35,312,550.00	1.13	0.97	09/14/2018	117,031.25	198,374.81
Federal National Mtg Assn	01/21/2014	30,000,000.00	30,141,292.84	30,766,500.00	1.88	1.65	09/18/2018	160,937.50	625,207.16
Federal Farm Credit Bank	09/21/2015	25,000,000.00	25,000,000.00	25,009,500.00	1.22	1.22	09/21/2018	84,722.22	9,500.00
Federal Home Loan Bank	03/28/2016	25,000,000.00	25,000,000.00	25,041,250.00	1.05	1.05	09/28/2018	67,812.50	41,250.00
Federal Home Loan Mtg Corp	10/29/2015	35,000,000.00	35,000,000.00	35,014,700.00	1.25	1.25	10/29/2018	75,347.22	14,700.00
Federal Home Loan Mtg Corp	02/23/2016	25,000,000.00	25,000,000.00	25,044,750.00	1.05	1.05	11/23/2018	27,708.33	44,750.00
Federal National Mtg Assn	01/21/2014	30,000,000.00	29,928,874.91	30,638,700.00	1.63	1.73	11/27/2018	46,041.67	709,825.09
Federal Home Loan Mtg Corp	06/14/2016	47,400,000.00	47,400,000.00	47,455,932.00	1.25	1.25	12/14/2018	27,979.17	55,932.00
Federal National Mtg Assn	03/22/2016	27,135,000.00	27,126,278.04	27,148,838.85	1.27	1.30	02/26/2019	94,768.99	22,560.81
Federal National Mtg Assn	03/11/2016	25,000,000.00	25,000,000.00	25,017,250.00	1.30	1.30	03/15/2019	99,305.56	17,250.00
Federal Farm Credit Bank	03/18/2016	25,000,000.00	25,000,000.00	25,054,500.00	1.28	1.28	03/21/2019	91,555.56	54,500.00
Federal Home Loan Mtg Corp	06/06/2016	25,000,000.00	25,000,000.00	25,084,000.00	1.25	1.25	06/06/2019	21,701.39	84,000.00

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Federal Home Loan Bank	06/22/2016	25,000,000.00	25,458,369.17	25,565,750.00	1.63	0.99	06/14/2019	10,156.25	107,380.83
Federal National Mtg Assn	07/08/2015	20,000,000.00	20,226,429.54	20,544,600.00	1.75	1.36	06/20/2019	10,694.44	318,170.46
Federal Home Loan Mtg Corp	06/27/2016	25,000,000.00	25,257,073.61	25,306,750.00	1.25	0.91	08/01/2019	3,472.22	49,676.39
Federal Home Loan Mtg Corp	03/30/2016	25,000,000.00	25,000,000.00	25,095,000.00	1.40	1.40	09/30/2019	88,472.22	95,000.00
Federal Home Loan Mtg Corp	11/21/2014	25,000,000.00	24,584,664.09	25,297,000.00	1.25	1.79	10/02/2019	77,256.94	712,335.91
Federal Home Loan Bank	01/09/2015	20,000,000.00	20,508,785.93	20,982,400.00	2.38	1.61	12/13/2019	23,750.00	473,614.07
Federal National Mtg Assn	03/30/2016	25,000,000.00	25,000,000.00	25,041,750.00	1.38	1.38	12/30/2019	954.86	41,750.00
Federal Home Loan Mtg Corp	01/15/2016	25,000,000.00	25,000,000.00	25,007,500.00	1.63	1.96	01/15/2020	187,326.39	7,500.00
Federal Home Loan Mtg Corp	05/19/2015	25,000,000.00	24,799,814.81	25,377,000.00	1.38	1.59	05/01/2020	57,291.67	577,185.19
Federal Farm Credit Bank	06/29/2016	25,000,000.00	25,000,000.00	25,043,250.00	1.42	1.42	06/29/2020	1,972.22	43,250.00
Federal Home Loan Mtg Corp	10/06/2015	50,000,000.00	50,000,000.00	50,097,500.00	1.00	2.10	10/06/2020	118,055.56	97,500.00
Federal National Mtg Assn	10/29/2015	25,000,000.00	25,000,000.00	25,009,250.00	1.50	1.77	10/29/2020	64,583.33	9,250.00
Federal Home Loan Mtg Corp	01/21/2016	50,000,000.00	50,000,000.00	50,025,000.00	1.75	2.23	01/21/2021	388,888.89	25,000.00
Federal Home Loan Mtg Corp	03/30/2016	25,000,000.00	25,000,000.00	25,031,250.00	1.55	2.12	03/30/2021	97,951.39	31,250.00
Federal National Mtg Assn	06/17/2016	15,000,000.00	15,009,374.79	15,056,250.00	1.25	1.24	05/06/2021	7,291.67	46,875.21
Federal Agency Subtotal:		2,086,448,000.00	2,091,795,767.41	2,099,147,153.35	1.28	1.09		5,856,323.48	7,351,385.94

Money Market Accounts

BlackRock	06/01/2015	48,017,000.00	48,017,000.00	48,017,000.00	0.01	0.01		5,149.75	0.00
CalTrust	06/01/2015	35,000,000.00	35,000,000.00	35,140,000.00	0.51	0.51		20,952.32	140,000.00
CalTrust	12/07/2015	105,000,000.00	105,000,000.00	105,000,000.00	0.07	0.07		1,933.49	0.00
Fidelity Government Fund	06/21/2016	153,000,000.00	153,000,000.00	153,000,000.00	0.11	0.11		3,892.52	0.00
Federated Government Fund	06/30/2016	37,000,000.00	37,000,000.00	37,000,000.00	0.39	0.39		272.36	0.00
Fidelity	06/01/2015	0.00	0.00	0.00	0.11	0.11		11,097.47	0.00
Federated Prime Fund	03/02/2016	0.00	0.00	0.00	0.39	0.39		827.01	0.00
Morgan Stanley	06/01/2015	100,000,000.00	100,000,000.00	100,000,000.00	0.39	0.39		724.70	0.00
Morgan Stanley	06/01/2015	0.00	0.00	0.00	0.02	0.02		28.50	0.00
Money Market Accounts Subtotal:		478,017,000.00	478,017,000.00	478,157,000.00	0.20	0.20		44,878.12	140,000.00

Negotiable CDs

Bank of America Corp	03/01/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.66	0.67	07/01/2016	55,916.67	0.00
Bank of America Corp	03/28/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.57	0.58	07/01/2016	37,604.17	0.00
MUFG Union Bank NA	04/08/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.58	0.59	07/01/2016	67,666.67	0.00
Nordea Bank Finland	02/29/2016	75,000,000.00	75,000,000.00	75,000,000.00	0.61	0.62	07/01/2016	156,312.50	0.00

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Mitsubishi UFJ Fin Group	10/22/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.43	0.44	07/05/2016	151,097.22	0.00
Royal Bank of Canada	12/08/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.81	0.82	07/05/2016	230,319.44	0.00
Royal Bank of Canada	12/11/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.80	0.81	07/05/2016	225,555.56	0.00
Svenska Hndl NY	12/10/2015	50,000,000.00	50,000,027.65	50,000,000.00	0.78	0.79	07/05/2016	221,000.00	(27.65)
Toronto Dominion NY	12/11/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.80	0.81	07/05/2016	225,555.56	0.00
Wells Fargo Bank NA	12/18/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.81	0.82	07/05/2016	220,500.00	0.00
Bank of America Corp	03/24/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.57	0.58	07/11/2016	39,187.50	0.00
Bank of America Corp	03/28/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.57	0.58	07/11/2016	37,604.17	0.00
MUFG Union Bank NA	04/25/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.60	0.61	07/15/2016	27,916.67	0.00
Nordea Bank Finland	03/24/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.61	0.62	08/01/2016	83,875.00	0.00
Royal Bank of Canada	12/10/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.83	0.84	08/01/2016	233,750.00	0.00
Nordea Bank Finland	04/07/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.60	0.61	08/02/2016	70,833.33	0.00
Nordea Bank Finland	04/07/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.60	0.61	08/04/2016	70,833.33	0.00
Nordea Bank Finland	04/07/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.60	0.61	08/05/2016	70,243.06	0.00
Nordea Bank Finland	03/24/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.61	0.62	08/08/2016	83,875.00	0.00
Bank of America Corp	04/25/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.58	0.59	08/10/2016	26,986.11	0.00
Toronto Dominion NY	01/12/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.92	0.93	08/12/2016	109,250.00	0.00
Royal Bank of Canada	11/25/2015	75,000,000.00	75,000,000.00	75,000,000.00	0.77	0.78	08/29/2016	351,312.50	0.00
Toronto Dominion NY	12/04/2015	50,000,000.00	50,000,000.00	50,000,000.00	0.87	0.88	08/29/2016	253,750.00	0.00
Toronto Dominion NY	01/15/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.89	0.90	08/29/2016	103,833.33	0.00
Wells Fargo Bank NA	01/15/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.86	0.87	08/29/2016	100,333.33	0.00
Bank of America Corp	03/28/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.77	0.78	08/31/2016	101,597.22	0.00
Nordea Bank Finland	03/31/2016	85,000,000.00	85,000,000.00	85,000,000.00	0.67	0.68	08/31/2016	145,538.89	0.00
Societe Generale NY	06/03/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.59	0.60	09/01/2016	11,472.22	0.00
Wells Fargo Bank NA	01/27/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.87	0.88	09/01/2016	188,500.00	0.00
Nordea Bank Finland	04/08/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.67	0.68	09/02/2016	78,166.67	0.00
Swedbank NY	04/08/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.65	0.66	09/08/2016	37,916.67	0.00
Bank of Nova Scotia	01/19/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.88	0.89	09/09/2016	200,444.44	0.00
Bank of Nova Scotia	01/27/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.91	0.92	09/23/2016	197,166.67	0.00
Royal Bank of Canada	12/10/2015	100,000,000.00	100,000,000.00	100,000,000.00	0.98	0.99	09/30/2016	552,500.00	0.00
Royal Bank of Canada	01/27/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.95	0.96	09/30/2016	205,833.33	0.00
Westpac Bank NY	03/28/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.86	0.87	09/30/2016	113,472.22	0.00
Wells Fargo Bank NA	03/28/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.86	0.87	09/30/2016	113,472.22	0.00
Bank of Nova Scotia	03/31/2016	40,000,000.00	40,000,000.00	40,000,000.00	0.85	0.86	10/07/2016	86,888.89	0.00

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund

As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Bank of Nova Scotia	03/31/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.85	0.86	10/11/2016	108,611.11	0.00
Wells Fargo Bank NA	05/06/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.83	0.84	10/21/2016	64,555.56	0.00
UBS AG Stamford	05/11/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.80	0.81	10/31/2016	56,666.67	0.00
Wells Fargo Bank NA	04/27/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.87	0.88	10/31/2016	78,541.67	0.00
Bank of America Corp	05/11/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.81	0.82	11/01/2016	28,687.50	0.00
Wells Fargo Bank NA	05/26/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.87	0.88	11/02/2016	21,750.00	0.00
Canadian Imp Bk Comm NY	05/26/2016	25,000,000.00	25,000,435.86	25,000,000.00	0.84	0.85	11/04/2016	21,000.00	(435.86)
Wells Fargo Bank NA	05/26/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.89	0.90	11/07/2016	22,250.00	0.00
Wells Fargo Bank NA	05/26/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.89	0.90	11/08/2016	22,250.00	0.00
UBS AG Stamford	06/17/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.89	0.90	12/07/2016	8,652.78	0.00
UBS AG Stamford	06/17/2016	100,000,000.00	100,000,000.00	100,000,000.00	0.89	0.90	12/16/2016	34,611.11	0.00
UBS AG Stamford	06/30/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.87	0.88	12/16/2016	1,208.33	0.00
Bank of Nova Scotia	06/28/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.90	0.91	01/03/2017	3,750.00	0.00
Toronto Dominion NY	06/23/2016	25,000,000.00	25,000,000.00	25,000,000.00	0.90	0.91	01/03/2017	5,000.00	0.00
Toronto Dominion NY	06/30/2016	50,000,000.00	50,000,000.00	50,000,000.00	0.90	0.91	01/11/2017	1,250.00	0.00
UBS AG Stamford	06/30/2016	100,000,000.00	100,000,000.00	100,000,000.00	0.90	0.91	01/20/2017	2,500.00	0.00
Westpac Bank NY	04/22/2016	50,000,000.00	50,000,000.00	50,000,000.00	1.03	1.04	01/23/2017	100,138.89	0.00
Wells Fargo Bank NA	04/14/2016	25,000,000.00	25,000,000.00	25,000,000.00	1.05	1.07	02/15/2017	56,875.00	0.00
Wells Fargo Bank NA	05/25/2016	25,000,000.00	25,000,000.00	25,000,000.00	1.21	1.23	04/20/2017	31,090.28	0.00
Negotiable CDs Subtotal:		2,575,000,000.00	2,575,000,463.51	2,575,000,000.00	0.79	0.79		5,957,469.46	(463.51)
Repurchase Agreements									
Wells Fargo Bank NA	06/30/2015	2,302,212.37	2,302,212.37	2,302,212.37	0.01	0.01		0.64	0.00
Repurchase Agreements Subtotal:		2,302,212.37	2,302,212.37	2,302,212.37	0.01	0.01		0.64	0.00
Supranationals Callable									
Intl Bank For Recon and Dev	04/26/2016	25,000,000.00	25,000,000.00	25,157,000.00	1.25	1.25	04/26/2019	56,423.61	157,000.00
Intl Bank For Recon and Dev	04/26/2016	25,000,000.00	25,000,000.00	25,157,000.00	1.25	1.25	04/26/2019	56,423.61	157,000.00
Intl Bank For Recon and Dev	09/30/2015	25,000,000.00	25,000,000.00	25,000,000.00	1.00	1.00	09/30/2020	63,194.44	0.00
Intl Bank For Recon and Dev	10/30/2015	25,000,000.00	25,000,000.00	25,028,750.00	1.00	1.00	10/15/2020	52,861.11	28,750.00
Supranational Callable Subtotal:		100,000,000.00	100,000,000.00	100,342,750.00	1.13	1.13		228,902.77	342,750.00
Supranationals									
Inter-American Development Bk	12/04/2015	31,743,000.00	31,740,081.47	31,756,649.49	0.63	0.67	09/12/2016	60,069.21	16,568.02
Inter-American Development Bk	12/04/2015	23,141,000.00	23,346,193.49	23,363,847.83	5.13	0.67	09/13/2016	355,792.87	17,654.34

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
Inter-American Development Bk	12/02/2015	51,700,000.00	51,800,852.14	51,826,665.00	1.38	0.72	10/18/2016	144,149.65	25,812.86
Inter-American Development Bk	12/03/2015	42,150,000.00	42,170,808.79	42,206,059.50	0.88	0.74	11/15/2016	47,126.04	35,250.71
Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,998,710.56	25,104,000.00	1.00	1.00	11/15/2017	31,944.45	105,289.44
Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,998,710.56	25,104,000.00	1.00	1.00	11/15/2017	31,944.45	105,289.44
Intl Bank For Recon and Dev	06/23/2015	25,000,000.00	24,998,710.56	25,104,000.00	1.00	1.00	11/15/2017	31,944.45	105,289.44
Intl Bank For Recon and Dev	04/30/2015	50,000,000.00	49,946,496.00	50,226,500.00	1.00	1.06	06/15/2018	22,222.22	280,004.00
Intl Bank For Recon and Dev	10/07/2015	25,000,000.00	24,967,908.16	25,110,500.00	1.00	1.06	10/05/2018	59,722.22	142,591.84
Supranationals Subtotal:		298,734,000.00	298,968,471.73	299,802,221.82	1.33	0.87		784,915.56	833,750.09

Treasury Coupon Securities

U.S. Treasury	09/22/2011	10,000,000.00	10,002,323.41	10,011,600.00	1.00	0.86	08/31/2016	33,423.91	9,276.59
U.S. Treasury	09/29/2015	40,000,000.00	40,078,548.99	40,087,600.00	1.00	0.41	10/31/2016	67,391.30	9,051.01
U.S. Treasury	11/10/2015	45,000,000.00	44,975,773.15	45,024,300.00	0.50	0.63	11/30/2016	19,057.38	48,526.85
U.S. Treasury	12/12/2011	12,000,000.00	12,000,117.77	12,024,600.00	0.88	0.87	11/30/2016	8,893.44	24,482.23
U.S. Treasury	10/20/2015	40,000,000.00	40,573,180.65	40,563,600.00	3.25	0.37	12/31/2016	3,532.61	(9,580.65)
U.S. Treasury	12/24/2014	15,000,000.00	15,007,174.50	15,037,350.00	0.88	0.79	01/31/2017	54,807.69	30,175.50
U.S. Treasury	03/12/2012	15,000,000.00	14,997,185.95	15,038,700.00	0.88	0.90	02/28/2017	43,868.89	41,514.05
U.S. Treasury	09/04/2015	20,000,000.00	20,063,910.06	20,074,200.00	1.00	0.57	03/31/2017	50,273.22	10,289.94
U.S. Treasury	09/29/2015	35,000,000.00	35,088,718.43	35,106,400.00	0.88	0.57	04/30/2017	51,596.47	17,681.57
U.S. Treasury	06/08/2012	15,000,000.00	15,482,364.43	15,515,100.00	4.50	0.73	05/15/2017	86,209.24	32,735.57
U.S. Treasury	06/05/2015	10,000,000.00	10,190,132.15	10,201,200.00	2.75	0.65	05/31/2017	23,292.35	11,067.85
U.S. Treasury	10/20/2015	40,000,000.00	40,778,241.11	40,773,600.00	2.50	0.54	06/30/2017	2,717.39	(4,641.11)
U.S. Treasury	10/12/2012	15,000,000.00	14,974,914.66	14,995,350.00	0.50	0.66	07/31/2017	31,318.68	20,435.34
U.S. Treasury	02/29/2016	15,000,000.00	15,262,721.71	15,296,550.00	2.38	0.75	07/31/2017	120,381.19	33,828.29
U.S. Treasury	12/24/2014	15,000,000.00	15,140,961.87	15,230,850.00	1.88	1.05	08/31/2017	94,004.76	89,888.13
U.S. Treasury	02/29/2016	45,000,000.00	45,575,601.95	45,692,550.00	1.88	0.77	08/31/2017	282,014.27	116,948.05
U.S. Treasury	09/04/2015	22,000,000.00	22,072,528.01	22,115,940.00	1.00	0.72	09/15/2017	64,565.22	43,411.99
U.S. Treasury	06/07/2013	15,000,000.00	15,196,567.63	15,257,250.00	1.88	0.87	10/31/2017	47,384.51	60,682.37
U.S. Treasury	04/06/2016	10,000,000.00	10,152,718.70	10,171,500.00	1.88	0.72	10/31/2017	31,589.67	18,781.30
U.S. Treasury	05/20/2015	10,000,000.00	10,196,713.26	10,235,200.00	2.25	0.84	11/30/2017	19,057.38	38,486.74
U.S. Treasury	04/06/2016	15,000,000.00	15,323,024.52	15,352,800.00	2.25	0.72	11/30/2017	28,586.07	29,775.48
U.S. Treasury	04/06/2016	10,000,000.00	10,039,343.15	10,061,700.00	1.00	0.73	12/15/2017	4,371.58	22,356.85
U.S. Treasury	01/07/2013	15,000,000.00	14,986,231.25	15,039,300.00	0.75	0.81	12/31/2017	305.71	53,068.75
U.S. Treasury	04/06/2016	10,000,000.00	10,021,687.21	10,044,900.00	0.88	0.73	01/15/2018	20,673.08	23,212.79

INVESTMENT INVENTORY - MARKET VALUE

San Diego Pooled Money Fund As of June 30, 2016

Issuer	Purchase Date	Par Value	Book Value	Market Value	Coupon	YTM 365 Equiv.	Maturity Date	Accrued Interest	Unrealized Gain/Loss
U.S. Treasury	12/24/2014	15,000,000.00	15,326,393.54	15,481,050.00	2.63	1.22	01/31/2018	164,423.08	154,656.46
U.S. Treasury	06/07/2013	15,000,000.00	14,949,132.01	15,040,950.00	0.75	0.96	02/28/2018	37,601.90	91,817.99
U.S. Treasury	06/07/2013	15,000,000.00	14,997,973.54	15,115,950.00	1.00	1.01	05/31/2018	12,704.92	117,976.46
U.S. Treasury	06/22/2016	25,000,000.00	25,173,593.10	25,251,000.00	1.13	0.77	06/15/2018	6,915.98	77,406.90
U.S. Treasury	02/12/2014	15,000,000.00	15,004,644.36	15,235,500.00	1.38	1.36	07/31/2018	86,126.37	230,855.64
U.S. Treasury	11/13/2013	15,000,000.00	15,036,242.18	15,283,050.00	1.50	1.38	08/31/2018	75,203.80	246,807.82
U.S. Treasury	12/05/2013	10,000,000.00	9,953,835.46	10,142,600.00	1.25	1.45	11/30/2018	10,587.43	188,764.54
U.S. Treasury	02/20/2014	15,000,000.00	14,901,074.54	15,221,550.00	1.25	1.52	01/31/2019	78,296.70	320,475.46
U.S. Treasury	04/17/2014	15,000,000.00	14,988,954.32	15,376,200.00	1.63	1.65	03/31/2019	61,270.49	387,245.68
U.S. Treasury	06/16/2014	15,000,000.00	14,915,612.05	15,338,700.00	1.50	1.70	05/31/2019	19,057.38	423,087.95
U.S. Treasury	06/27/2016	25,000,000.00	25,538,989.35	25,564,500.00	1.50	0.75	05/31/2019	4,098.37	25,510.65
U.S. Treasury	08/21/2014	15,000,000.00	14,995,617.64	15,404,850.00	1.63	1.64	07/31/2019	101,785.71	409,232.36
U.S. Treasury	10/24/2014	15,000,000.00	15,116,463.05	15,469,350.00	1.75	1.50	09/30/2019	65,983.61	352,886.95
U.S. Treasury	12/08/2014	15,000,000.00	14,909,571.28	15,349,200.00	1.50	1.69	11/30/2019	19,057.38	439,628.72
U.S. Treasury	01/09/2015	15,000,000.00	15,061,818.51	15,414,300.00	1.63	1.50	12/31/2019	662.36	352,481.49
U.S. Treasury	02/12/2016	20,000,000.00	20,232,197.31	20,381,200.00	1.38	1.04	01/31/2020	105,769.23	149,002.69
U.S. Treasury	04/09/2015	10,000,000.00	9,965,487.72	10,149,200.00	1.25	1.35	02/29/2020	41,779.89	183,712.28
U.S. Treasury	02/12/2016	20,000,000.00	20,222,075.86	20,377,400.00	1.38	1.06	02/29/2020	91,915.76	155,324.14
U.S. Treasury	04/09/2015	10,000,000.00	9,915,872.95	10,101,600.00	1.13	1.36	03/31/2020	28,278.69	185,727.05
U.S. Treasury	02/19/2016	24,000,000.00	24,181,150.97	24,453,840.00	1.38	1.17	03/31/2020	82,950.82	272,689.03
U.S. Treasury	02/19/2016	24,000,000.00	24,170,366.15	24,451,920.00	1.38	1.18	04/30/2020	55,597.83	281,553.85
U.S. Treasury	06/05/2015	15,000,000.00	14,920,441.78	15,349,200.00	1.50	1.64	05/31/2020	19,057.38	428,758.22
U.S. Treasury	06/17/2016	35,000,000.00	35,488,378.42	35,630,350.00	1.38	1.08	05/31/2021	18,408.47	141,971.58
Treasury Coupon Securities Subtotal:		892,000,000.00	898,146,570.61	904,535,600.00	1.53	0.92		2,376,849.56	6,389,029.39
Grand Total		8,679,350,712.37	8,687,859,563.07	8,698,263,280.54	0.98	0.85		15,287,182.69	10,403,717.47

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(5,857,430.63)	06/01/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(36,700,000.00)	06/01/2016
3187	Commercial Paper	UBS Finance	0.59	Redemption	100,000,000.00	06/01/2016
3230	Commercial Paper	Toyota Motor Credit	0.63	Redemption	50,000,000.00	06/01/2016
3413	Commercial Paper	Fortis/BNP Paribas B	0.50	Redemption	50,000,000.00	06/01/2016
3417	Commercial Paper	Fortis/BNP Paribas B	0.50	Redemption	50,000,000.00	06/01/2016
3427	Negotiable CD	Svenska Hndl NY	0.50	Redemption	150,000,000.00	06/01/2016
3564	Commercial Paper	Natixis US Finance C	0.29	Redemption	340,000,000.00	06/01/2016
3567	Commercial Paper	Fortis/BNP Paribas B	0.54	Purchase	(24,968,500.00)	06/01/2016
3568	Commercial Paper	Fortis/BNP Paribas B	0.54	Purchase	(24,968,875.00)	06/01/2016
3569	Commercial Paper	Fortis/BNP Paribas B	0.54	Purchase	(24,969,250.00)	06/01/2016
3570	Commercial Paper	Fortis/BNP Paribas B	0.54	Purchase	(24,970,375.00)	06/01/2016
3571	Commercial Paper	Natixis US Finance C	0.74	Purchase	(394,995,940.27)	06/01/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	3,937,295.71	06/02/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(6,000,000.00)	06/02/2016
3571	Commercial Paper	Natixis US Finance C	0.74	Redemption	395,000,000.00	06/02/2016
3572	Commercial Paper	Natixis US Finance C	0.00	Purchase	(384,996,043.05)	06/02/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	1,676,420.32	06/03/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	4,710,418.00	06/03/2016
3458	Negotiable CD	Societe Generale NY	0.49	Redemption	25,000,000.00	06/03/2016
3470	Commercial Paper	MUFG Union Bank NA	0.42	Redemption	50,000,000.00	06/03/2016
3572	Commercial Paper	Natixis US Finance C	0.00	Redemption	385,000,000.00	06/03/2016
3573	Commercial Paper	Natixis US Finance C	0.74	Purchase	(334,989,670.81)	06/03/2016
3574	Commercial Paper	Toyota Motor Credit	0.60	Purchase	(24,959,166.67)	06/03/2016
3575	Commercial Paper	Toyota Motor Credit	0.62	Purchase	(24,954,791.67)	06/03/2016
3576	Negotiable CD	Societe Generale NY	0.59	Purchase	(25,000,000.00)	06/03/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(1,452,202.45)	06/06/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(1,700,000.00)	06/06/2016
3453	Negotiable CD	MUFG Union Bank NA	0.48	Redemption	50,000,000.00	06/06/2016
3573	Commercial Paper	Natixis US Finance C	0.74	Redemption	335,000,000.00	06/06/2016
3578	Federal Agencies	Federal Home Loan Mt	1.25	Purchase	(25,000,000.00)	06/06/2016
3579	Commercial Paper	Natixis US Finance C	0.74	Purchase	(324,996,659.72)	06/06/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(2,452,370.46)	06/07/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	9,200,000.00	06/07/2016

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
3579	Commercial Paper	Natixis US Finance C	0.74	Redemption	325,000,000.00	06/07/2016
3582	Commercial Paper	Natixis US Finance C	0.74	Purchase	(274,997,173.61)	06/07/2016
3583	Commercial Paper	JP Morgan	0.87	Purchase	(49,778,875.00)	06/07/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	3,970,198.18	06/08/2016
2955	Money Market Funds	BlackRock	0.21	Redemption	5,750,000.00	06/08/2016
3498	Commercial Paper	American Honda Finan	0.47	Redemption	35,000,000.00	06/08/2016
3582	Commercial Paper	Natixis US Finance C	0.74	Redemption	275,000,000.00	06/08/2016
3584	Commercial Paper	Natixis US Finance C	0.74	Purchase	(264,997,276.38)	06/08/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	174,739.91	06/09/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(9,000,000.00)	06/09/2016
3584	Commercial Paper	Natixis US Finance C	0.74	Redemption	265,000,000.00	06/09/2016
3586	Commercial Paper	Natixis US Finance C	0.74	Purchase	(259,997,327.77)	06/09/2016
245	Federal Agencies	Federal Home Loan Ba	2.13	Redemption	15,000,000.00	06/10/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(1,227,258.19)	06/10/2016
2820	Federal Agencies	Federal Home Loan Ba	2.13	Redemption	25,000,000.00	06/10/2016
2956	Money Market Funds	Morgan Stanley	0.25	Redemption	2,625,000.00	06/10/2016
2957	Money Market Funds	Morgan Stanley	0.02	Redemption	5,230,000.00	06/10/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(22,300,000.00)	06/10/2016
3390	Money Market Funds	Federated Prime Fund	0.38	Redemption	8,600,000.00	06/10/2016
3586	Commercial Paper	Natixis US Finance C	0.74	Redemption	260,000,000.00	06/10/2016
3587	Commercial Paper	Natixis US Finance C	0.74	Purchase	(279,991,366.65)	06/10/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(831,196.67)	06/13/2016
2955	Money Market Funds	BlackRock	0.21	Purchase	(3,100,000.00)	06/13/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	30,000,000.00	06/13/2016
3587	Commercial Paper	Natixis US Finance C	0.74	Redemption	280,000,000.00	06/13/2016
3588	Commercial Paper	Natixis US Finance C	0.74	Purchase	(294,996,968.05)	06/13/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	1,888,359.39	06/14/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	30,000,000.00	06/14/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	2,300,000.00	06/14/2016
3588	Commercial Paper	Natixis US Finance C	0.74	Redemption	295,000,000.00	06/14/2016
3591	Federal Agencies	Federal Home Loan Mt	1.25	Purchase	(47,400,000.00)	06/14/2016
3592	Commercial Paper	Natixis US Finance C	0.74	Purchase	(274,997,173.61)	06/14/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	219,675.25	06/15/2016
2959	Money Market Funds	Fidelity	0.43	Purchase	(8,000,000.00)	06/15/2016

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
3479	Commercial Paper	Fortis/BNP Paribas B	0.49	Redemption	20,000,000.00	06/15/2016
3580	Asset Backed Securities	American Honda Finan	1.13	Redemption	885,551.92	06/15/2016
3581	Asset Backed Securities	American Honda Finan	1.39	Redemption	208,779.60	06/15/2016
3592	Commercial Paper	Natixis US Finance C	0.74	Redemption	275,000,000.00	06/15/2016
3594	Asset Backed Securities	Harley-Davidson Cred	1.09	Purchase	(12,999,650.30)	06/15/2016
3595	Commercial Paper	Natixis US Finance C	0.74	Purchase	(269,997,224.99)	06/15/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(233,260.75)	06/16/2016
2955	Money Market Funds	BlackRock	0.21	Purchase	(5,900,000.00)	06/16/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	25,000,000.00	06/16/2016
3595	Commercial Paper	Natixis US Finance C	0.74	Redemption	270,000,000.00	06/16/2016
3596	Commercial Paper	Natixis US Finance C	0.76	Purchase	(279,997,044.43)	06/16/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(53,686.12)	06/17/2016
2924	Federal Agencies	Federal Home Loan Ba	0.35	Redemption	50,000,000.00	06/17/2016
2925	Federal Agencies	Federal Home Loan Ba	0.35	Redemption	25,000,000.00	06/17/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	60,000,000.00	06/17/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	1,800,000.00	06/17/2016
3469	Commercial Paper	MUFG Union Bank NA	0.42	Redemption	25,000,000.00	06/17/2016
3596	Commercial Paper	Natixis US Finance C	0.76	Redemption	280,000,000.00	06/17/2016
3597	U.S. Treasury Notes	U.S. Treasury	1.38	Purchase	(35,514,540.64)	06/17/2016
3598	Federal Agencies	Federal National Mtg	1.25	Purchase	(15,025,595.83)	06/17/2016
3599	Commercial Paper	Natixis US Finance C	0.76	Purchase	(159,994,933.34)	06/17/2016
3600	Commercial Paper	JP Morgan	0.00	Purchase	(49,763,888.89)	06/17/2016
3601	Negotiable CD	UBS AG Stamford	0.89	Purchase	(25,000,000.00)	06/17/2016
3602	Negotiable CD	UBS AG Stamford	0.89	Purchase	(100,000,000.00)	06/17/2016
3603	Commercial Paper	Fortis/BNP Paribas B	0.91	Purchase	(24,890,673.61)	06/17/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(513,803.27)	06/20/2016
2903	Federal Agencies	Federal Home Loan Ba	0.34	Redemption	25,000,000.00	06/20/2016
2941	Federal Agencies	Federal Home Loan Ba	0.38	Redemption	50,000,000.00	06/20/2016
2955	Money Market Funds	BlackRock	0.21	Redemption	3,400,000.00	06/20/2016
3599	Commercial Paper	Natixis US Finance C	0.76	Redemption	160,000,000.00	06/20/2016
3604	Commercial Paper	Natixis US Finance C	0.76	Purchase	(29,999,683.33)	06/20/2016
3605	Commercial Paper	Natixis US Finance C	0.76	Purchase	(219,997,677.77)	06/20/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(5,635,946.32)	06/21/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	25,000,000.00	06/21/2016

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
3604	Commercial Paper	Natixis US Finance C	0.76	Redemption	30,000,000.00	06/21/2016
3605	Commercial Paper	Natixis US Finance C	0.76	Redemption	220,000,000.00	06/21/2016
3606	Commercial Paper	Natixis US Finance C	0.76	Purchase	(264,997,202.77)	06/21/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(1,300,000.00)	06/21/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	4,915,072.05	06/22/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	25,000,000.00	06/22/2016
3536	Commercial Paper	American Honda Finan	0.43	Redemption	50,000,000.00	06/22/2016
3606	Commercial Paper	Natixis US Finance C	0.76	Redemption	265,000,000.00	06/22/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(6,500,000.00)	06/22/2016
3610	Commercial Paper	Natixis US Finance C	0.76	Purchase	(274,997,097.21)	06/22/2016
3611	U.S. Treasury Notes	U.S. Treasury	1.13	Purchase	(25,181,160.35)	06/22/2016
3612	Federal Agencies	Federal Home Loan Ba	1.63	Purchase	(25,471,277.78)	06/22/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	559,668.64	06/23/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	25,400,000.00	06/23/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(22,000,000.00)	06/23/2016
3609	Local CD	Pacific Commerce Ban	0.45	Purchase	(5,000,000.00)	06/23/2016
3610	Commercial Paper	Natixis US Finance C	0.76	Redemption	275,000,000.00	06/23/2016
3613	Negotiable CD	Toronto Dominion NY	0.90	Purchase	(25,000,000.00)	06/23/2016
3614	Commercial Paper	Natixis US Finance C	0.78	Purchase	(159,998,266.66)	06/23/2016
3615	Commercial Paper	Toyota Motor Credit	0.82	Purchase	(49,769,944.44)	06/23/2016
3616	Commercial Paper	JP Morgan	0.00	Purchase	(24,885,486.11)	06/23/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(1,580,500.14)	06/24/2016
2850	Federal Agencies	Federal Farm Credit	0.35	Redemption	50,000,000.00	06/24/2016
2959	Money Market Funds	Fidelity	0.43	Redemption	20,000,000.00	06/24/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(16,300,000.00)	06/24/2016
3614	Commercial Paper	Natixis US Finance C	0.78	Redemption	160,000,000.00	06/24/2016
3617	Commercial Paper	Natixis US Finance C	0.78	Purchase	(324,989,437.50)	06/24/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(63,437.93)	06/27/2016
3295	Commercial Paper	JP Morgan	0.85	Redemption	25,000,000.00	06/27/2016
3301	Federal Agencies	Federal National Mtg	0.88	Redemption	25,000,000.00	06/27/2016
3617	Commercial Paper	Natixis US Finance C	0.78	Redemption	325,000,000.00	06/27/2016
3619	Federal Agencies	Federal Home Loan Mt	1.25	Purchase	(25,384,736.11)	06/27/2016
3620	U.S. Treasury Notes	U.S. Treasury	1.50	Purchase	(25,568,679.56)	06/27/2016
3621	Commercial Paper	Natixis US Finance C	0.80	Purchase	(389,995,666.63)	06/27/2016

TRANSACTION ACTIVITY REPORT

Investment #	Instrument Type	Issuer	Coupon	Transaction Type	Total Cash	Transaction Date
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(2,371,632.49)	06/28/2016
3608	Money Market Funds	Fidelity Government	0.21	Redemption	1,400,000.00	06/28/2016
3621	Commercial Paper	Natixis US Finance C	0.80	Redemption	390,000,000.00	06/28/2016
3622	Commercial Paper	Natixis US Finance C	0.80	Purchase	(239,997,333.31)	06/28/2016
3623	Commercial Paper	Rabobank Nederland	0.80	Purchase	(49,810,000.00)	06/28/2016
3624	Commercial Paper	Fortis/BNP Paribas B	0.90	Purchase	(14,926,500.00)	06/28/2016
3625	Commercial Paper	JP Morgan	0.85	Purchase	(34,838,027.78)	06/28/2016
3626	Negotiable CD	Bank of Nova Scotia	0.90	Purchase	(50,000,000.00)	06/28/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Purchase	(5,528,125.60)	06/29/2016
2946	Federal Agencies	Federal Home Loan Ba	0.38	Redemption	22,000,000.00	06/29/2016
2947	Federal Agencies	Federal Home Loan Ba	1.20	Redemption	25,000,000.00	06/29/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(8,300,000.00)	06/29/2016
3622	Commercial Paper	Natixis US Finance C	0.80	Redemption	240,000,000.00	06/29/2016
3627	Commercial Paper	Natixis US Finance C	0.80	Purchase	(264,997,055.58)	06/29/2016
3628	Federal Agencies	Federal Farm Credit	1.42	Purchase	(25,000,000.00)	06/29/2016
1106	Repurchase Agreements	Wells Fargo Bank NA	0.01	Redemption	9,076,437.95	06/30/2016
2902	Federal Agencies	Federal Home Loan Ba	0.32	Redemption	50,000,000.00	06/30/2016
2955	Money Market Funds	BlackRock	0.21	Purchase	(20,100,000.00)	06/30/2016
2956	Money Market Funds	Morgan Stanley	0.25	Purchase	(100,000,000.00)	06/30/2016
3085	Negotiable CD	Bank of Nova Scotia	0.56	Redemption	100,000,000.00	06/30/2016
3087	Negotiable CD	Bank of Nova Scotia	0.56	Redemption	50,000,000.00	06/30/2016
3100	Negotiable CD	Rabobank Nederland	0.52	Redemption	50,000,000.00	06/30/2016
3120	Negotiable CD	Wells Fargo Bank NA	0.50	Redemption	50,000,000.00	06/30/2016
3132	Commercial Paper	UBS Finance	0.55	Redemption	100,000,000.00	06/30/2016
3214	Commercial Paper	Toyota Motor Credit	0.65	Redemption	200,000,000.00	06/30/2016
3239	Negotiable CD	Toronto Dominion NY	0.76	Redemption	50,000,000.00	06/30/2016
3249	Money Market Funds	CalTrust	0.06	Purchase	(100,000,000.00)	06/30/2016
3292	Local CD	Pacific Commerce Ban	1.14	Redemption	5,000,000.00	06/30/2016
3608	Money Market Funds	Fidelity Government	0.21	Purchase	(100,000,000.00)	06/30/2016
3627	Commercial Paper	Natixis US Finance C	0.80	Redemption	265,000,000.00	06/30/2016
3630	Money Market Funds	Federated Government	0.78	Purchase	(37,000,000.00)	06/30/2016
3631	Negotiable CD	UBS AG Stamford	0.90	Purchase	(100,000,000.00)	06/30/2016
3632	Negotiable CD	UBS AG Stamford	0.87	Purchase	(50,000,000.00)	06/30/2016
3633	Negotiable CD	Toronto Dominion NY	0.90	Purchase	(50,000,000.00)	06/30/2016

Grand Total

627,012,547.72

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